CfC Stanbic Holdings Limited
A member of Standard Bank group

Annual Report and Financial Statements

For the year ended 31 December 2015

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Corporate information

Chairman:	Fred N. Ojiambo, MBS, SC
Chief Executive:	Kitili Mbathi (Resigned: 29 January 2016)
Regional Chief Executive of CfC Stanbic Bank:	Greg R. Brackenridge * (Acting Chief Executive)
Chief Executive of CfC Stanbic Bank Limited:	Philip Odera (Appointed: 2 March 2015) Greg R. Brackenridge * (Resigned: 2 March 2015)
Regional Head Corporate & Investment Banking:	Michael Blades***
Non-Executive Directors:	Kitili Mbathi Edward W. Njoroge Rose W. Kimotho Charles K. Muchene Ruth T. Ngobi Peter N. Gethi Christopher J. Blandford – Newson*** Gayling R May** (Resigned: 21 May 2015) Jane Babsa-Nzibo (Resigned: 21 May 2015)
	* South African ** British *** South African & British
Company secretary:	Lillian N. Mbindyo P.O. Box 72833 00200 Nairobi
Auditor:	PricewaterhouseCoopers PwC Tower Waiyaki Way/Chiromo Road P O Box 43963 00100 Nairobi
Registered office:	CfC Stanbic Centre Chiromo Road P O Box 72833 00200 Nairobi
Principal bankers:	CfC Stanbic Bank Limited Chiromo Road P O Box 30550 00100 Nairobi GPO

Report of the Directors

The Directors submit their report together with the audited financial statements for the year ended 31 December 2015, in accordance to section 157 of the Kenyan Companies Act, which disclose the state of affairs of the CfC Stanbic Holdings Ltd (the company) and its subsidiaries (the Group).

Principal activities

The Group is engaged in the business of banking and stock broking and is licensed under the Banking Act and Capital Markets Act. The company is a member of the Nairobi Securities Exchange.

Results and dividends

Profit for the year of KShs 4,905,734,000 (2014: KShs 5,686,661,000) has been added to retained earnings.

During the year, an interim dividend of KShs 0.75 (2014: KShs 0.95) per ordinary share amounting to KShs 296 million (2014: KShs 376 million) was paid.

Subject to the approval of the shareholders at the Annual General Meeting, the Directors recommend payment of a final dividend of KShs 5.40 (2014: 5.20) per ordinary share equivalent to a total sum of KShs. 2,135 million (2014: 2,056 million). The total dividend for the year, therefore, will be KShs 6.15 (2014: KShs 6.15) for every one ordinary share amounting to KShs 2,431 million (2014: KShs 2,431 million).

Share capital

The total number of authorised shares as at 31 December 2015 was 473,684,211 (2014: 473,684,211), ordinary shares of KShs 5 each, with 395,321,638 shares being issued and fully paid up.

Directors

The directors who held office during the year and to the date of this report are set out on page 2.

Events subsequent to the end of the reporting period

There is no material event that has occurred between the end of the reporting period and the date of this report.

Auditor

PricewaterhouseCoopers has indicated its willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap. 486).

Approval of financial statements

The financial statements were approved by the Board of Directors on 2 March 2016.

BY ORDER OF THE BOARD

Lillian N. Mbindyo
COMPANY SECRETARY
2 March 2016

Statement of Directors' responsibilities

The Kenyan Companies Act requires the Directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Company and Group as at the end of the financial year and of its profit or loss for that year. It is also requires the Directors to ensure that the Company and Group maintains proper accounting records that disclose, with reasonable accuracy, the financial position of the Company and Group. The directors are also responsible for safeguarding the assets of the Company and Group.

The Directors accept responsibility for the preparation and fair presentation of financial statements that are free from material misstatements whether due to fraud or error. They also accept responsibility for:

(i) Designing, implementing and maintaining internal controls as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;

(ii) Selecting and applying appropriate accounting policies; and

(iii) Making accounting estimates and judgements that are reasonable in the circumstances.

The Directors are of the opinion that the financial statements give a true and fair view of the financial position of the Company and Group at 31 December 2015 and of the Company and Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Nothing has come to the attention of the Directors to indicate that the Company and Group will not remain a going concern for at least the next twelve months from the date of this statement.

The financial statements were approved by the Board of Directors on 2 March 2016 and signed on its behalf by:

Fred N. Ojiambo, MBS, SC
Chairman

Greg R. Brackenridge
Acting
Chief Executive

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REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF CfC STANBIC HOLDINGS LIMITED

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of CfC Stanbic Holdings Limited (the "Company") and its subsidiaries (together, the "Group"), as set out on pages 7 to 117. These financial statements comprise the consolidated statement of financial position at 31 December 2015, the consolidated statement of profit or loss, consolidated statement of other comprehensive income, consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended, together with the statement of financial position of the Company standing alone as at 31 December 2015 and the statement of profit or loss, statement of other comprehensive income, statement of changes in equity and the statement of cash flows of the Company for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of consolidated and company financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the accompanying financial statements give a true and fair view of the state of the financial position of the Group and of the Company at 31 December 2015 and of the profit and cash flows of the Group and company for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

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Partners: A Eriksson K Muchiru M Mugasa F Muriu P Ngahu A Njeru R Njoroge B Okundi K Saiti R Shah

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF CfC STANBIC HOLDINGS LIMITED (CONTINUED)

Report on other legal requirements

As required by the Kenyan Companies Act, we report to you, based on our audit, that:

- we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- in our opinion proper books of account have been kept by the Group and Company, so far as appears from our examination of those books; and
- the Group's and Company's statement of financial position and statement of profit or loss are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Peter Ngahu – P/No 1458.

PricewaterhouseCoopers

Certified Public Accountants
Nairobi

1 March 2016

Consolidated and company statement of profit or loss

		For the year ended 31 December			
		Group		Company	
		2015	2014	2015	2014
	Note	KShs'000	KShs'000	KShs'000	KShs'000
Interest income	6	14,667,896	11,642,457	66,378	27,644
Interest expense	7	(5,364,849)	(3,180,512)	-	-
Net interest income		**9,303,047**	**8,461,945**	**66,378**	**27,644**
Credit impairment charges on loans and advances	22(d)	(907,305)	(702,822)	**-**	**-**
Net interest income after credit impairment charges		**8,395,742**	**7,759,123**	**66,378**	**27,644**
Fees and commission revenue	8	3,392,725	3,554,510	-	-
Fees and commission expense	9	(323,723)	(246,863)	-	-
Net fee and commission revenue		**3,069,002**	**3,307,647**	**-**	**-**
Trading revenue	10	4,306,531	4,779,322	-	-
Other income	11	265,695	321,584	2,365,764	1,093,765
Other operating income		**4,572,226**	**5,100,906**	**2,365,764**	**1,093,765**
Total income		**16,036,970**	**16,167,676**	**2,432,142**	**1,121,409**
Employee benefits	12	(5,035,142)	(4,472,141)	-	-
Depreciation and amortisation expense	14	(503,832)	(556,912)	-	-
Other expenses	13	(3,138,582)	(3,438,377)	(27,316)	(25,799)
Total operating, administration and general expenses		**(8,677,556)**	**(8,467,430)**	**(27,316)**	**(25,799)**
Profit before income tax		**7,359,414**	**7,700,246**	**2,404,826**	**1,095,610**
Income tax expense	15	(2,453,680)	(2,013,585)	(23,204)	(45)
Profit for the year		**4,905,734**	**5,686,661**	**2,381,622**	**1,095,565**
Profit attributable to:					
Equity holders of the parent		4,905,734	5,686,661	2,381,622	1,095,565
Profit for the year		**4,905,734**	**5,686,661**	**2,381,622**	**1,095,565**
Earnings per share basic and diluted (KShs)	16	**12.41**	**14.38**	**6.02**	**2.77**

The notes set out on pages 14 to 117 form an integral part of these financial statements.

Consolidated and company statement of other comprehensive income

	For the year ended 31 December			
	Group		Company	
	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
Profit for the year	**4,905,734**	**5,686,661**	**2,381,622**	**1,095,565**
Other comprehensive income for the year				
Items that may be subsequently reclassified to profit or loss				
Foreign currency translation differences for foreign operations	(1,029,308)	(61,538)	-	-
Fair value changes on available-for-sale instruments	2,087	(202,908)	-	-
Deferred income tax credit on fair valuation of available - for - sale financial assets	(70,719)	2,948	-	-
Other comprehensive income for the year, net of income tax	**(1,097,940)**	**(261,498)**	**-**	**-**
Total comprehensive income for the year	**3,807,794**	**5,425,163**	**2,381,622**	**1,095,565**
Total comprehensive income attributable to:				
Equity holders of the parent	3,807,794	5,425,163	2,381,622	1,095,565
Total comprehensive income for the year	**3,807,794**	**5,425,163**	**2,381,622**	**1,095,565**

The notes set out on pages 14 to 117 form an integral part of these financial statements.

Consolidated and company statement of financial position

	Note	Group		Company	
		As at 31 December		As at 31 December	
		2015	2014	2015	2014
		KShs'000	KShs'000	KShs'000	KShs'000
Assets					
Cash, banks and balances with Central Bank of Kenya	**18**	11,350,098	9,555,580	108,840	56,911
Financial investments	**20**	45,262,609	49,283,320	-	-
Available-for-sale pledged assets	**19**	3,439,383	2,884,293	-	-
Derivative assets	**30**	4,377,196	1,960,415	-	-
Loans and advances to banks	**22 (a)**	23,181,591	12,862,672	-	-
Loans and advances to customers	**22 (b)**	104,981,566	88,347,438	-	-
Other assets and prepayments	**23**	2,709,300	2,417,387	1,651	8,041
Investment in subsidiaries	**24**	-	-	18,175,338	18,175,338
Property and equipment	**25**	2,244,902	2,348,229	-	-
Prepaid operating lease	**26**	56,854	59,807	-	-
Other intangible assets	**27**	754,370	490,565	-	-
Intangible assets - goodwill	**28**	9,349,759	9,349,759	-	-
Current income tax asset	**34 (a)**	382,965	4,294	-	-
Deferred tax asset	**34 (c)**	361,322	1,435,226	-	-
Total assets		**208,451,915**	**180,998,985**	**18,285,829**	**18,240,290**
Liabilities and equity					
Liabilities					
Derivative liabilities	**30**	3,361,440	2,232,264	-	-
Financial liabilities at fair value through profit or loss	**21**	521,973	-	-	-
Deposits from banks	**31**	47,424,577	33,570,267	-	-
Deposits from customers	**31**	106,246,235	95,838,876	-	-
Other liabilities and accrued expenses	**33**	5,961,263	5,948,968	40,071	31,220
Borrowings	**32**	6,482,063	6,513,417	-	-
Balances due to group companies	**37**	-	-	3,198	1,833
Current income tax liability	**34 (b)**	89,535	-	5,910	45
Total liabilities		**170,087,086**	**144,103,792**	**49,179**	**33,098**
Equity					
Ordinary share capital	**29**	1,976,608	1,976,608	1,976,608	1,976,608
Ordinary share premium	**29**	16,897,389	16,897,389	16,897,389	16,897,389
Other reserves	**40**	(790,252)	330,248		-
Retained earnings		18,146,346	15,635,275	(2,772,085)	(2,722,478)
Proposed dividend	**17**	2,134,738	2,055,673	2,134,738	2,055,673
Total equity attributable to equity holders of the parent		**38,364,829**	**36,895,193**	**18,236,650**	**18,207,192**
			-		**-**
Total equity and liabilities		**208,451,915**	**180,998,985**	**18,285,829**	**18,240,290**

The notes set out on pages 14 to 117 form an integral part of these financial statements.

The financial statements on pages 7 to 117 were approved for issue by the Board of Directors on 2 March 2016 and signed on its behalf by:

Fred N Ojiambo, MBS, SC
Chairman

Greg R. Brackenridge
Chief Executive

Lillian N. Mbindyo
Company Secretary

Consolidated statement of changes in equity

		Attributable to equity holders					
		Share Capital	Share Premium	Other Reserves	Retained Earnings	Proposed Dividends	Total Equity
For the year ended 31 December 2015	**Note**	**KShs'000**	**KShs'000**	**KShs'000**	**KShs'000**	**KShs'000**	**KShs'000**
At 1 January 2015		**1,976,608**	**16,897,389**	**330,248**	**15,635,275**	**2,055,673**	**36,895,193**
Profit for the year		-	-	-	4,905,734	-	**4,905,734**
Other comprehensive income, net of tax		-	-	(1,097,940)	-	**-**	**(1,097,940)**
Transfer to statutory credit risk reserve		-	-	66,048	(66,048)	-	-
Transactions with owners, recorded directly in equity							
Contributions by and distributions to owners of the Group							
Dividends to equity holders - dividend paid	17	-	-	-	(296,491)	(2,055,673)	**(2,352,164)**
Proposed dividend	17	-	-	-	(2,134,738)	2,134,738	**-**
Transfer of vested share option from share based reserve		-	-	(102,614)	102,614	**-**	**-**
Share based payment reserve	41(a)	-	-	14,006	-	**-**	**14,006**
Total transactions with owners		**-**	**-**	**(88,608)**	**(2,328,615)**	**79,065**	**(2,338,158)**
At 31 December 2015		**1,976,608**	**16,897,389**	**(790,252)**	**18,146,346**	**2,134,738**	**38,364,829**

The notes set out on pages 14 to 117 form an integral part of these financial statements.

Consolidated statement of changes in equity (continued)

		Attributable to equity holders					
		Share Capital	Share Premium	Other Reserves	Retained Earnings	Proposed Dividends	Total Equity
For the year ended 31 December 2014	**Note**	**KShs'000**	**KShs'000**	**KShs'000**	**KShs'000**	**KShs'000**	**KShs'000**
At 1 January 2014		**1,976,608**	**16,897,389**	**444,709**	**12,506,196**	**600,889**	**32,425,791**
Profit for the year		-	-	-	5,686,661	-	**5,686,661**
Other comprehensive income, net of tax		-	-	(264,794)	3,295	**-**	**(261,499)**
Transfer to statutory credit risk reserve				129,648	(129,648)		**-**
Total comprehensive income for the year		**-**	**-**	**(135,146)**	**5,560,308**	**-**	**5,425,162**
Transactions with owners, recorded directly in equity							
Contributions by and distributions to owners of the Group							
Dividends to equity holders - dividend paid	17	-	-	-	(375,556)	(600,889)	**(976,445)**
Dividends to equity holders-proposed dividend	17	-	-	-	(2,055,673)	2,055,673	**-**
Share based payment reserve	41(a)	-	-	20,685	-	**-**	**20,685**
Total transactions with owners				**20,685**	**(2,431,229)**	**1,454,784**	**(955,760)**
At 31 December 2014		**1,976,608**	**16,897,389**	**330,248**	**15,635,275**	**2,055,673**	**36,895,193**

The notes set out on pages 14 to 117 form an integral part of these financial statements.

Company statement of changes in equity

Year ended 31 December 2015	Note	Share Capital KShs'000	Share Premium KShs'000	Retained Earnings KShs'000	Proposed Dividend KShs'000	Total Equity KShs'000
			Attributable to equity holders			
At 1 January 2015		**1,976,608**	**16,897,389**	**(2,722,478)**	**2,055,673**	**18,207,192**
Profit for the year		**-**	**-**	**2,381,622**	**-**	**2,381,622**
Other Comprehensive income, net of tax		**-**	**-**	**-**	**-**	**-**
Contribution and distributions to owners						
Dividends to equity holders - dividend paid	17	-	-	(296,491)	(2,055,673)	**(2,352,164)**
Dividends to equity holders - proposed dividend	17	-	-	(2,134,738)	2,134,738	**-**
Total contributions by and distributions to owners		**-**	**-**	**(2,431,229)**	**79,065**	**(2,352,164)**
At 31 December 2015		**1,976,608**	**16,897,389**	**(2,772,085)**	**2,134,738**	**18,236,650**
Year ended 31 December 2014						
At 1 January 2014		**1,976,608**	**16,897,389**	**(1,386,816)**	**600,889**	**18,088,070**
Profit for the year		**-**	**-**	**1,095,565**	**-**	**1,095,565**
Other Comprehensive income, net of tax		**-**	**-**	**-**	**-**	**-**
Contribution and distributions to owners						
Dividends to equity holders - dividend paid	17	-	-	(375,554)	(600,889)	**(976,443)**
Dividends to equity holders - proposed dividend	17	-	-	(2,055,673)	2,055,673	**-**
Total contributions by and distributions to owners		**-**	**-**	**(2,431,227)**	**1,454,784**	**(976,443)**
At 31 December 2014		**1,976,608**	**16,897,389**	**(2,722,478)**	**2,055,673**	**18,207,192**

The notes set out on pages 14 to 117 form an integral part of these financial statements.

Consolidated and company statement of cash flows

	Note	Group 2015 KShs '000	Group 2014 KShs '000	Company 2015 KShs '000	Company 2014 KShs '000
		For the year ended 31 December			
Cash flows generated from operating activities	**35 (a)**	**6,615,386**	**8,774,316**	**2,404,826**	**1,095,610**
Income tax paid	**34 (b)**	(1,766,959)	(2,724,750)	(17,339)	-
Net cash generated from operating activities before changes in operating assets		**4,848,427**	**6,049,566**	**2,387,487**	**1,095,610**
Loans and advances to customers		(16,634,128)	(19,213,946)	-	-
Loans and advances to banks		115,685	(5,685)	-	-
Financial assets-fair value through profit or loss		6,071,271	(6,215,398)	-	-
Financial assets-available-for-sale		(358,255)	(4,371,222)	-	-
Deposits held for regulatory purpose		(887,400)	(267,378)	-	-
Other assets and prepayments		(291,976)	(64,796)	6,390	(4,646)
Deposits from customers		9,867,671	1,111,037	-	-
Deposits from banks		17,856,455	7,502,897	-	-
Other liabilities and accrued expenses		12,259	(2,734,753)	10,215	(150,515)
Trading liabilities		521,973	-	-	-
Changes in operating assets and liabilities		**16,273,555**	**(24,259,244)**	**16,605**	**(155,161)**
Net cash generated from/ (used in) operating activities		**21,121,982**	**(18,209,678)**	**2,404,092**	**940,449**
Additions to property and equipment	**25**	(501,881)	(461,422)	-	-
Additions to intangible assets	**27**	(342,427)	(6,500)	-	-
Proceeds from the sale of equipment		517	7,325	-	-
Cash used in investing activities		**(843,789)**	**(460,597)**	**-**	**-**
Dividends paid to equity holders of parent		(2,352,164)	(976,445)	(2,352,164)	(976,445)
Subordinated debt issued		-	4,012,563	-	-
Subordinated debt redeemed		(31,354)	(3,346,898)	-	
Cash used in financing activities		**(2,383,518)**	**(310,780)**	**(2,352,164)**	**(976,445)**
Net increase / (decrease) in cash and cash equivalents		**17,894,675**	**(18,981,055)**	**51,928**	**(35,996)**
Effect of exchange rate fluctuations		(915,905)	(65,586)	-	-
Cash and cash equivalents at 1 January		22,610,152	41,656,793	56,911	92,907
Cash and cash equivalents at 31 December	**35 (b)**	**39,588,922**	**22,610,152**	**108,839**	**56,911**

The notes set out on pages 14 to 117 form an integral part of these financial statements.

Notes

1 General information

CfC Stanbic Holdings Limited is incorporated in Kenya under the Companies Act as a limited liability company, and is domiciled in Kenya. The address of its registered office is:

CfC Stanbic Centre
Chiromo Road
P O Box 72833
00200 Nairobi

The Company's shares are listed on the Nairobi Securities Exchange (NSE).

For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of profit or loss, in these financial statements.

2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a. Basis of preparation

CfC Stanbic Holdings Ltd (the company) and its subsidiaries (the Group), annual financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) applicable to companies reporting under IFRS.

Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

Use of estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 3.

Changes in accounting policies and disclosures

The accounting policies are consistent with those adopted in the previous year, except for the following:

(i) New and amended standards early adopted by the Company and the Group

The following standards have been adopted by the Group for the first time for the financial year beginning on or after 1 January 2015 and have a material impact on the Group:

Amendment to IAS 1 Presentation of Financial Statements (IAS 1) effective 1 January 2016

The amendment to IAS 1 clarifies that materiality applies to the whole set of financial statements and that the inclusion of immaterial information can inhibit the usefulness of financial disclosures. The amendment further explains that professional judgement should be used in determining where and in what order information should be presented in the financial statements. During the year the Group reviewed its financial statements to identify disclosures that were considered to be immaterial as well as to consider ways of better presenting financial information. The revised standards did not have any effect on the Group's reported earnings or financial statement position and had no material impact on the accounting policies.

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

A number of new standards and amendments to standards and interpretations are effective for annual periods beginning after 1 January 2015, and have not been applied in preparing these financial statements. The following standards and amendments set out below, are expected to have a significant effect on the financial statements of the Group;

Notes (continued)

2 Summary of significant accounting policies (continued)

a) Basis of preparation (continued)

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group (continued)

- IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. The complete version of IFRS 9 was issued in July 2014. It replaces the guidance in IAS 39 that relates to the classification and measurement of financial instruments. IFRS 9 retains but simplifies the mixed measurement model and establishes three primary measurement categories for financial assets: amortised cost, fair value through other comprehensive income (OCI) and fair value through profit or loss (P/L). The basis of classification depends on the entity's business model and the contractual cash flow characteristics of the financial asset. Investments in equity instruments are required to be measured at fair value through profit or loss with the irrevocable option at inception to present changes in fair value in OCI not recycling. There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39. For financial liabilities there were no changes to classification and measurement except for the recognition of changes in own credit risk in other comprehensive income, for liabilities designated at fair value through profit or loss. IFRS 9 relaxes the requirements for hedge effectiveness by replacing the bright line hedge effectiveness tests. It requires an economic relationship between the hedged item and hedging instrument and for the 'hedged ratio' to be the same as the one management actually use for risk management purposes. Contemporaneous documentation is still required but is different to that currently prepared under IAS 39. The standard is effective for accounting periods beginning on or after 1 January 2018. Early adoption is permitted. The Group is in the process of determining IFRS 9 full impact.
- IFRS 15, 'Revenue from contracts with customers' deals with revenue recognition and establishes principles for reporting useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue is recognised when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service. The standard replaces IAS 18 'Revenue' and IAS 11 'Construction contracts' and related interpretations. The standard is effective for annual periods beginning on or after 1 January 2018 and earlier application is permitted. The Group is assessing the impact of IFRS 15.

- IFRS 16 'Leases'- This standard will replace the existing standard IAS 17 Leases as well as the related interpretations and sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, being the lessee (customer) and the lessor (supplier).
  The core principle of this standard is that the lessee and lessor should recognise all rights and obligations arising from leasing arrangements on balance sheet.
  The most significant change pertaining to the accounting treatment of operating leases is from the lessees' perspective. IFRS 16 eliminates the classification of leases as either operating leases or finance leases as is required by IAS 17 and introduces a single lessee accounting model, where a right of use (ROU) asset together with a liability for the future payments is to be recognised for all leases with a term of more than 12 months, unless the underlying asset is of low value.
  The lessor accounting requirements in IAS 17 has not changed substantially in terms of this standard as a result a lessor continues to classify its leases as operating leases or finance leases and accounts for these as it currently done in terms of IAS 17.
  In addition, the standard requires lessor to provide enhanced disclosures about its leasing activities and in particular about its exposure to residual value risk and how it is managed.
  The standard will be applied retrospectively. The standard is effective for annual periods beginning on or after 1 January 2019. The impact on the annual financial statements has not yet been fully determined.

2 Summary of significant accounting policies (continued)

a) Basis of preparation (continued)

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group (continued)

- IFRS 11, 'Joint arrangements'. This amendment adds new guidance on how to account for the acquisition of an interest in a joint operation that constitutes a business. The amendments specify the appropriate accounting treatment for such acquisitions. The amendment is effective for annual periods beginning on or after 1 January 2016. The amendment has no impact on the Group operations.

- IAS 16, 'Property, plant and equipment', and IAS 41, 'Agriculture',. These amendments change the financial reporting for bearer plants, such as grape vines, rubber trees and oil palms. The IASB decided that bearer plants should be accounted for in the same way as property, plant and equipment because their operation is similar to that of manufacturing. Consequently, the amendments include them within the scope of IAS 16, instead of IAS 41. The produce growing on bearer plants will remain within the scope of IAS 41. The amendments are effective for annual periods beginning on or after 1 January 2016. The amendment has no impact on the Group's operations.

- IAS 27, 'Separate financial statements'. These amendments allow entities to use the equity method to account for investments in subsidiaries, joint ventures and associates in their separate financial statements. The amendments are effective for annual periods beginning on or after 1 January 2016. The amendment has no material impact on the Group operations.

- IFRS 10, 'Consolidated financial statements' and IAS 28, 'Investments in associates and joint ventures'. These amendments address an inconsistency between the requirements in IFRS 10 and those in IAS 28 in dealing with the sale or contribution of assets between an investor and its associate or joint venture. The main consequence of the amendments is that a full gain or loss is recognised when a transaction involves a business (whether it is housed in a subsidiary or not). A partial gain or loss is recognised when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary. The amendments are effective for annual periods beginning on or after 1 January 2016. The amendment has no impact on the Group operations.

Annual improvements 2014. These set of amendments, effective 1 January 2016, impacts 4 standards:

- IFRS 5, 'Non-current assets held for sale and discontinued operations' regarding methods of disposal.
- IFRS 7, 'Financial instruments: Disclosures', (with consequential amendments to IFRS 1) regarding servicing contracts.
- IAS 19, 'Employee benefits' regarding discount rates.
- IAS 34, 'Interim financial reporting' regarding disclosure of information

There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the Group.

b) Consolidation

The consolidated financial statements incorporate the financial statements of CfC Stanbic Holdings Limited and its subsidiaries; CfC Stanbic Bank Limited, CfC Stanbic Nominees Limited, Stanbic Insurance Agency Limited, SBG Securities Limited and CfC Financial Services Nominees Limited. The financial statements have been made up to 31 December 2015.

(i) Subsidiaries

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

2 Summary of significant accounting policies (continued)

b) Consolidation (continued)

(i) Subsidiaries (continued)

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.
Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying of the acquirer's previously held equity interest in the acquiree is re-measured to its fair value value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IAS 39 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity.

The excess of the consideration transferred the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the statement of profit or loss.

Inter-company transactions, balances and unrealised gains and losses on transactions between Group companies are eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform with the Group's accounting policies.

(ii) Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

(iii) Disposal of subsidiaries

When the Group ceases to have control, any retained interest in the entity is remeasured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

2 Summary of significant accounting policies (continued)

c) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the functional currency). The consolidated financial statements are presented in 'Kenyan Shillings (KShs), which is the CfC Stanbic Holdings Limited's presentation currency rounded to the nearest thousand.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in profit or loss within 'finance income or cost'. All other foreign exchange gains and losses are presented in statement of profit or loss within other income or other expenses.

Translation differences related to changes in amortised cost are recognised in profit or loss, and other changes in carrying amount are recognised in OCI.

Translation differences on non-monetary financial assets and liabilities, such as equities held at fair value through profit or loss, are recognised in profit or loss as part of the fair value gain or loss. Translation differences on non-monetary financial assets, such as equities classified as available-for-sale financial assets, are included in OCI.

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

(i) assets and liabilities for each statement of financial position presented are translated at the closing rate at the end of the reporting period;

(ii) income and expenses for each statement of profit or loss amount are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and

(iii) all resulting exchange differences are recognised in other comprehensive income.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

d) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker (CODM). The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Group's Chief Executive Officer (CEO) with the assistance of the Group's Executive Committee (EXCO) and the Asset and Liability Committee (ALCO).

Transactions between segments are priced at market-related rates, with intra-segment revenue and costs being eliminated in Group. Income and expenses directly associated with each segment are included in determining business segment performance.

2. Summary of significant accounting policies (continued)

e) Revenue and expenditure

Banking activities

Revenue is derived substantially from the business of banking and related activities and comprises interest income, fee and commission revenue and other non-interest revenue.

Net interest income

Interest income and expense (with the exception of those borrowing costs that are capitalised), are recognised in the statement of profit or loss on an accrual basis using the effective interest method for all interest-bearing financial instruments, except for those classified at fair value through profit or loss which are included under trading income. In terms of the effective interest method, interest is recognised at a rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

Direct incremental transaction costs incurred and origination fees received, including loan commitment fees, as a result of bringing margin-yielding assets or liabilities into the statement of financial position, are capitalised to the carrying amount of financial instruments that are not at fair value through profit or loss and amortised as interest income or expense over the life of the asset or liability as part of the effective interest rate.

Where the estimates or receipts on financial assets (except those that have been reclassified) or financial liabilities are subsequently revised, the carrying amount of the financial asset or liability is adjusted to reflect actual and revised estimated cash flows. The carrying amount is calculated by computing the present value of the estimated cash flows at the financial asset's original effective interest rate. Any adjustment to the carrying value is recognised in interest income.

Interest is recognised on the gross loan balance before taking portfolio impairment into account.
Where financial assets have been specifically impaired, interest income continues to be recognised on the impaired value based on the original effective interest rate.

Net interest income (continued)

Gains and losses on the disposal of dated financial instruments, including amounts removed from other comprehensive income in respect of available-for-sale financial assets, and excluding those classified as held for trading, are included in net interest income.

Non-interest revenue

Net fee and commission revenue

Fee and commission revenue, including transactional fees, account servicing fees, investment management fees, sales commission, placement fees and syndication fees are recognised as the related services are performed. Loan commitment fees for loans that are not expected to be drawn down are recognised on a straight-line basis over the commitment period.

Loan syndication fees, where the Group does not participate in the syndication or participates at the same effective interest rate for comparable risk as other participants, are recognised as revenue when the syndication has been completed. Syndication fees that do not meet these criteria are capitalised as origination fees and amortised as interest income.

The fair value of issued financial guarantee contracts on initial recognition is amortised as income over the term of the contract.

Fee and commission expense included in net fee and commission revenue are mainly transaction and service fees relating to financial instruments, which are expensed as the services are received.

Trading revenue

Trading revenue comprises all gains and losses from changes in the fair value of trading assets and liabilities, together with related interest income, expense and dividends.

2. Summary of significant accounting policies (continued)

e) Revenue and expenditure (continued)

Banking activities (continued)

Other revenue

Other revenue includes gains and losses on equity instruments designated at fair value through profit or loss, gains and losses on realised undated available-for-sale financial assets and, dividends relating to those financial instruments.

Net income from financial instruments designated at fair value includes all gains and losses from changes in the fair value of undated financial assets and liabilities designated at fair value through profit or loss, including dividend income arising on these financial instruments.

Gains and losses on undated available-for-sale financial assets are transferred from other comprehensive income to profit or loss on realisation of the investments. Dividends on these instruments are recognised in profit or loss.

Gains and losses on all other undated financial instruments that are not held for trading are recognised in other revenue.

Dividend income

Dividends are recognised in profit or loss when the right to receipt is established.

f) Cash and cash equivalents

Cash and cash equivalents disclosed in the statement of cash flows consist of cash and balances with Central Banks and other short term highly liquid investments with maturities of three months or less including investment securities with original maturities of 90 days or less and balances with other Groups. Cash and cash equivalents exclude the cash reserve held with Central Bank of Kenya. Cash and balances with Central Banks comprise coins and bank notes and balances with central banks.

The assets in this category had a total carrying value of KShs 39,588,922,000 at the financial reporting date of 31 December 2015 (2014: KShs 22,610,152,000).

g) Financial instruments

(i) Initial recognition and measurement

Financial instruments include all financial assets and liabilities. These instruments are typically held for liquidity, investment, trading or hedging purposes. All financial instruments are initially recognised at fair value plus directly attributable transaction costs, except those carried at fair value through profit or loss where transaction costs are recognised immediately in profit or loss. Financial instruments are recognised (derecognised) on the date the Group commits to purchase (sell) the instruments (trade date accounting).

(ii) Subsequent measurement

Subsequent to initial measurement, financial instruments are measured either at fair value or amortised cost, depending on their classifications as follows:

a. Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has both the positive intent and ability to hold to maturity. Where the Group is to sell more than an insignificant amount of held-to-maturity investments, the entire category would be tainted and reclassified as available-for-sale assets with the difference between amortised cost and fair value being accounted for in OCI.

Held-to-maturity investments are carried at amortised cost, using the effective interest method, less any impairment losses.

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(ii) Subsequent measurement (continued)

b. Held-for-trading assets and liabilities

Held-for-trading assets and liabilities include those financial assets and liabilities acquired or incurred principally for the purpose of selling or repurchasing in the near term, those forming part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking, and commodities that are acquired principally by the Group for the purpose of selling in the near future and generating a profit from fluctuations in price or broker-traders' margin. Derivatives are always categorised as held-for-trading.

Subsequent to initial recognition, the financial instruments' fair values are remeasured at each reporting date. All gains and losses, including interest and dividends arising from changes in fair value are recognised in profit or loss as trading revenue within non-interest revenue with the exception of derivatives that are designated and effective as hedging instruments (refer to 'Derivative financial instruments and hedge accounting' within this accounting policy for further details).

c. Financial assets and liabilities designated at fair value through profit or loss

The Group designates certain financial assets and liabilities, other than those classified as held-for-trading, as at fair value through profit or loss when:

- this designation eliminates or significantly reduces an accounting mismatch that would otherwise arise. Under this criterion, the main classes of financial instruments designated by the Group are loans and advances to banks and customers and financial investments. The designation significantly reduces measurement inconsistencies that would have otherwise arisen. For example, where the related derivatives were treated as held-for-trading and the underlying financial instruments were carried at amortised cost. This category also includes financial assets used to match investment contracts groups of financial assets, financial liabilities or both are managed, and their performance evaluated, on a fair value basis in accordance with a documented risk management or investment strategy, and reported to the Group's key management personnel on a fair-value basis. Under this criterion, certain private equity, and other investment portfolios have been designated at fair value through profit or loss; or
- financial instruments containing one or more embedded derivatives that significantly modify the instruments' cash flows.

The fair value designation is made on initial recognition and is irrevocable. Subsequent to initial recognition, the fair values are remeasured at each reporting date. Gains and losses arising from changes in fair value are recognised in interest income (interest expense) for all debt financial assets (financial liabilities) and in other revenue within non-interest revenue for all equity instruments.

(d) Available-for-sale

Financial assets classified by the Group as available-for-sale are generally strategic capital investments held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices, or non-derivative financial assets that are not classified within another category of financial assets.

Available-for-sale financial assets are subsequently measured at fair value. Unrealised gains or losses are recognised directly in the available-for-sale reserve until the financial asset is derecognised or impaired. When debt (equity) available-for-sale financial assets are disposed of, the cumulative fair value adjustments in OCI are reclassified to interest income.

Available-for-sale financial assets are impaired when there has been a significant or prolonged decline in the fair value of the financial asset below its cost. The cumulative fair value adjustments previously recognised in OCI on the impaired financial assets are reclassified to profit or loss. Reversals of impairments on equity available-for-sale financial assets are recognised in OCI.

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(ii) Subsequent measurement (continued)

(d) Available-for-sale (continued)

Interest income, calculated using the effective interest method, is recognised in profit or loss. Dividends received on debt (equity) available-for-sale instruments are recognised in interest income (other revenue) within profit or loss when the Group's right to receive payment has been established.

(e) Loans and advances

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those classified by the Group as at fair value through profit or loss or available-for-sale

Loans and receivables are measured at amortised cost using the effective interest method, less any impairment losses. Origination transaction costs and origination fees received that are integral to the effective rate are capitalised to the value of the loan and amortised through interest income as part of the effective interest rate. The majority of the Group's loans and advances are included in the loans and receivables category.

(f) Financial liabilities at amortised cost

Financial liabilities that are neither held for trading nor designated at fair value are measured at amortised cost.

(iii) Reclassification of financial assets

The Group may choose to reclassify non-derivative trading assets out of the held-for-trading category if the financial asset is no longer held for the purpose of selling it in the near term. Financial assets that would not otherwise have met the definition of loans and receivables are permitted to be reclassified out of the held-for-trading category only in rare circumstances. In addition, the Group may choose to reclassify financial assets that would meet the definition of loans and receivables out of the held-for-trading or available-for-sale categories if the Group, at the date of reclassification, has the intention and ability to hold these financial assets for the foreseeable future or until maturity.

Derivatives or any financial instrument designated at fair value through profit or loss shall not be reclassified out of their respective categories.

Reclassifications are made at fair value as of the reclassification date. Effective interest rates for financial assets reclassified to loans and receivables, held-to-maturity and available-for-sale categories are determined at the reclassification date. Subsequent increases in estimates of cash flows adjust the financial asset's effective interest rates prospectively.

On reclassification of a trading asset, all embedded derivatives are reassessed and, if necessary, accounted for separately.

(iv) Impairment of financial assets

(a) Assets carried at amortised cost

The Group assesses at each reporting date whether there is objective evidence that a loan or group of loans is impaired. A loan or group of loans is impaired if objective evidence indicates that a loss event has occurred after initial recognition which has a negative effect on the estimated future cash flows of the loan or group of loans that can be estimated reliably.

Criteria that are used by the Group in determining whether there is objective evidence of impairment include:

- known cash flow difficulties experienced by the borrower
- a breach of contract, such as default or delinquency in interest and/or principal payments
- breaches of loan covenants or conditions
- it becoming probable that the borrower will enter bankruptcy or other financial reorganisation, and
- where the Group, for economic or legal reasons relating to the borrower's financial difficulty, grants the borrower a concession that the Group would not otherwise consider.

The Group first assesses whether there is objective evidence of impairment individually for loans that are individually significant, and individually or collectively for loans that are not individually significant.

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(iv) Impairment of financial assets (continued)

(a) Assets carried at amortised cost (continued)

Non-performing loans include those loans for which the Group has identified objective evidence of default, such as a breach of a material loan covenant or condition as well as those loans for which instalments are due and unpaid for 90 days or more. The impairment of non-performing loans takes into account past loss experience adjusted for changes in economic conditions and the nature and level of risk exposure since the recording of the historic losses.

When a loan carried at amortised cost has been identified as specifically impaired, the carrying amount of the loan is reduced to an amount equal to the present value of its estimated future cash flows, including the recoverable amount of any collateral, discounted at the financial asset's original effective interest rate. The carrying amount of the loan is reduced through the use of a specific credit impairment account and the loss is recognised as a credit impairment charge in profit or loss.

The calculation of the present value of the estimated future cash flows of collateralised financial assets recognised on an amortised cost basis includes cash flows that may result from foreclosure less costs of obtaining and selling the collateral, whether or not foreclosure is probable.

If the Group determines that no objective evidence of impairment exists for an individually assessed loan, whether significant or not, it includes the loan in a group of financial loans with similar credit risk characteristics and collectively assesses for impairment. Loans that are individually assessed for impairment and for which an impairment loss is recognised are not included in a collective assessment for impairment.

Impairment of groups of loans that are assessed collectively is recognised where there is objective evidence that a loss event has occurred after the initial recognition of the group of loans but before the reporting date. In order to provide for latent losses in a group of loans that have not yet been identified as specifically impaired, a credit impairment for incurred but not reported losses is recognised based on historic loss patterns and estimated emergence periods (time period between the loss trigger events and the date on which the Group identifies the losses).

Groups of loans are also impaired when adverse economic conditions develop after initial recognition, which may impact future cash flows. The carrying amount of groups of loans is reduced through the use of a portfolio credit impairment account and the loss is recognised as a credit impairment charge in profit or loss.

Increases in loan impairments and any subsequent reversals thereof, or recoveries of amounts previously impaired (including loans that have been written off), are reflected within credit impairment charges in profit or loss. Previously impaired loans are written off once all reasonable attempts at collection have been made and there is no realistic prospect of recovering outstanding amounts. Any subsequent reductions in amounts previously impaired are reversed by adjusting the allowance account with the amount of the reversal recognised as a reduction in impairment for credit losses in profit or loss.

Subsequent to impairment, the effects of discounting unwind over time as interest income.

(b) Renegotiated loans

Loans that would otherwise be past due or impaired and whose terms have been renegotiated and exhibit the characteristics of a performing loan are reset to performing loan status. Loans whose terms have been renegotiated are subject to on-going review to determine whether they are considered to be impaired or past due.

The effective interest rate of renegotiated loans that have not been derecognised (described under the heading Derecognition of financial instruments), is predetermined based on the loan's renegotiated terms.

Available-for-sale financial assets are impaired if there is objective evidence of impairment, resulting from one or more loss events that occurred after initial recognition but before the reporting date, that have a negative impact on the future cash flows of the asset. In addition, an available-for-sale equity instrument is considered to be impaired if a significant or prolonged decline in the fair value of the instrument below its cost has occurred. In that instance, the cumulative loss, measured as the difference between the acquisition price and the current fair value, less any previously recognised

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(b) Renegotiated loans (continued)

impairment losses on that financial asset, is reclassified from OCI to profit or loss.

If, in a subsequent period, the amount relating to impairment loss decreases and the decrease can be linked objectively to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through profit or loss for available-for-sale debt instruments. Any reversal of an impairment loss in respect of an available-for-sale equity instrument is recognised directly in OCI.

(v) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set-off the recognised amounts and there is an intention to settle the asset and the liability on a net basis, or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions.

(vi) Derivative financial instruments and hedge accounting

A derivative is a financial instrument whose fair value changes in response to an underlying variable, requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors and is settled at a future date. Derivatives are initially recognised at fair value on the date on which the derivatives are entered into and subsequently remeasured at fair value.

All derivative instruments are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative, subject to offsetting principles as described under the heading Offsetting financial instruments.

Embedded derivatives included in hybrid instruments are treated and disclosed as separate derivatives when their economic characteristics and risks are not closely related to those of the host contract, the terms of the embedded derivative are the same as those of a stand-alone derivative and the combined contract is not measured at fair value through profit or loss. The financial host contracts are accounted for and measured applying the rules of the relevant financial instrument category.

The method of recognising fair value gains and losses depends on whether the derivatives are designated as hedging instruments, and if so, the nature of the hedge relationship, or if they are classified as held-for-trading.

(a) Derivatives that qualify for hedge accounting

When derivatives are designated in a hedge relationship, the Group designates them as either:

- hedges of the fair value of recognised financial assets or liabilities or firm commitments (fair value hedges)
- hedges of highly probable future cash flows attributable to a recognised asset or liability, a forecast transaction, or a highly probable forecast intragroup transaction in the consolidated annual financial statements (cash flow hedges), or

Hedge accounting is applied to derivatives designated in this way provided certain criteria are met. The Group documents, at the inception of the hedge relationship, the relationship between hedged items and hedging instruments, as well as its risk management objective and strategy for undertaking various hedging relationships. The Group also documents its assessment, both at the inception of the hedge and on an on-going basis, of whether the hedging instruments are highly effective in offsetting changes in fair values or cash flows of hedged items

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(b) Fair value hedges

Where a hedging relationship is designated as a fair value hedge, the hedged item is adjusted for the change in fair value in respect of the risk being hedged. Gains or losses on the remeasurement of both the derivative and the hedged item are recognised in profit or loss. Fair value adjustments relating to the hedging instrument are allocated to the same line item in profit or loss as the related hedged item. Any hedge ineffectiveness is recognised in profit or loss as trading revenue

If the derivative expires, is sold, terminated, exercised, no longer meets the criteria for fair value hedge accounting, or the designation is revoked, then hedge accounting is discontinued. The adjustment to the carrying amount of a hedged item measured at amortised cost, for which the effective interest method is used, is amortised to profit or loss as part of the hedged item's recalculated effective interest rate over the period to maturity.

(c) Derivatives that do not qualify for hedge accounting

All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting are recognised immediately in profit or loss as trading revenue.

(d) Derivatives that qualify for hedge accounting

When derivatives are designated in a hedge relationship, the Group designates them as either:

- hedges of the fair value of recognised financial assets or liabilities or firm commitments (fair value hedges)
- hedges of highly probable future cash flows attributable to a recognised asset or liability, a forecast transaction, or a highly probable forecast intragroup transaction in the consolidated annual financial statements (cash flow hedges), or
- Hedge accounting is applied to derivatives designated in this way provided certain criteria are met. The Group documents, at the inception of the hedge relationship, the relationship between hedged items and hedging instruments, as well as its risk management objective and strategy for undertaking various hedging relationships. The Group also documents its assessment, both at the inception of the hedge and on an on-going basis, of whether the hedging instruments are highly effective in offsetting changes in fair values or cash flows of hedged items.

  There were no derivatives that qualified for hedge accounting in 2015 (2014: Nil).

(vii) Borrowings

Borrowings are recognised initially at fair value, generally being their issue proceeds, net of directly attributable transaction costs incurred. Borrowings are subsequently measured at amortised cost and interest is recognised using the effective interest method.

(viii) Financial guarantee contracts

A financial guarantee contract is a contract that requires the Group (issuer) to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial guarantee contracts are initially recognised at fair value, which is generally equal to the premium received, and then amortised over the life of the financial guarantee. Subsequent to initial recognition, the financial guarantee liability is measured at the higher of the present value of any expected payment, when a payment under the guarantee has become probable, and the unamortised premium.

2. Summary of significant accounting policies (continued)

g) Financial instruments (continued)

(ix) Derecognition of financial instruments

Financial assets are derecognised when the contractual rights to receive cash flows from the financial assets have expired, or where the Group has transferred its contractual rights to receive cash flows on the financial asset such that it has transferred substantially all the risks and rewards of ownership of the financial asset. Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or a portion of the risks or rewards of the transferred assets. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised. Transfers of assets with the retention of all or substantially all risks and rewards include securities lending and repurchase agreements.

When assets are sold to a third party with a concurrent total rate of return swap on the transferred assets, the transaction is accounted for as a secured financing transaction, similar to repurchase transactions. In transactions where the Group neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset, the asset is derecognised if control over the asset is lost. The rights and obligations retained in the transfer are recognised separately as assets and liabilities as appropriate.

In transfers where control over the asset is retained, the Group continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

Financial liabilities are derecognised when they are extinguished, that is, when the obligation is discharged, cancelled or expires.

Where an existing financial asset or liability is replaced by another with the same counterparty on substantially different terms, or the terms of an existing financial asset or liability are substantially modified, such an exchange or modification is treated as a derecognition of the original asset or liability and the recognition of a new asset or liability, with the difference in the respective carrying amounts being recognised in profit or loss.

In all other instances, the renegotiated asset or liability's effective interest rate is predetermined taking into account the renegotiated terms.

(x) Sale and repurchase agreements and lending of securities (including commodities)

Securities sold subject to linked repurchase agreements (repurchase agreements) are reclassified in the statement of financial position as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral. The liability to the counterparty is included under deposit and current accounts or trading liabilities, as appropriate.

Securities purchased under agreements to resell (reverse repurchase agreements), at either a fixed price or the purchase price plus a lender's rate of return, are recorded as loans and included under trading assets or loans and advances, as appropriate.

For repurchase and reverse repurchase agreements measured at amortised cost, the difference between the purchase and sales price is treated as interest and amortised over the expected life using the effective interest method.

Securities lent to counterparties are retained in the annual financial statements. Securities borrowed are not recognised in the annual financial statements unless sold to third parties. In these cases, the obligation to return the securities borrowed is recorded at fair value as a trading liability.

Income and expenses arising from the securities borrowing and lending business are recognised over the period of the transactions.

2. Summary of significant accounting policies (continued)

h) Intangible assets

Goodwill

Goodwill arises on the acquisition of subsidiaries, associates and joint ventures and represents the excess of the consideration transferred over the Company's interest in net fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the Group's Cash-generating Units (CGU), or groups of CGUs that is expected to benefit from the synergies of the combination.

Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Note 28 sets out the major cash generating unit to which goodwill has been allocated.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment An impairment loss is recognised whenever the carrying amount of an asset or its CGU exceeds its recoverable amount. Impairment losses are allocated first to reduce the carrying amount of any goodwill allocated to a CGU and then to reduce the carrying amount of other assets in the CGU on a pro rata basis. The carrying amount of these other assets may, however, not be reduced below the higher of the CGU's fair value less costs to sell and its value in use. Any impairment recognised on goodwill is not subsequently reversed.

Computer software

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use; management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Computer software development costs recognised as assets are amortised over their estimated useful lives, which does not exceed three years.
Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised on the basis of the expected useful lives. Software has a maximum expected useful life of 5 years.

Other intangible assets

The Group recognises the costs incurred on internally generated intangible assets such as brands, customer lists, customer contracts and similar rights and assets, in profit or loss as incurred.

The Group capitalises brands, customer lists, customer contracts and similar rights acquired in business combinations.
Capitalised intangible assets are measured at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets, not exceeding 20 years, from the date that they are available for use.
Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted, if necessary. There have been no changes in the estimated useful lives from those applied in the previous financial year.

Notes (continued)

2. Summary of significant accounting policies (continued)

i) Property and equipment

Equipment and owner-occupied properties

Land and buildings comprise mainly branches and offices. All property and equipment is stated at historical cost less accumulated depreciation and accumulated impairment losses. Historical cost includes expenditure that is directly attributable to the acquisition of these assets.

Subsequent costs are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits will flow to the Group and the cost of the item can be measured reliably. Maintenance and repairs, which do not meet these criteria, are recognised in profit or loss as incurred.

Depreciation, impairment losses and gains or losses on disposal of assets are included in profit or loss.

Owner-occupied properties are held for use in the supply of services or for administrative purposes.

Property and equipment are depreciated on the straight-line basis over the estimated useful lives of the assets to their residual values. Land is not depreciated.

Leasehold buildings are depreciated over the period of the lease or over a lesser period, as is considered appropriate.

The assets' residual values and useful lives and the depreciation method applied are reviewed, and adjusted if appropriate, at each financial year-end.

The estimated useful lives of tangible assets for the current financial year are as follows:

Buildings	40 years
Computer	3 to 5 years
Motor vehicles	4 to 5 years
Office equipment	5 to 10 years
Furniture and fittings	5 to 13 years
Capitalised leased assets	over the shorter of the lease term or its useful life

There has been no change to the estimated useful lives from those applied in the previous financial year.

j) Impairment of non-financial assets

Intangible assets that have an indefinite useful life and goodwill are tested annually for impairment. Intangible assets that are subject to amortisation and other non-financial assets are reviewed for impairment at each reporting date and tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised in profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. Fair value less costs to sell is determined by ascertaining the current market value of an asset and deducting any costs related to the realisation of the asset.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purposes of assessing impairment, assets that cannot be tested individually are grouped at the lowest levels for which there are separately identifiable cash inflows from continuing use (cash-generating units).

Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. In respect of other non-financial assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists.

2. Summary of significant accounting policies (continued)

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed through profit or loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

k) Leases

Group as lessee

Leases, where the Group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of the fair value of the leased asset and the present value of the minimum lease payments. Lease payments are calculated using the interest rate implicit in the lease to identify the finance cost, which is recognised in profit or loss over the lease period, and the capital repayment, which reduces the liability to the lessor.

Leases of assets are classified as operating leases if the lessor retains a significant portion of the risks and rewards of ownership. Payments made under operating leases, net of any incentives received from the lessor, are recognised in profit or loss on a straight-line basis over the term of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

Group as lessor

Lease and instalment sale contracts are primarily financing transactions in banking activities, with rentals and instalments receivable, less unearned finance charges, being included in loans and advances in the statement of financial position.

Finance charges earned are computed using the effective interest method, which reflects a constant periodic rate of return on the investment in the finance lease. Initial direct costs and fees are capitalised to the value of the lease receivable and accounted for over the lease term as an adjustment to the effective rate of return.

The benefits arising from investment allowances on assets leased to clients are accounted for in tax.

Leases of assets under which the Group retains a significant portion of the risks and rewards of ownership are classified as operating leases. Operating lease income from properties held as investment properties, net of any incentives given to lessees, is recognised on the straight-line basis over the lease term.

When an operating lease is terminated before the lease period has expired, any payment required by the lessee by way of a penalty is recognised as income in the period in which termination takes place.

l) Provisions and contingent liabilities

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Provisions are determined by discounting the expected future cash flows using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the liability.

A provision for restructuring is recognised when the Group has approved a detailed formal plan, and the restructuring either has commenced or has been announced publicly. Future operating costs or losses are not provided for.

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract.

The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract.

2. Summary of significant accounting policies (continued)

m) Provisions and contingent liabilities (continued)

Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

Contingent liabilities include certain guarantees, other than financial guarantees, and letters of credit pledged as collateral security. Contingent liabilities are not recognised in the financial statements but are disclosed in the notes to the financial statements unless they are remote.

n) Employee benefits

(i) Defined contribution plan

The majority of the Group's employees are eligible for retirement benefits under a defined contribution plan. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme. A defined contribution plan is a retirement benefit plan under which the Group pays fixed contributions into a separate entity.

The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees. The Group's contributions to the defined contribution schemes are charged to the statement of profit or loss in the year in which they fall due.

(ii) Short-term benefits

Short-term benefits consist of salaries, accumulated leave payments, profit share, bonuses and any non-monetary benefits such as medical aid contributions.

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short-term cash bonus plans or accumulated leave if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Employee entitlements to annual leave are recognised when they accrue to employees.

A provision is made for the estimated liability for annual leave and long-service leave as a result of services rendered by employees up to the reporting date.

(iii) Equity compensation plans

The Group operates both equity-settled and cash-settled share-based compensation plans.

The fair value of equity-settled share options is determined on the grant date and accounted for as staff costs over the vesting period of the share options, with a corresponding increase in the share-based payment reserve. Non-market vesting conditions, such as the resignation of employees and retrenchment of staff, are not considered in the valuation but are included in the estimate of the number of options expected to vest. At each reporting date, the estimate of the number of options expected to vest is reassessed and adjusted against profit or loss and equity over the remaining vesting period.

On vesting of share options, amounts previously credited to the share-based payment reserve are transferred to retained earnings through an equity transfer. On exercise of equity-settled share options, proceeds received are credited to share capital and premium.

Share-based payments settled in cash are accounted for as liabilities at fair value until settled. The liability is recognised over the vesting period and is revalued at every reporting date and on settlement. Any changes in the liability are recognised in profit or loss.

2. Summary of significant accounting policies (continued)

o) Current and deferred income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

(i) Current income tax

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(ii) Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements

However, deferred income tax liabilities are not recognised if they arise from the initial recognition of goodwill; deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

p) Share capital

Ordinary shares are classified as ‘share capital’ in equity. Any premium received over and above the par value of the shares is classified as ‘share premium’ in equity.

q) Dividends on ordinary shares

Dividends on ordinary shares are charged to equity in the period in which they are declared.

r) Fiduciary activities

The group commonly engages in trust or other fiduciary activities that result in the holding or placing of assets on behalf of individuals, trusts, post-employment benefit plans and other institutions. These assets and the income arising directly thereon are excluded from these annual financial statements as they are not assets of the group. However, fee income earned and fee expenses incurred by the group relating to the group’s responsibilities from fiduciary activities are recognised in profit or loss.

s) Capitalisation of borrowing costs

Borrowing costs that relate to qualifying assets, that is, assets that necessarily take a substantial period of time to get ready for their intended use or sale and which are not measured at fair value, are capitalised. All other borrowing costs are recognised in profit or loss.

t) Comparative figures

Where necessary, comparative figures within notes have been restated to conform to changes in presentation in the current year.

3. Critical accounting estimates and judgements in applying accounting policies

The Group makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

a) Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in the statement of profit or loss, the Group makes judgement as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

Management's estimates of future cash flows on individually impaired loans are based on historical loss experience for assets with similar credit risk characteristics. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience. Where the net present value of estimated cash flows to differ by +/-1%, the impairment loss is to be estimated at KShs 29,091,000 higher or KShs 29,091,000 lower (2014: Kshs 20,157,000 higher or KShs 20,157,000 lower).

b) Fair value of financial instruments

The fair value of financial instruments that are not quoted in active markets are determined by using valuation techniques. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of the area that created them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data, however areas such as credit risk (both own and counterparty), volatilities and correlations require management to make estimates.
Changes in assumptions about these factors could affect reported fair value of financial instruments.

c) Impairment of goodwill

The Group tests annually whether goodwill has suffered any impairment, in accordance with the accounting policy stated in Note 2(j). The recoverable amounts of cash-generating units have been determined based on value-in-use calculations. The carrying amount of the goodwill and the key assumptions made are set out in Note 28.

d) Income taxes

Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred income tax provisions in the period in which such determination is made.

4 Segmental reporting

The Group is currently organised into two business units – Corporate and Investment Banking (CIB), Personal and Business Banking (PBB). The results of the business units are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance.

The Group is required to disclose information to the users of its financial statements to evaluate the nature and financial effects of the business activities in which it engages and the economic environments in which it operates in compliance with IFRS 8.

An operating segment is a component of the Group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. Identification of segments and the measurement of segment results is based on the Group's internal reporting to management.

Management has determined the operating segments based on the reports reviewed by the Group's Chief Executive Officer (CEO) with the assistance of the Group's Executive Committee (EXCO) and the Asset and Liability Committee (ALCO). Management considers the business from client turnover perspective.

The Group has therefore segmented its business as Personal & Business Banking (PBB), Corporate and Investment Banking (CIB). This is in line with Group reporting and decision making reports.

The geographical spread (across borders) is also used as a part of performance analysis. The Group operates one branch in the Republic of South Sudan.

Personal and Business Banking (PBB)

PBB provides banking services to individual customers and small to medium sized enterprises. The products offered include:

- Mortgage lending – provides residential accommodation loans to individual customers.
- Instalment sales and finance leases – comprises two areas, instalment finance in the consumer market, mainly vehicles, and secondly, finance of vehicles and equipment in the business market.
- Card products – provides card facilities to individuals and businesses.
- Transactional and lending products – transactions in products associated with the various points of contact channels such as ATMs, Internet, and branches. This includes deposit taking activities, electronic banking, cheque accounts and other lending products.

Corporate and Investment Banking (CIB)

CIB provides commercial and investment financial services to larger corporates, financial institutions and international counterparties. The products offered include:

- Global markets – includes foreign exchange and debt securities and equities trading.
- Transactional products and services – includes transactional banking and investor services.
- Investment banking – includes project finance, advisory, structured finance, structured trade finance, corporate lending, primary markets and property finance.
- Wealth Management & Advising.

Major customers

The Group does not have any one major customer that contributes more than 10% of its revenues. However the Group has one major customer whose deposits contribute 8% (2014: 6%) of total deposits as at December 2015.The interest expense paid to this customer is reported under the Corporate and Investment Banking segment.

Notes (continued)

4. Segmental reporting (continued)

Results by business units

Statement of profit or loss	Total Group Kshs'000 2015	Total Group Kshs'000 2014	CIB Kshs'000 2015	CIB Kshs'000 2014	PBB Kshs'000 2015	PBB Kshs'000 2014
Interest income	14,667,896	11,642,457	8,756,339	6,918,617	5,911,557	4,723,840
Interest expense	(5,364,849)	(3,180,512)	(3,659,579)	(2,269,415)	(1,705,270)	(911,097)
Net interest income	**9,303,047**	**8,461,945**	**5,096,760**	**4,649,202**	**4,206,287**	**3,812,743**
Impairment (losses)/credits on loans and advances	(907,305)	(702,822)	(240,239)	(60,729)	(667,066)	(642,093)
Net interest income after loan impairment charges	**8,395,742**	**7,759,123**	**4,856,521**	**4,588,473**	**3,539,221**	**3,170,650**
Fees and commission income	3,392,725	3,554,511	1,704,498	1,646,545	1,688,227	1,907,966
Fees and commission expense	(323,723)	(246,864)	(111,767)	(3,215)	(211,956)	(243,649)
Net fees and commission income	**3,069,002**	**3,307,647**	**1,592,731**	**1,643,330**	**1,476,271**	**1,664,317**
Trading income	4,306,531	4,779,322	3,980,514	4,779,322	326,017	-
Net other operating income	265,695	321,584	132,549	103,569	133,146	218,015
Net trading and other income	**4,572,226**	**5,100,906**	**4,113,063**	**4,882,891**	**459,163**	**218,015**
Employee benefits	(5,035,142)	(4,472,141)	(2,350,916)	(2,029,581)	(2,684,226)	(2,442,560)
Depreciation and amortisation expense	(503,832)	(556,912)	(191,916)	(220,141)	(311,916)	(336,771)
Other expenses	(3,138,582)	(3,438,377)	(1,543,706)	(1,969,391)	(1,594,876)	(1,468,986)
Profit before tax	**7,359,414**	**7,700,246**	**6,475,777**	**6,895,581**	**883,637**	**804,665**
Income tax expense	(2,453,680)	(2,013,585)	(2,160,402)	(1,791,415)	(293,278)	(222,170)
Profit for the year	**4,905,734**	**5,686,661**	**4,315,375**	**5,104,166**	**590,359**	**582,495**

Notes (continued)

4. Segmental reporting (continued)

Results by business units (continued)

The Group is domiciled in Kenya and the revenue and non-current assets by country of domicile are included in the sections below:

Statement of financial position	Total Group Kshs'000	Total Group Kshs'000	CIB Kshs'000	CIB Kshs'000	PBB Kshs'000	PBB Kshs'000
	2015	2014	2015	2014	2015	2014
Assets						
Cash and balances with Central Bank of Kenya	11,350,098	9,555,580	10,322,589	8,697,931	1,027,509	857,649
Financial assets	48,701,992	52,167,614	48,701,992	52,149,864	-	17,750
Derivative assets	4,377,196	1,960,415	4,377,196	1,960,415	-	-
Loans and advances	128,163,157	101,210,109	78,676,781	57,984,570	49,486,376	43,225,539
Property, equipment and intangibles	3,056,126	2,898,601	1,147,278	1,186,217	1,908,848	1,712,384
Goodwill	9,349,759	9,349,759	9,349,759	9,349,759	-	-
Deferred income tax	361,322	1,435,226	264,412	545,230	96,910	889,996
Current income tax	382,965	4,294	258,684	(30,019)	124,281	34,313
Other receivables and prepayments	2,709,300	2,417,387	1,003,105	293,219	1,706,195	2,124,168
Total assets	**208,451,915**	**180,998,985**	**154,101,796**	**132,137,186**	**54,350,119**	**48,861,799**
Liabilities						
Deposits	153,670,812	129,409,143	100,052,866	84,611,477	53,617,946	44,797,666
Current income tax	89,535	-	66,228	(2,358)	23,307	2,358
Trading liabilities	521,973	-	521,973	-	-	-
Derivative liabilities	3,361,440	2,232,264	3,361,440	2,232,264	-	-
Borrowings	6,482,063	6,513,417	4,145,719	4,215,066	2,336,344	2,298,351
Other liabilities and accrued expenses	5,961,263	5,948,971	3,754,482	2,624,555	2,206,781	3,324,416
Total liabilities	**170,087,086**	**144,103,795**	**111,902,708**	**93,681,004**	**58,184,378**	**50,422,791**
Shareholders' equity	**38,364,829**	**36,895,190**	**28,182,316**	**28,172,562**	**10,182,513**	**8,722,628**
Funding	-	-	**14,016,773**	**10,283,620**	**(14,016,773)**	**(10,283,620)**
Total equity and liabilities	**208,451,915**	**180,998,985**	**154,101,797**	**132,137,186**	**54,350,118**	**48,861,799**
Other information						
Additions to property and equipment	501,881	461,422	139,667	156,998	362,214	304,424
Additions to intangible assets	342,425	6,500	75,930	2,238	266,495	4,262

4. Segmental reporting (continued)

Results by geographical area (continued)

Statement of profit or loss

	Total Kshs'000 2015	Total Kshs'000 2014	Sudan Kshs'000 2015	Sudan Kshs'000 2014	Kenya Kshs'000 2015	Kenya Kshs'000 2014
Interest income	14,667,896	11,642,456	12,265	10,077	14,655,631	11,632,379
Interest expense	(5,364,849)	(3,180,512)	-	-	(5,364,849)	(3,180,512)
Net interest income	**9,303,047**	**8,461,944**	**12,265**	**10,077**	**9,290,782**	**8,451,867**
Impairment losses on loans and advances	(907,305)	(702,822)	-	-	(907,305)	(702,822)
Net interest income after loan impairment charges	**8,395,742**	**7,759,122**	**12,265**	**10,077**	**8,383,477**	**7,749,045**
Fees and commission income	3,392,725	3,586,823	270,739	499,039	3,121,986	3,087,784
Fees and commission expense	(323,723)	(279,176)	(2,842)	(11,798)	(320,881)	(267,378)
Net fees and commission income	**3,069,002**	**3,307,647**	**267,897**	**487,241**	**2,801,105**	**2,820,406**
Trading income	4,306,531	4,779,321	768,347	877,397	3,538,184	3,901,924
Net other operating income	265,695	321,583	120,202	16	145,493	321,567
Net trading and other income	**4,572,226**	**5,100,904**	**888,549**	**877,413**	**3,683,677**	**4,223,491**
Employee benefits	(5,035,142)	(4,472,141)	(328,280)	(286,264)	(4,706,862)	(4,185,877)
Depreciation and amortisation expense	(503,832)	(556,912)	(42,113)	(33,093)	(461,719)	(523,819)
Other expenses	(3,138,582)	(3,438,375)	(333,180)	(495,904)	(2,805,402)	(2,942,471)
Profit before tax	**7,359,414**	**7,700,245**	**465,138**	**559,470**	**6,894,276**	**7,140,775**
Income tax expense	(2,453,680)	(2,013,585)	(89,148)	(88,571)	(2,364,532)	(1,925,014)
Profit for the year	**4,905,734**	**5,686,661**	**375,990**	**470,899**	**4,529,744**	**5,215,761**

Notes (continued)

4. Segmental reporting (continued)

Results by geographical area (continued)

Statement of financial position	Total Kshs'000 2015	Total Kshs'000 2014	Sudan Kshs'000 2015	Sudan Kshs'000 2014	Kenya Kshs'000 2015	Kenya Kshs'000 2014
Assets						
Cash and balances with Central Bank of Kenya	18,286,126	17,563,801	7,703,815	8,348,361	10582,311	9,215,440
Financial assets	48,701,992	52,167,613	58,752	242,743	48,643,240	51,924,870
Derivative assets	4,377,196	1,960,415	-	-	4,377,196	1,960,415
Loans and advances	124,381,139	96,542,734	2,495,611	2,957,700	121,885,528	93,585,034
Investment in subsidiary	-	-	-	-	-	-
Property, equipment and intangibles	3,056,126	2,898,601	51,676	245,532	3,004,450	2,653,069
Goodwill	9,349,759	9,349,759	-	-	9,349,759	9,349,759
Deferred income tax	361,324	1,435,489	3,033	636	358,291	1,434,853
Current income tax	382,965	72,548	-	37,954	382,965	34,594
Other receivables and prepayments	4,332,139	4,657,686	27,783	171,855	4,304,356	4,485,831
Total assets	**213,228,766**	**186,648,646**	**10,340,670**	**12,004,781**	**202,888,096**	**174,643,865**
Liabilities						
Deposits	156,836,039	132,749,988	7,811,039	8,046,134	149,025,000	124,703,854
Current income tax	89,535	68,254	80,305	-	9,230	68,254
Trading liabilities	521,973	-	-	-	521,973	-
Derivative liabilities	3,361,440	2,232,264	-	-	3,361,440	2,232,264
Borrowings	6,482,063	6,513,417	-	-	6,482,063	6,513,417
Other liabilities and accrued expenses	7,572,887	8,189,533	1,795,503	2,655,031	5,777,384	5,534,502
Total liabilities	**174,863,937**	**149,753,456**	**9,686,847**	**10,701,165**	**165,177,090**	**139,052,291**
Shareholders' equity	**38,364,829**	**36,895,190**	**653,823**	**1,303,617**	**37,711,006**	**35,591,574**
Total equity and liabilities	**213,228,766**	**186,648,646**	**10,340,670**	**12,004,782**	**202,888,096**	**176,643,865**
Other information						
Additions to property and equipment	501,881	461,423	4,466	126,497	497,415	334,926
Additions to intangible assets	342,425	6,500	703	-	341,722	6,500

Notes (continued)

4. Segmental reporting (continued)

Results by geographical area (continued)

Reconciliation of reportable assets and liabilities

	2015 KShs'000	2014 KShs'000
Assets		
Total assets for reportable segments	213,228,766	186,648,646
Elimination of inter-branch balances with South Sudan	(4,776,849)	(5,649,661)
Entity's assets	**208,451,917**	**180,998,985**
Liabilities		
Total liabilities for reportable segments	213,228,766	186,648,646
Elimination of inter-branch balances with South Sudan	(4,776,849)	(5,649,661)
Entity's liabilities	**208,451,917**	**180,998,985**

4 Financial risk management

Group risk management framework and governance structures

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risks
- Operational risks

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The Board has established various committees in the operating subsidiaries, including the Asset and Liability (ALCO), Credit and Operational Risk committees, which are responsible for developing and monitoring risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors of the Group and the respective subsidiary on their activities.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Audit and Risk Committees are responsible for monitoring compliance with the Group's risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the Group. The Audit Committees are assisted in these functions by Internal Audit. Internal Audit undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committees.

4. Financial risk management (continued)

a) Capital management

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the face of statement of financial position, are:

- To comply with the capital requirements set by the regulator, Capital Markets Authority.
- To safeguard the Group's ability (and its subsidiaries) to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders.
- To maintain a strong capital base to support the development of its business; and
- To comply, at the operating companies level, with capital requirements set by respective regulators such as the Central Bank of Kenya and Bank of South Sudan.

Capital management – Company

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Company may limit the amount of dividends paid to shareholders, issue new shares, or sell assets to reduce debt.

The company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

Total capital is calculated as equity plus net debt.

	2015 KShs'000	2014 KShs'000
Total borrowings	-	-
Total equity	18,236,650	18,207,192
Gearing ratio	**-**	**-**

The Board of Directors at the subsidiary companies are responsible for monitoring and ensuring compliance with the regulatory framework as established by the regulating bodies, namely Central Bank of Kenya, Capital Markets Authority, Bank of South Sudan and the Nairobi Securities Exchange. This section presents information about the Group's management of capital in the main operating divisions.

5 Financial risk management (continued)

a) Capital management (continued)

Capital management - Group

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the face of statement of financial position, are:

- To comply with the capital requirements set by the regulator, of the respective subsidiary
- To safeguard the Group's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

SBG Securities Limited is a fully owned subsidiary of the Group and is required by the regulator, Capital Markets Authority (CMA) to maintain a core capital of KShs 250 million for the brokerage business.

The Group is significantly made up of CfC Stanbic Bank, which is a fully owned subsidiary. The Bank is regulated by the Central Bank of Kenya. The Ban**k** monitors the adequacy of its capital using ratios established by the Central Bank of Kenya (CBK), which ratios are broadly in line with those for the Bank for International Settlements (BIS). These ratios measure capital adequacy by comparing the Bank's eligible capital with its statement of financial position assets, off-balance-sheet commitments and market and other risk positions at weighted amounts to reflect their relative risk.

The risk-based approach applies to both on and off- balance sheet items. The focus of this approach is credit risk, interest rate risk, market risk, operational risk, concentration risk and underlying collateral risk.

The assets are weighted according to broad categories, each being assigned a risk weighting according to the amount of capital deemed to be necessary to support them. Four categories of risk weights (0%, 20%, 50%, and 100%) are applied.

The Bank is required at all times to maintain:

- A regulatory capital of KShs 1 billion as at 31 December 2015.
- A core capital (tier 1) of not less than 10.5% of total risk weighted assets plus risk weighted off statement of financial position items;
- A core capital (tier 1) of not less than 8% of its total deposit liabilities; and
- A total capital (tier 1 + tier 2) of not less than 14.5% of its total risk adjusted assets plus risk adjusted off statement of financial position items.

Off-balance sheet credit related commitments and forwards are converted to credit risk equivalents using credit conversion factors, designed to convert these items into statement of financial position equivalents. The resulting credit equivalent amounts are then weighted for credit risk using the same percentages as for statement of financial position assets.

5. Financial risk management (continued)

a) Capital management (continued)

Capital management - Group (continued)

Tier 1 capital consists of shareholders' equity comprising paid up share capital, share premium and retained earnings less intangible assets, goodwill and investments in subsidiary institutions and equity instruments of other institutions. Tier 2 capital includes the Bank's term subordinated debt and regulatory loan loss reserves and cannot exceed tier 1 capital. Regulatory loan loss reserves qualifying as tier 2 capital cannot exceed 1.25% of the risk weighted assets total value.

Effective 1 January 2015 the Central Bank of Kenya prescribed that Banks should hold a capital conservation buffer of 2.5% over and above minimum ratios set in 2014 to enable it withstand future periods of stress. This brings the minimum core capital to risk weighted assets and total capital to risk weighted assets requirements from 8% in 2014 to 10.5% in 2015 and 12% in 2014 to 14.5% in 2015, respectively. The bank has complied with these requirements

Bank's regulatory capital

	2015 KShs'000	2014 KShs'000
Tier 1 capital (Core capital)		
Share capital	3,411,549	3,411,549
Share premium	3,444,639	3,444,639
Foreign currency translation reserve	(1,094,225)	(68,403)
Retained earnings	20,119,010	17,520,145
Total Tier 1 capital (Core capital)	**25,880,973**	**24,307,930**
Tier 2 capital		
Regulatory credit risk reserve	195,697	129,649
Qualifying subordinate liabilities	4,274,558	4,812,270
Total Tier 2 capital	**4,470,255**	**4,941,919**
Total capital (Tier 1 + Tier 2)	**30,351,228**	**29,249,849**
Risk - weighted assets		
Operational risk	28,772,589	25,239,097
Market risk	10,530,868	13,218,970
Credit risk on-statement of financial position	107,210,903	86,866,067
Credit risk off-statement of financial position	15,769,803	13,410,401
Total risk - weighted assets	**162,284,163**	**138,734,535**
Capital adequacy ratios		
Core capital / total deposit liabilities	23.50%	23.70%
Minimum statutory ratio	8.00%	8.00%
Core capital / total risk - weighted assets	15.90%	17.52%
Minimum statutory ratio	10.50%	10.50%
Total capital / total risk - weighted assets	18.70%	21.08%
Minimum statutory ratio	14.50%	14.50%

5. Financial risk management (continued)

b) Credit risk

Credit risk is the risk of loss arising out of failure of client counterparties to meet their financial or contractual obligations when due.

Credit risk is composed of counterparty risk (including primary, pre-settlement risk, issuer and settlement risk) and concentration risk. These risk types are defined as follows:

Counterparty risk: The risk of credit loss to the Group as a result of failure by a counterparty to meet its financial and/or contractual obligations to the Group as they fall due.

Credit concentration risk: The risk of loss to the Group as a result of excessive build-up of exposure to a specific counterparty or counterparty group, an industry, market, product, financial instrument or type of security, or geography, or a maturity. This concentration typically exists where a number of counterparties are engaged in similar activities and have similar characteristics, which could result in their ability to meet contractual obligations being similarly affected by changes in economic or other conditions.

Governance committees

The primary governance committees overseeing credit risk are the Board Credit Risk Committee (BCC) and Credit Risk Management Committee (CRMC). These committees are responsible for credit risk and credit concentration risk decision-making, and delegation thereof to Credit officers and committees within defined parameters.

Credit risk management is governed by the Group's overall credit policy guidelines. Respective Credit Risk Management Divisions, which report into the BCC, are responsible for the implementation of these guidelines, which cover compliance with prescribed sanctioning authority levels, avoidance of a high concentration of credit risk and regular review of credit limits. Limits on facilities to counter-parties are governed by internal restraints, which restrict large exposures in relation to the Group's capital

The Group has set in place comprehensive resources, expertise and controls to ensure efficient and effective management of credit risk.

General approach to managing credit risk.

The Group's credit risk comprises mainly wholesale and retail loans and advances, together with the counterparty credit risk arising from derivative contracts entered into with our clients and market counterparties.

The Group manages credit risk through:

- maintaining strong culture of responsible lending and a robust risk policy and control framework
- identifying, assessing and measuring credit risk clearly and accurately across the Group, from the level of individual facilities up to the total portfolio
- defining, implementing and continually re-evaluating our risk appetite under actual and scenario conditions
- monitoring the Group's credit risk relative to limits
- ensuring that there is expert scrutiny and independent approval of credit risks and their mitigation.

5. Financial risk management (continued)

b) Credit risk (continued)

General approach to managing credit risk (continued)

Primary responsibility for credit risk management resides with the Group's business lines. This is complemented with an independent credit risk function embedded within the business units, which is in turn supported by the overarching group risk function.

Impairment provisions are provided for losses that have been incurred at the statement of financial position date. Significant changes in the economy, or in the health of a particular industry segment that represents a concentration of the Group's portfolio, could result in losses that are different from those provided for at the reporting date. Management therefore carefully manages its exposure to credit risk.

The exposure to any one borrower including Groups is further restricted by sub-limits covering on - and off-balance sheet exposures and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Exposure to credit risk is managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees, but a significant portion is personal lending where no such facilities can be obtained.

Management reporting

A number of reports are prepared as management information on credit risk. Various analysis of the data are done and a variety of reports are prepared on a monthly and quarterly basis. Some of these reports include:

- Monthly BCRC Report
- Quarterly Board Audit Report
- Quarterly Board Risk Report
- Regulatory returns
- Half-year results
- Annual financial statements

These reports are distributed to SBG controlling divisions, regulators and are available for inspection by authorised personnel.

5. Financial risk management (continued)

b) Credit risk (continued)

Credit risk measurement (continued)

Loans and advances including loan commitments and guarantees

The estimation of credit exposure is complex and requires the use of models, as the value of a product varies with changes in market variables, expected cash flows and the passage of time. The assessment of credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations between counterparties.

The Group has developed models to support the quantification of the credit risk. These rating and scoring models are in use for all key credit portfolios and form the basis for measuring default risks. All models are managed under model development and validation policies that set out the requirements for model governance structures and processes, and the technical framework within which model performance and appropriateness is maintained. The models are developed using internal historical default and recovery data. In low default portfolios, internal data is supplemented with external benchmarks and studies. Models are assessed frequently to ensure on-going appropriateness as business environments and strategic objectives change, and are recalibrated annually using the most recent internal data

In measuring credit risk of loans and advances to customers and to Groups at a counter-party level, the Group reflects three components:

(i) the 'probability of default' by the client or counter-party on its contractual obligations;

(ii) current exposures to the counter-party and its likely future development, from which the Group derives the 'exposure at default'; and

(iii) the likely recovery ratio on the defaulted obligations (the 'loss given default').

Probability of default

The Group uses a 25-point master rating scale to quantify the credit risk for each borrower as illustrated in the table on page 45. Ratings are mapped to PDs by means of calibration formulae that use historical default rates and other data from the applicable portfolio. The Group distinguishes between through-the-cycle PDs and point-in-time PDs, and utilises both measures in decision-making and in managing credit risk exposures.

Loss given default

Loss given default (LGD) measures are a function of customer type, product type, seniority of loan, country of risk and level of collateralisation. LGDs are estimated based on historic recovery data per category of LGD. A downturn LGD is used in the estimation of the capital charge and reflects the anticipated recovery rates and macroeconomic factors in a downturn period.

Exposure at default

Exposure at default (EAD) captures the impact of potential draw-downs against unutilised facilities and changes in counterparty risk positions due to changes in market prices. By using historical data, it is possible to estimate the average utilisation of limits of an account when default occurs, recognising that customers may use more of their facilities as they approach default.

Debt securities

For debt securities, external rating such as Standard & Poor's rating or their equivalents are used by Group Treasury for managing of the credit risk exposures as supplemented by the Group's own assessment through the use of internal ratings tools.

Notes (continued)

5. Financial risk management (continued)

b) Credit risk (continued)

Credit risk measurement (continued)

Relationship between the bank master rating and external ratings

Core Banking system rating scale	Moody's Investor Services	Standard & Poor's	Fitch	Grading	Credit quality
1-4	Aaa, Aa1, Aa2,Aa3	AAA,AA+,AA,AA-	AAA, AA+,AA,AA-	Investment grade	Normal monitoring
5-7	A1, A2, A3	A+, A, A-	A+ A, A-		
8-12	Baa1, Baa2, Baa3	BBB+, BBB, BBB-	BBB+, BBB, BBB-		
13-21	Ba1, Ba2, Ba3, B1, B2, B3	BB+, BB, BB-, B+, B, B-	BB+,BB, BB-, B+,B, B-	Sub- investment grade	
22-25	Caa1, Caa2, Caa3,Ca	CCC+,CCC,CCC-	CCC+,CCC,CCC-		Closing monitoring
Default	C	D	D	D	D

5. Financial risk management (continued)

b) Credit risk (continued)

Risk limit control and mitigation policies

The Group manages, limits and controls concentrations of credit risk wherever they are identified − in particular, to individual counterparties and banks, industries and countries.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary. Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors.

The exposure to any one borrower including banks and brokers is further restricted by sublimit covering on- and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Some other specific control and mitigation measures are outlined below:

i. Credit tailored to customer profile

There is a clear distinction between the fundamental credit characteristics of the Group's customer base. This customer base is managed according to the following market segments:

- Corporate and Investment Banking
- Personal and Business Banking

The Group has established separate credit management functions for each market segment.

Corporate and Investment Banking (CIB) - (Corporate, sovereign and Group portfolios)

Corporate, sovereign and bank borrowers include Kenyan and international companies, sovereigns, local government entities, bank financial institutions, non-Group financial institutions and public sector entities. The entities include large companies as well as small and medium enterprises that are managed on a relationship basis. Creditworthiness is assessed based on a detailed individual assessment of the financial strength of the borrower. Exposure is usually in the form of short and long-term loans and advances but may include exposures arising from derivative contracts. In these sectors, credit risk management is characterised by a close working relationship between the counter-party, the customer relationship team and an independent credit evaluation manager. The credit evaluation manager bases his lending decision on an in-depth knowledge of the counterparty and the industry in which it operates, as well as an assessment of the creditworthiness of the counter-party based on a review of the audited financial statements and underlying risk parameters.

CIB believes that the use of sophisticated modelling techniques combined with an in-depth knowledge and understanding of each client is essential in properly assessing the credit risk, both initially and on an on-going basis, of each counterparty with whom it deals.

To this end CIB uses software developed by third party vendors, which is widely used by the banking industry globally in its credit management process. Expected default frequencies are an important tool in the formal credit assessment process of both new and existing business, and also form the basis for monitoring changes in counterparty credit quality on a day to day basis. Expected default frequencies will continue to be a vital component of credit risk management as the Group continues to improve credit processes and increases focus on portfolio credit management.

5. Financial risk management (continued)

b) Credit risk (continued)

Risk limit control and mitigation policies (continued)

(i) Credit tailored to customer profile (continued)

Personal and Business Banking (PBB) Retail portfolio

Retail mortgage exposures relate to mortgage loans to individuals and are a combination of both drawn and undrawn EADs. Qualifying retail revolving exposure (QRRE) relate to cheque accounts, credit cards and evolving personal loans and products, and include both drawn and undrawn exposures. Retail other covers other branch lending and vehicle finance for retail, retail small and retail medium enterprise portfolios. Branch lending includes both drawn and undrawn exposures, while vehicle and asset finance only has drawn exposures.

Internally developed behavioural scorecards are used to measure the anticipated performance for each account. Mapping of the behaviour score to a PD is performed for each portfolio using a statistical calibration of portfolio-specific historical default experience. The behavioural scorecard PDs are used to determine the portfolio distribution on the master rating scale. Separate LGD models are used for each product portfolio and are based on historical recovery data. EAD is measured as a percentage of the credit facility limit and is based on historical averages. EAD is estimated per portfolio and per portfolio-specific segment, using internal historical data on limit utilisation.

(ii) Financial covenants (for credit related commitments and loan books)

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit, which represent irrevocable assurances that the Group will make payments in the event that a customer cannot meet its obligations to third parties, carry the same credit risk as loans. Documentary and commercial letters of credit, which are written undertakings by the Group on behalf of a customer authorising a third party to draw drafts on the Group up to a stipulated amount under specific terms and conditions, are collateralised by the underlying shipments of goods to which they relate and therefore carry less risk than a direct borrowing.

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Group is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards. The Group monitors the term to maturity of credit commitments because longer-term commitments generally have a greater degree of credit risk than shorter-term commitments.

(iii) Master netting arrangements

The Group further restricts its exposure to credit losses by entering into master netting arrangements with counterparties with which it undertakes a significant volume of transactions. Master netting arrangements do not generally result in an offset of assets and liabilities of the statement of financial position, as transactions are either usually settled on a gross basis or under most netting agreements the right of set off is triggered only on default. However, the credit risk associated with favourable contracts is reduced by a master netting arrangement to the extent that if a default occurs, all amounts with the counterparty are terminated and settled on a net basis. The Group's overall exposure to credit risk on derivative instruments subject to master netting arrangements can change substantially within a short period, as it is affected by each transaction subject to the arrangement.

5. Financial risk management (continued)

b) Credit risk (continued)

Risk limit control and mitigation policies (continued)

(iv) Derivative

For derivative transactions, the Group typically uses internationally recognised and enforceable International Swaps and Derivatives Association (ISDA) agreements, with a credit support annexure, where collateral support is considered necessary. Other credit protection terms may be stipulated, such as limitations on the amount of unsecured credit exposure acceptable, collateralisation if mark-to-market credit exposure exceeds acceptable limits, and termination of the contract if certain credit events occur, for example, downgrade of the counterparty's public credit rating.

(v) Collateral

The Group employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advanced, which is common practice. The Group implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The main types of collateral taken are:

Personal and Business Banking	
Mortgage lending	First ranking legal charge over the property financed.
Instalment sales	Joint registration of vehicles.
Other loans and advances	Debentures over the company's assets, cash cover in cash margin account, first ranking legal charge over both commercial and residential properties, directors' personal guarantees and company guarantees
Corporate and Investment Banking	
Corporate lending .	All assets debenture over the company's assets, cash cover in cash margin account, first ranking legal charge over both commercial and residential properties, directors' personal guarantees and company guarantees

Longer-term finance and lending to corporate entities is generally secured; revolving individual credit facilities are generally unsecured. In addition, in order to minimise possible credit loss the Group seeks additional collateral from the counter-party as soon as impairment indicators are noticed for the relevant individual loans and advances.

Collateral held as security for financial assets other than loans and advances is determined by the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured, with the exception of asset-backed securities and similar instruments, which are secured by portfolios of financial instruments.

Valuation of collateral

The Group has a panel of valuers who undertake valuation of property and other assets to be used as Collateral. The valuers in the panel are qualified professional valuers with adequate experience in the field of property and machinery valuation. All the valuers on the panel provide the Group with professional indemnity to cover the Group in case of negligence. The Group ensures that all properties used as collateral are adequately insured during the term of the loan. Valuation reports on properties are valid for three years after which the property and equipment is revalued.

5. Financial risk management (continued)

b) Credit risk (continued)

Risk limit control and mitigation policies (continued)

The table on page 50 shows the financial effect that collateral has on the Group's maximum exposure to credit risk. The table includes collateral that management takes into consideration in the management of the Group's exposures to credit risk. All on- and off-balance sheet exposures that are exposed to credit risk, including non-performing loans, have been included.

Collateral includes:

- Financial securities that have a tradable market, such as shares and other securities
- Physical items, such as property, plant and equipment
- Financial guarantees and intangible assets.

Netting agreements, which do not qualify for offset under IFRS but which are nevertheless enforceable, are included as part of the Group's collateral for risk management purposes. All exposures are presented before the effect of any impairment provisions.

In the retail portfolio, 79% (2014: 56%) is fully collateralised. The total average collateral coverage for all retail mortgage exposures in the 50% to 100% collateral coverage category is 71% (2014: 80%).

Of the Group's total exposure, 42% (2014: 60%) is unsecured and mainly reflects exposures to well-rated corporate counterparties, Group counterparties and sovereign entities.

Notes (continued)

5. Financial risk management (continued)

b) Credit risk (continued)

Risk limit control and mitigation policies (continued)

v) Collateral (continued)

31 December 2015	Total exposure	Unsecured exposure	Secured exposure	Netting agreements	Secured exposure after netting	Collateral coverage - Total: Greater than 0% to 50%	Collateral coverage - Total: Greater than 50% to 100%	Collateral coverage - Total: Greater than 100%
Asset class								
Corporate	96,591,565	3,932,693	92,658,872	-	92,658,872	5,666,386	81,892,739	5,099,747
Sovereign	53,111,448	53,111,448	-	-	-	-	-	-
Group	23,114,332	23,114,332	-	-	-	-	-	-
Retail	51,477,882	10,606,843	40,871,039	-	40,871,039	2,280,152	36,538,751	2,052,137
-Retail mortgage	18,032,916	-	18,032,916	-	18,032,916	-	18,032,916	-
-Other retail	33,444,968	10,606,843	22,838,125	-	22,838,125	2,280,153	18,505,835	2,052,137
Total	**224,295,229**	**90,765,316**	**133,529,913**	**-**	**133,529,913**	**7,946,538**	**118,431,490**	**7,151,884**
Add: Financial assets not exposed to credit risk	10,799,100							
Add: Coins and Group notes	9,632,761							
Add: Other financial assets	1,166,339							
Less: Impairments for loans and advances	(2,430,402)							
Less: Unrecognised off balance sheet items	(37,362,184)							
Total exposure	**195,301,743**							
Reconciliation to balance sheet								
Cash and balances with central banks	11,350,098							
Derivative assets	4,377,196							
Financial investments	29,012,415							
Trading assets	16,250,195							
Pledged assets	3,439,383							
Other financial assets	2,709,299							
Net loans and advances	128,163,157							
Total on – balance sheet exposure	**195,301,743**							

Notes (continued)

5. Financial risk management (continued)

b) Credit risk (continued)

Risk limit control and mitigation policies (continued)

v) Collateral (continued)

31 December 2014	Collateral coverage - Total							
	Total exposure	**Unsecured exposure**	**Secured exposure**	**Netting agreements**	**Secured exposure after netting**	**Greater than 0% to 50%**	**Greater than 50% to 100%**	**Greater than 100%**
Asset class								
Corporate	76,046,850	4,399,105	71,647,745	-	71,647,745	2,372,023	27,535,732	41,739,990
Sovereign	59,263,744	59,263,744		-				
Group	12,965,465	12,965,465		-				
Retail	48,665,462	7,389,667	41,275,795	-	41,275,795	10,596,454	10,566,097	20,113,244
-Retail mortgage	14,491,750	-	14,491,750	-	14,491,750	-	6,862,303	7,629,447
-Other retail	34,173,712	7,389,667	26,784,045	-	26,784,045	10,596,454	3,703,794	12,483,797
Total	**196,941,521**	**84,017,981**	**112,923,540**	**-**	**112,923,540**	**12,968,477**	**38,101,829**	**61,853,234**
Add: Financial assets not exposed to credit risk	3,427,360							
Add: Coins and Group notes	1,945,768							
Add: Other financial assets	1,481,592							
Less: Impairments for loans and advances	(1,991,978)							
Less: Unrecognised off balance sheet items	(31,065,798)							
Total exposure	**167,311,105**							
Reconciliation to balance sheet								
Cash and balances with central banks	9,555,580							
Derivative assets	1,960,415							
Financial investments	25,446,393							
Trading assets	23,836,927							
Pledged assets	2,884,293							
Other financial assets	2,417,387							
Net loans and advances	101,210,110							
Total on – balance sheet exposure	**167,311,105**							

5. Financial risk management (continued)

b) Credit risk (continued)

Risk limit control and mitigation policies (continued)

(v) Collateral (continued)

Repossessed Collateral

Assets repossessed as at the end of the year comprise saloon vehicles, prime movers and trailers, which had been financed by the Group under Vehicle and Asset Finance (VAF) and residential and commercial property financed under personal markets. As at the year end, the Group had taken possession of the following:

	2015 KShs' 000	2014 KShs' 000
Nature of assets		
Residential property	47,600	12,500
Other	178,780	490,965
	226,380	**503,465**

It is the Group's policy to dispose of repossessed properties on the open market, at fair market value. The proceeds are used to reduce or repay the outstanding claim. In general, the Group does not occupy repossessed properties for business use.

(vi) Renegotiated financial assets

Renegotiated loans and advances are exposures which have been refinanced, rescheduled, rolled over or otherwise modified following weaknesses in the counterparty's financial position, and where it has been judged that normal repayment will likely continue after the restructure. The table below shows the carrying amount of financial assets that would otherwise be past due or impaired whose terms have been renegotiated, by class;

	2015 KShs' 000	2014 KShs' 000
Personal and Business Banking		
Instalment sales and finance leases	407,790	534,607
Other loans and advances	533,184	289,494
Corporate and Investment Banking		
	-	-
	940,974	**824,101**

5. Financial risk management (continued)

b) Credit risk (continued)

(vii) Impairment and provisioning policy

The internal and external rating systems described above focus more on credit-quality mapping from the inception of the lending and investment activities. In contrast, impairment provisions are recognised for financial reporting purposes only for losses that have been incurred at the reporting date based on objective evidence of impairment. Due to the different methodologies applied, the amount of incurred credit losses provided for in the financial statements is lower than the amount determined from the expected loss model used for internal operational management and banking regulation purposes.

The internal rating tool assists management to determine whether objective evidence of impairment exists under IAS 39, based on the following criteria set out by the Group:

- Delinquency in contractual payments of principal or interest;
- Cash flow difficulties experienced by the borrower (e.g. equity ratio, net income percentage of sales);
- Breach of loan covenants or conditions;
- Initiation of Bankruptcy proceedings;
- Deterioration of the borrower's competitive position;
- Deterioration in the value of collateral.

The Group's policy requires the review of individual financial assets that are above materiality thresholds at least annually or more regularly when individual circumstances require. Impairment allowances on individually assessed accounts are determined by an evaluation of the incurred loss at reporting date on a case-by-case basis, and are applied to all individually significant accounts. The assessment normally encompasses collateral held (including re-confirmation of its enforceability) and the anticipated receipts for that individual account.

Collectively assessed impairment allowances are provided for: (i) portfolios of homogenous assets that are individually below materiality thresholds; and (ii) losses that have been incurred but have not yet been identified, by using the available historical experience, experienced judgment and statistical techniques.

The credit quality of financial assets is managed by the Group using the Group's internal credit rating system. The credit rating system utilises both quantitative and qualitative information in arriving at the credit rating. Financial information is used and is key in arriving at the credit rating of individual borrowers. The qualitative information used in generating the credit rating includes quality of management, account operation and the industry in which the customer operates. The key consideration though remains the ability of the customer to meet its financial obligation from its cash flow.

The impairment provision shown in the statement of financial position at year-end is derived from each of the five internal rating grades. However, the majority of the impairment provision comes from the bottom two grading (doubtful and loss categories).

5. Financial risk management (continued)

b) Credit risk (continued)

(vii) Impairment and provisioning policy (continued)

Criteria for classification of loans and advances

Performing loans

Neither past due nor specifically impaired loans: are loans that are current and fully compliant with all contractual terms and conditions. Normal monitoring loans within this category are generally rated 1 to 21, and close monitoring loans are generally rated 22 to 25 using the Group's master rating scale.

Early arrears but not specifically impaired loans: include those loans where the counterparty has failed to make contractual payments and payments are less than 90 days past due, but it is expected that the full carrying value will be recovered when considering future cash flows, including collateral. Ultimate loss is not expected but could occur if the adverse conditions persist.

Non-performing loans

Non-performing loans are those loans for which:

- the Group has identified objective evidence of default, such as a breach of a material loan covenant or condition, or
- instalments are due and unpaid for 90 days or more.

Non-performing specifically impaired loans: are those loans that are regarded as non-performing and for which there has been a measurable decrease in estimated future cash flows.

Specifically impaired loans are further analysed into the following categories:

- *Sub-standard:* Items that show underlying well-defined weaknesses and are considered to be specifically impaired.
- *Doubtful:* Items that are not yet considered final losses due to some pending factors that may strengthen the quality of the items.
- *Loss:* Items that are considered to be uncollectible in whole or in part. The group provides fully for its anticipated loss, after taking collateral into account.

(viii) Credit Quality

Maximum exposure to credit risk before collateral held or other credit enhancements

Financial instruments whose carrying amounts do not represent the maximum exposure to credit risk without taking account of any collateral held or other credit enhancements are disclosed in Note 4 (viii). The directors are confident in the ability to continue to control and sustain minimal exposure of credit risk to the Group resulting from both the loan and advances portfolio and debt securities based on the following:

- 54% of the total maximum exposure is derived from loans and advances to customers (2014: 53%); 25% represents investments in debt securities (2014: 31%).
- 78% of the loans and advances portfolio is categorised in the top two grades of the internal rating system (2014: 88%);
- 96% of the loans and advances portfolio are considered to be neither past due nor impaired (2014: 96%); and
- 99% of all the debt securities, which the Bank has invested in, are issued by the Central Bank of Kenya (2014: 99%).

Notes (continued)

5. Financial risk management (continued)

b) Credit risk (continued)

(viii) Credit quality (continued)

The table below shows the credit quality by class of loans and advances based on the Group's credit rating system.

Year ended 31 December 2015	Total Loans and Advances to Customers (Net of IIS)	Balance sheet impairments for performing loans	Performing loans															
			Neither past due nor specifically impaired		Not specifically impaired		Specifically impaired loans											
							Non-performing loans											
			Normal monitoring	Close monitoring	Early arrears	Non-performing	Sub-standard	Doubtful	Loss	Total	Securities and expected recoveries on specifically	Net after securities and expected recoveries on specifically impaired	Balance sheet impairments for non-performing specifically impaired loans	Gross Specific Impairment Coverage	Total non-performing loans	Non-performing loans	Interest in Suspense LCY'000
	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 Kshs'000	2015 %	2015 Kshs'000	2015 %	2015 Kshs'000
	N=A+B+C+L-M		A	B	C	D	E	F	G	H=E+F+G	I	J=H-I	K		L=H+D		M
Personal & Business Banking	**51,119,214**	**589,025**	**36,471,462**	**5,992,222**	**6,167,723**	**-**	**1,903,928**	**261,532**	**620,175**	**2,785,635**	**1,404,643**	**1,380,992**	**1,083,164**	**44**	**2,686,177**	**4.9**	**297,828**
Mortgage lending	17,891,656	102,202	12,705,282	2,846,400	1,644,624	-	832,832	-	3,778	836,610	576,617	259,993	118,733	14.2	836,610	4.7	141,260
Instalment sales and finance leases	10,952,446	211,999	7,070,353	388,864	2,737,022	-	513,542	251,918	47,857	813,317	367,120	446,197	389,087	47.8	813,317	7.4	57,110
Card debtors	286,220	-	227,248		49,298	-	-	-	9,674	9,674	262	9,412	9,412	97.3	9,674	3.4	-
Other Loans and Advances	21,988,892	274,824	16,468,579	2,756,958	1,736,779	-	557,554	9,614	558,866	1,126,034	460,644	665,390	565,932	50.3	1,026,576	4.7	99,458
Overdrafts	*763,607*	*13,209*	*354,844*	*183,780*	*212,204*	-	*562*	*1,887*	*10,866*	*13,315*	*-5,882*	*19,197*	*18,661*	*140.2*	*13,315*	*1.7*	*536*
Term Loans	*9,854,983*	*159,659*	*8,345,010*	*320,153*	*682,982*	-	*64,787*	*3,067*	*493,355*	*561,209*	*49,515*	*511,694*	*457,323*	*81.5*	*561,209*	*5.7*	*54,371*
Business Term Loans and Overdrafts	*11,370,302*	*101,956*	*7,768,725*	*2,253,025*	*841,593*	-	*492,205*	*4,660*	*54,645*	*551,510*	*417,011*	*134,499*	*89,948*	*16.3*	*551,510*	*4.9*	*44,551*
Corporate & Investment Banking	**56,292,754**	**570,224**	**36,676,994**	**4,176,834**	**13,756,292**	**124,542**	**1,920,102**	**28,115**	**-**	**1,948,217**	**1,370,103**	**578,114**	**187,989**	**9.6**	**2,072,759**	**3.7**	**390,125**
Corporate loans	56,292,754	570,224	36,676,994	4,176,834	13,756,292	124,542	1,920,102	28,115	-	1,948,217	1,370,103	578,114	187,989	9.6	2,072,759	3.7	390,125
Gross loans and advances	**107,411,968**	**1,159,249**	**73,148,456**	**10,169,056**	**19,924,015**	**124,542**	**3,824,030**	**289,647**	**620,175**	**4,733,852**	**2,774,746**	**1,959,106**	**1,271,153**	**26.9**	**4,758,936**	**4.4**	**687,953**
Percentage of total book (%)	**100%**	**1.08%**	**68.10%**	**9.47%**	**18.55%**	**0.12%**	**3.56%**	**0.27%**	**0.58%**	**4.41%**	**2.58%**	**1.82%**	**1.18%**		**4.43%**		**0.64%**
Less:																	
Balance sheet impairment for performing loans	(1,159,249)																
Balance sheet impairments for non-performing specifically impaired loans	(1,271,153)																
Net loan advances to customers	**104,981,566**																

Notes (continued)

5. Financial risk management (continued)

(b) Credit risk (continued)

(viii) Credit quality (continued)

Year ended 31 December 2014		Performing loans			Non-performing loans											
		Neither past due nor specifically impaired		Not specifically impaired		Specifically impaired loans										
						NPL* NET OF IIS**										
	Total loans and advances to customers	Normal monitoring	Close monitoring	Early arrears	Non-performing	Sub-standard	Doubtful	Loss	Total	Securities and expected recoveries on specifically impaired loans	Net after securities and expected recoveries on specifically impaired loans	Balance sheet impairments for non-performing specifically impaired loans	Gross specific impairment coverage	Total non-performing loans	Non-performing loans as a %	Interest in Suspense
	2014	2014	2014	2014	2014	2014	2014	2014	2014	2014	2014	2014		2014		2014
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	%	KShs'000		KShs'000
	N=A+B+C+L	A	B	C	D	E	F	G	H=E+F+G	I	J=H-I	K		L=H+D		M
Personal and Business Grouping	**44,699,473**	**37,287,645**	**1,077,271**	**4,699,413**	**-**	**886,407**	**140,401**	**608,335**	**1,635,143**	**682,031**	**953,112**	**908,113**	**58%**	**1,635,144**	**4%**	**241,772**
- Mortgage lending	14,491,506	12,693,138	47,079	1,367,878	-	380,943	-	2,468	383,411	333,643	49,768	4,768	13%	383,411	3%	95,707
- Instalment sales and finance leases	10,191,281	7,686,620	328,970	1,762,946	-	255,776	135,546	21,423	412,745	134,000	278,745	278,745	68%	412,745	4%	52,128
- Card debtors	291,292	231,195	-	50,712	-	-	-	9,386	9,386	3,773	5,613	5,613	60%	9,386	3%	-
- Other loans and advances	19,725,393	16,676,693	701,222	1,517,877	-	249,688	4,855	575,058	829,601	210,615	618,987	618,987	75%	829,602	4%	93,937
Corporate and Investment Grouping	**45,639,943**	**38,626,541**	**3,080,981**	**2,543,834**	**-**	**1,343,880**	**44,707**	**-**	**1,388,587**	**1,238,634**	**149,953**	**149,953**	**11%**	**1,388,587**	**3%**	**104,570**
- Corporate lending	45,639,943	38,626,541	3,080,981	2,543,834	-	1,343,880	44,707	-	1,388,587	1,238,634	149,953	149,953	11%	1,388,587	3%	104,570
Total recognised loans and advances to customers	**90,339,416**	**75,914,187**	**4,158,252**	**7,243,247**	**-**	**2,230,287**	**185,108**	**608,335**	**3,023,734**	**1,920,665**	**1,103,065**	**1,058,066**	**36%**	**3,023,730**	**3%**	**346,342**
Percentage of total loans and advances (%)		84.03%	4.60%	8.02%	0.00%	2.47%	0.20%	0.67%	3.35%	2.13%	1.22%	1.22%		3.35%		0.38%
Less;																
Balance sheet impairment for performing loans	-888,912															
Balance sheet impairments for non-performing specifically impaired loans	-1,103,066															
Net loans and advances to customers	**88,347,438**															

*NPL – Non performing loans

**IIS – Interest in suspense

Notes (continued)

5. Financial risk management (continued)

b) Credit risk management (continued)

(viii) Credit quality (continued)

Loans and advances less than 90 days past due are not considered impaired unless other information is available to indicate the contrary.

The table below shows the ageing of financial assets that are past due at the reporting date but not impaired, per class.

	Performing (Early arrears)			Non - performing		
31 December 2015	**Less than 30 days 2015 KShs'000**	**31 to 60 days 2015 KShs'000**	**61 to 90 days 2015 KShs'000**	**91 to 180 days 2015 KShs'000**	**More than 180 days 2015 KShs'000**	**Total 2015 KShs'000**
Personal and Business Banking	**4,184,395**	**1,368,090**	**615,238**	**-**	**-**	**6,167,723**
Mortgage lending	1,045,668	347,436	251,522	-	-	1,644,626
Instalment sales and finance leases	1,776,396	730,076	230,550	-	-	2,737,022
Other loans and advances	1,362,331	290,578	133,166	-	-	1,786,075
						-
Corporate and Investment Banking	13,034,037	309,417	412,838	-	124,542	13,880,834
Corporate lending	13,034,037	309,417	412,838	-	124,542	13,880,834
	-					-
Total recognised financial instruments	**17,218,432**	**1,677,507**	**1,028,076**		**124,542**	**20,048,557**
31 December 2014						
Personal and Business Banking	**2,089,094**	**762,805**	**329,636**	**-**	**-**	**3,181,535**
Mortgage lending	964,683	315,647	87,548	-	-	1,367,878
Instalment sales and finance leases	1,103,675	434,481	224,789	-	-	1,762,945
Other loans and advances	20,736	12,677	17,299	-	-	50,712
Corporate and Investment Banking	**1,627,082**	**533,573**	**383,179**	**-**	**-**	**2,543,834**
Corporate lending	1,627,082	533,573	383,179	-	-	2,543,834
Total recognised financial instruments	**3,716,176**	**1,296,378**	**712,815**	**-**	**-**	**5,725,369**

5. Financial risk management (continued)

c) Market risk

Market risk is the risk of a change in market value, earnings (actual or effective) or future cash-flows of a portfolio of financial instruments (including commodities), caused by moves in market variables such as equity, bond and commodity prices, currency exchange rates and interest rates, credit spreads, recovery rates, correlations and implied volatilities in all of these measures.

Governance committees

The Group's policy is that all trading activities are undertaken within the Group's trading operations. The Board grants general authority to take on market risk exposure to the Group's Assets and Liabilities Committee (ALCO).

Market risk management process is required to measure, monitor and control market risk exposures. The Group manages market risk through following four principles.

(i) Identification of market risks in the trading and banking books

This process entails checking that all market risks are identified. It includes an analysis of new business plans, new products, new pricing models, new risk models and regular reviews by Market Risk staff of financial and management accounts balance sheets, income statements, and portfolio structure hierarchies, accounting classification and accounting elections, jointly with financial control, Risk Self Assessments jointly with operational risk, price testing reports and profit and loss decomposition reports.

(ii) Measurement of market risk

Measurement of market risks deals specifically and separately with normal market conditions and stress market conditions. Measurement of trading exposures under stress market conditions is effected by subjecting the portfolios to stress testing, e.g. historical scenarios, hypothetical scenarios on individual asset classes and across different asset classes. In order to highlight 'points of weakness' and identify particular sources of trading book exposure vulnerability, these stress tests capture the effects of abnormal movements in market variables (yield curves including basis curves, volatility surfaces, spot and/or rate moves, credit spread curves, recovery rate sensitivities etc.).

(iii) Management of market risk

The Group manages market risk through a specification of risk appetite in form of market risk limits. It uses a suite of risk measurement techniques, including Value at Risk (VaR), Stress Value at Risk (SVar), stress testing, stop loss triggers, back-testing and specific business unit and product controls.

(iv) Reporting of market risk

Market Risk has reporting procedures that highlight for attention within Market Risk or by management all forms of exposures i.e. limit breaches or other reports that will periodically be required to submit to different stakeholders e.g. Local ALCO, Local Board, ICAAP stakeholders, Shareholders (Annual financial statements); Rating agencies; Central Bank of Kenya and other regulators.

5. Financial risk management (continued)

c) Market risk (continued)

Market risk exposure on banking operations

Banking-related market risk exposure principally involves the management of the potential adverse effect of interest rate movements on net interest income and the economic value of equity that arise from structural interest rate risk caused by the differing repricing characteristics of banking assets and liabilities. They include endowment risk, repricing risk, basis risk, optionality risk and yield curve risk. The Group's approach to managing Interest Rate Risk in Banking Book (IRRBB) is governed by applicable regulations and is influenced by the competitive environment in which the Group operates. Treasury and Capital Management team monitors Banking book interest rate risk together with the country ALCO.

The market risk function is independent of trading operations and it is accountable to ALCO. It is responsible for identifying, measuring, managing, controlling and reporting market risk as outlined in the market risk governance standard, with support from the central market risk function. The market risk function also has the ability to set individual trader mandates. Exposures and excesses are monitored and reported daily. Where breaches in limits and triggers occur, actions are taken by market risk management unit to move exposures back in line with approved market risk appetite, with such breaches being reported to management and ALCO

Approved regulatory capital approaches

The Group applies the Standardized Approach for calculating market risk capital. The standardized method uses a "building block" approach, with the capital charge for each risk category calculated separately.

Market risk Qualifying Assets includes interest rate risk assets in the trading book and foreign currency and commodities risk assets throughout the Group. Specific Risk refers to potentially adverse movement in the price of an individual loan/debt owing to factors related to the individual issuers. Specific risk does not affect foreign exchange and commodities related instruments. This is because changes in FX rates and commodities prices are completely dependent on general market movements.

Trading book market risk

Trading book market risk is represented by financial instruments held on the trading book, arising out of normal global markets' trading activity.

Approach to managing market risk in the trading book

The Group's policy is that all trading activities are undertaken within the Group's trading operations. The market risk functions are independent of trading operations and accountable to ALCO. All VaR and stressed VaR (SVaR) limits require prior approval from ALCO. The market risk functions have the authority to set limits at a lower level.

Market risk teams are responsible for identifying, measuring, managing, monitoring and reporting market risk as outlined in the market risk governance standard.

Exposures and excesses are monitored and reported daily. Where breaches in limits and triggers occur, actions are taken by market risk functions to move exposures back in line with approved market risk appetite, with such breaches being reported to management and ALCO.

5. Financial risk management (continued)

c) Market risk (continued)

a. VaR and SVaR

The Group uses the historical VaR and SVaR approach to quantify market risk under normal conditions and under stressed conditions.

For risk management purposes VaR is based on 250 days of unweighted recent historical data, a holding period of one day and a confidence level of 95%. The historical VaR results are calculated in four steps:

- Calculate 250 daily market price movements based on 250 days' historical data.
- Calculate hypothetical daily profit or loss for each day using these daily market price movements.
- Aggregate all hypothetical profits or losses for day one across all positions, giving daily hypothetical profit or loss, and then repeat for all other days.
- VaR is the 95th percentile selected from the 250 days of daily hypothetical total profit or loss.

Daily losses exceeding the VaR are likely to occur, on average, 13 times in every 250 days.

SVaR uses a similar methodology to VaR, but is based on a period of financial stress and assumes a 10-day holding period and a 99% confidence interval.

Where the Group has received internal model approval, the market risk regulatory capital requirement is based on VaR and SVaR, both of which use a confidence level of 99% and a 10-day holding period.

Limitations of historical VaR are acknowledged globally and include:

- The use of historical data as a proxy for estimating future events may not encompass all potential events, particularly those which are extreme in nature.
- The use of a one-day holding period assumes that all positions can be liquidated or the risk offset in one day. This may not fully reflect the market risk arising at times of severe illiquidity, when a one-day holding period may be insufficient to liquidate or hedge all positions fully.
- The use of a 95% confidence level, by definition, does not take into account losses that might occur beyond this level of confidence.
- VaR is calculated on the basis of exposures outstanding at the close of business and, therefore, does not necessarily reflect intraday exposures.

VaR is unlikely to reflect loss potential on exposures that only arise under significant market moves.

b. Stop-loss triggers

Stop-loss triggers are used to protect the profitability of the trading desks, and are monitored by market risk on a daily basis. The triggers constrain cumulative or daily trading losses through acting as a prompt to a review or close-out positions.

c. Stress tests

Stress testing provides an indication of the potential losses that could occur under extreme but plausible market conditions, including where longer holding periods may be required to exit positions. Stress tests comprise individual market risk factor testing, combinations of market factors per trading desk and combinations of trading desks using a range of historical and hypothetical simulations. Daily losses experienced during the year ended 31 December 2015 did not exceed the maximum tolerable losses as represented by the Group's stress scenario limits.

5. Financial risk management (continued)

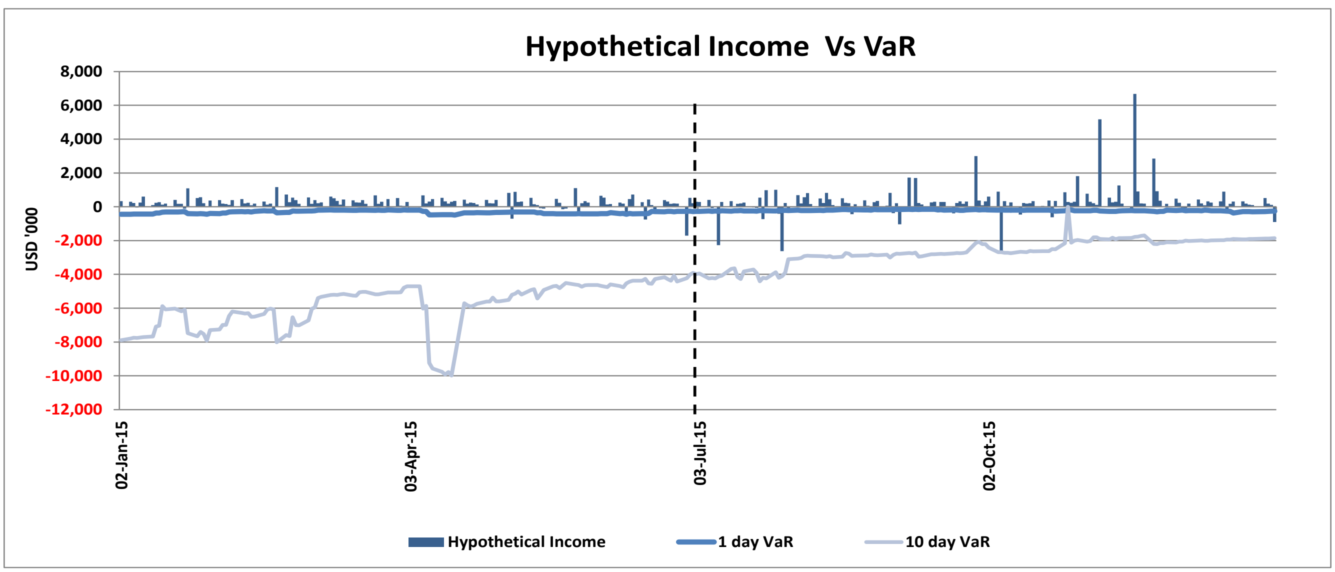
c) Market risk (continued)

(d) Back-testing

The Group back-tests its VaR models to verify the predictive ability of the VaR calculations and ensure the appropriateness of the models within the inherent limitations of VaR. Back-testing compares the daily hypothetical profit and losses under the one-day buy and hold assumption to the prior day's calculated VaR. In addition, VaR is tested by changing various model parameters, such as confidence intervals and observation periods to test the effectiveness of hedges and risk-mitigation instruments.

Refer to the graph below for the results of the Group's back-testing during 2014. The decreased volatility in VaR of May and consequent increase from July reflects market volatility following uncertainty around government funding and history of the government front loading off its borrowing within the first half of the financial year coupled by Global and Emerging markets risk off scenarios.

We categorize a VaR model as green, amber or red and assign regulatory capital multipliers based on this categorization. A green model is consistent with a satisfactory VaR model and is achieved for models that have thirteen or less back-testing exceptions in a 12-month period. All the Group's approved models were assigned green status for the year ended 31 December 2015 (2014: green).



(e) Specific business unit and product controls

Other market risk limits and controls specific to individual business units include permissible instruments, concentration of exposures, gap limits, maximum tenor, stop-loss triggers, price validation and balance sheet substantiation.

5. Financial risk management (continued)

c) Market risk (continued)

(f) Trading book portfolio characteristics

VaR for the year under review

Trading book market risk exposures arise mainly from residual exposures from client transactions and limited trading for the Group's own account. In general, the Group's trading desks have run low levels of market risk throughout the year ended 31 December 2015.

Trading book normal VaR analysis by book (KShs '000)

Desk Name	Maximum	Minimum	Average	31-Dec-2015	31-Dec-2014
Bank wide	48,354	12,165	26,682	21,059	27,818
FX Trading	11,654	1,636	4,600	4,498	3,232
Consolidated Interest Rate Trading	49,376	11,654	26,886	20,855	27,882
Money Markets Trading	29,033	11,450	17,890	20,855	13,950
Fixed Income Trading	24,842	0	8,178	0	14,647
Credit Trading	818	307	511	409	724
Derivatives	-	-	-	-	-

Trading book normal VaR analysis by book (KShs '000)

Desk Name	Maximum	Minimum	Average	31-Dec-2014	31-Dec-2013
Bank wide	65,504	27,248	42,954	27,818	28,384
FX Trading	7,414	1,883	3,123	3,232	2,876
Consolidated Interest Rate Trading	60,389	23,799	39,270	27,882	29,083
Money Markets Trading	47,227	13,724	28,153	13,950	20,146
Fixed Income Trading	22,731	308	10,103	14,647	13,747
Credit Trading	869	-	498	724	9
Derivatives	63	-	27	-	35

5. Financial risk management (continued)

c) Market risk (continued)

(f) Trading book portfolio characteristics (continued)

VaR for the year under review (continued)

Trading book stress VaR analysis by book (KShs '000)

Desk Name	Maximum	Minimum	Average	31-Dec-2015	31-Dec-2014
Bank wide	2,058,065	7	837,456	2,866	1,322,903
FX Trading	157,841	260	74,831	414	86,270
Consolidated Interest Rate Trading	2,771,007	2,749	876,712	2,749	1,358,199
Money Markets Trading	1,039,358	2,729	510,734	2,729	675,152
Fixed Income Trading	1,225,209	-	443,365	10	663,357
Credit Trading	22,184	115	16,050	117	19,698
Derivatives	102	-	102	1	45

Trading book stress VaR analysis by book (KShs '000)

Desk Name	Maximum	Minimum	Average	31-Dec-2014	31-Dec-2013
Bank wide	1,690,189	415,419	1,213,947	1,322,903	1,318,621
FX Trading	134,312	6,862	65,341	86,270	36,155
Consolidated Interest Rate Trading	1,692,987	430,337	1,222,484	1,358,199	1,332,325
Money Markets Trading	984,784	384,115	617,280	675,152	616,074
Fixed Income Trading	976,673	21,998	621,100	663,357	715,741
Credit Trading	39,034	371	17,028	19,698	674
Derivatives	1,113	45	534	45	406

5. Financial risk management (continued)

c) Market risk (continued)

(f) Trading book portfolio characteristics

Desk Name	LCY*	EUR	GBP	USD	ZAR	Other FCY**	Total FCY	31 December 2015	31 December 2014
Money Markets Trading	2,502	(1,111)	(349)	(4,642)	-	-	(6,102)	*(3,600)*	(11,985)
Fixed Income Trading	12	-	-	9	-	-	9	*21*	(22,794)
Credit Trading	(310)	-	-	3	-	-	3	*(307)*	(615)
Derivatives	0	-	-	-	-	-	-	*0*	-
FX Trading	298	(127)	8	(107)	-	-	(226)	*72*	75
Total Trading	**2,502**	**(1,238)**	**(341)**	**(4,737)**	**-**	**-**	**(6,316)**	**(3,814)**	**(35,319)**
Money Markets Banking	(17,033)	-	-	-	-	-	-	*(17,033)*	(26,981)
Treasury Capital Management	3	-	-	-	-	-	-	3	(168)
Total Banking	**(17,030)**	**-**	**-**	**-**	**-**	**-**	**-**	***(17,030)***	**(27,149)**
All Desks (Combined)	**(14,528)**	**(1,238)**	**(341)**	**(4,737)**	**-**	**-**	**(6,316)**	**(20,844)**	**(62,468)**

*LCY – Local currency

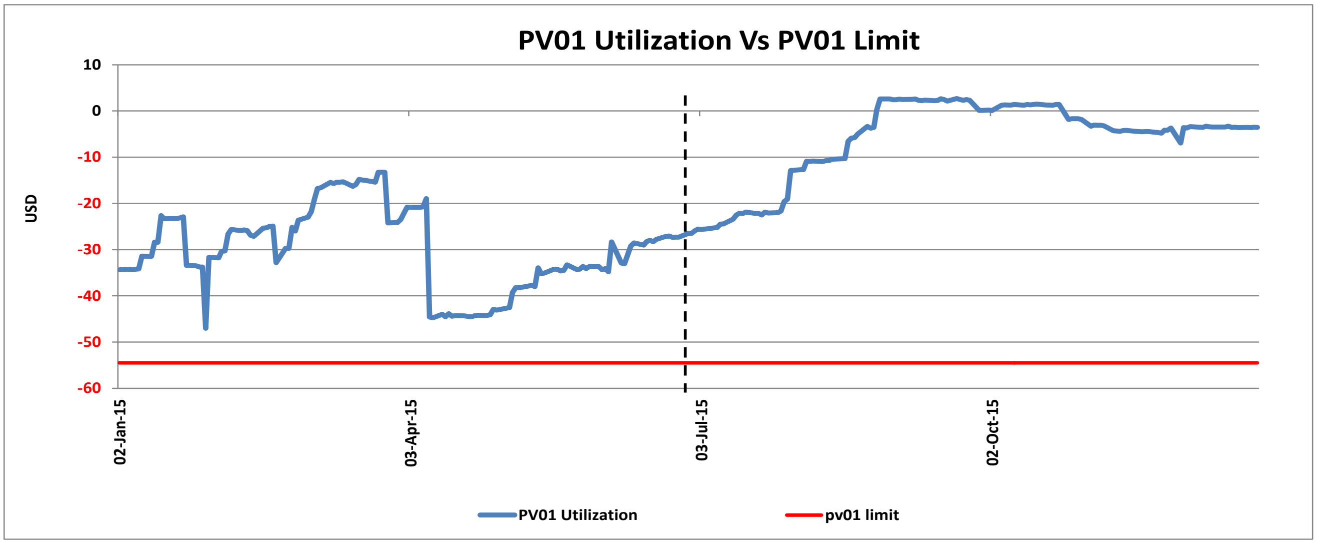
**FCY – Foreign currency

Notes (continued)

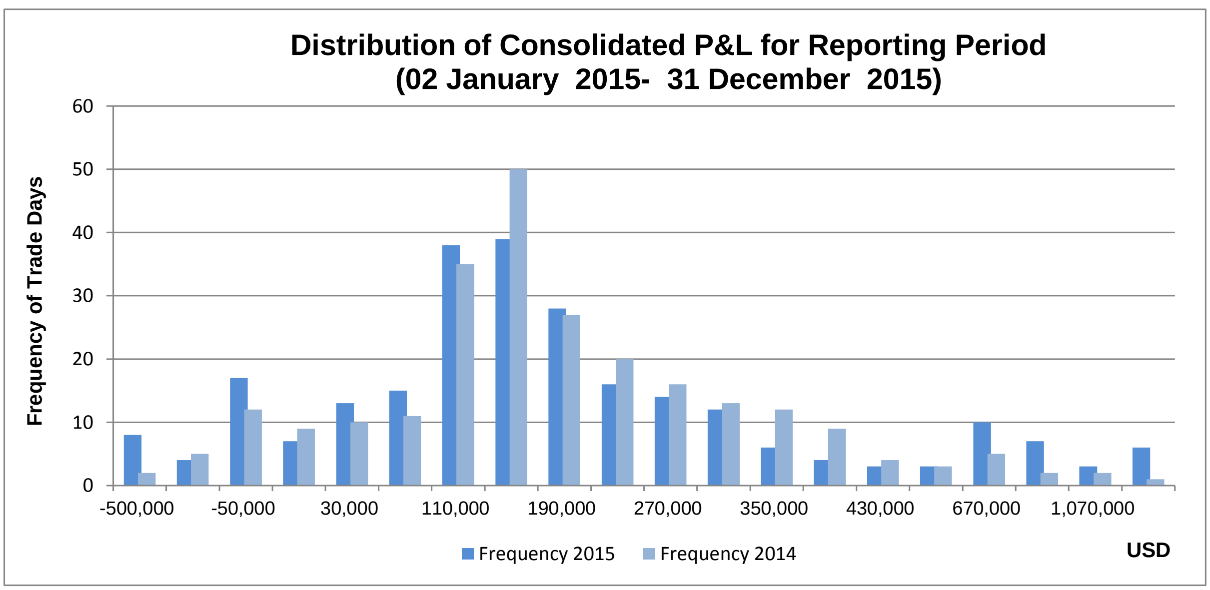
5. Financial risk management (continued)

c) Market risk (continued)

(f) Trading book portfolio characteristics



Analysis of trading profit



The graph to above shows the distribution of daily profit and losses for the period. It captures trading volatility and shows the number of days in which the bank's trading-related revenues fell within particular ranges. The distribution is skewed favorably to the profit side.

For the year ended 31 December 2015, trading profit was positive for 217 out of 252 days. (2014: 239 out of 248 days)

5. Financial risk management (continued)

(g) Foreign exchange risk

Definition

The Group's primary exposures to foreign currency risk arise as a result of the translation effect on the Group's net assets in foreign operations, intragroup foreign-denominated debt and foreign denominated cash exposures and accruals.

Approach to managing foreign currency risk

The Group takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Asset and Liability Committee sets limits on the level of exposure by currency and in total for both overnight and intra-day positions, which are monitored daily risk according to existing legislation, and accounting parameters. It takes into account naturally offsetting risk positions and manages the Group's residual risk by means of forward exchange contracts, currency swaps and option contracts.

Hedging is undertaken in such a way that it does not constrain normal operational activities. In particular, the need for capital to fluctuate with risk-weighted assets is taken into account.

The repositioning of the currency profile is a controlled process based on underlying economic views of the relative strength of currencies. The Group does not ordinarily hold open exposures of any significance with respect to the Banking book.

Gains or losses on derivatives are reported in profit or loss.

5. Financial risk management (continued)

c) Market risk (continued)

(g) Foreign exchange risk (continued)

The table below summarises the Group's exposure to foreign exchange risk at 31 December 2015.

Included in the table are the Group's financial instruments at carrying amounts, categorised by currency (all amounts expressed in millions of Kenya Shillings):

At 31 December 2015	USD	GBP	Euro	Others	Total
Assets					
Cash and bank balances	15,424	1,608	799	2,686	20,517
Loans and advances	51,700	323	8,408	14	60,445
Financial investments assets	-	-	-	59	59
Other assets and prepayments	6,949	-	524	1,816	9,289
Total financial assets	**74,073**	**1,931**	**9,731**	**4,575**	**90,310**
Liabilities					
Balances due to banking institutions and group companies	49,307	701	172	147	50,327
Customer deposits	41,010	1,538	2,322	2,512	47,382
Other liabilities and accrued expenses	7,659	40	623	1,862	10,184
Total financial liabilities	**97,976**	**2,279**	**3,117**	**4,521**	**107,893**
Net on balance sheet financial position	**(23,903**	**(348)**	**6,614**	**54**	**(17,583)**
Off balance sheet net notional position	**24,575**	**391**	**(6,621)**	**(107)**	**18,239**
Overall net position	**672**	**43**	**(7)**	**(53)**	**656**

At 31 December 2014	USD	GBP	Euro	Others	Total
Assets					
Cash and Group balances	9,409	661	658	6,130	16,858
Loans and advances	38,243	356	4,015	34	42,648
Financial investments assets	-	-	-	243	243
Other assets and prepayments	3,167	1	632	687	4,487
Total financial assets	**50,819**	**1,018**	**5,305**	**7,094**	**64,236**
Liabilities					
Balances due to banking institutions and group companies	19,985	827	185	449	21,446
Customer deposits	33,923	1,468	2,728	5,086	43,205
Other liabilities and accrued expenses	17,747	23	677	1,884	20,331
Total financial liabilities	**71,655**	**2,318**	**3,590**	**7,419**	**84,982**
Net on balance sheet financial position	(20,836)	(1,300)	1,715	(325)	(20,746)
Off balance sheet net notional position	22,171	1,363	(1,613)	(66)	21,855
Overall net position	**1,335**	**63**	**102**	**(391)**	**1,109**

5. Financial risk management (continued)

c) Market risk (continued)

(g) Foreign exchange risk (continued)

The table below indicates the extent to which the Group was exposed to currency risk as at 31 December on its monetary assets and liabilities denominated in foreign currency. The table shows the sensitivity analysis for each currency to which the Group has significant exposure and the effect of the change in exchange rate on the statement of profit and loss.

Year ended 31 December 2015 Currency	Increase in currency rate in % 2015	Effect on profit before tax 2015 KShs'000	Effect on profit after tax 2015 KShs'000	Decrease in currency rate in % 2015	Effect on profit before tax 2015 KShs'000	Effect on profit after tax 2015 KShs'000
USD	**1.09%**	7,338	5,137	**1.03%**	(6,891)	(4,824)
GBP	**1.47%**	632	443	**2.32%**	(997)	(698)
EUR	**2.74%**	(180)	(126)	**3.82%**	250	175

Year ended 31 December 2014 Currency	Increase in currency rate in % 2014	Effect on profit before tax 2014 KShs'000	Effect on profit after tax 2014 KShs'000	Decrease in currency rate in % 2014	Effect on profit before tax 2014 KShs'000	Effect on profit after tax 2014 KShs'000
USD	**0.45%**	(6,007)	(4,205)	**0.58%**	7,742	5,419
GBP	**0.90%**	(557)	(390)	**1.05%**	650	455
EUR	**1.11%**	(1,122)	(786)	**1.28%**	1,294	906

5. Financial risk management (continued)

d) Interest rate risk

Interest rate risk in the Banking book (IRBB)

Definition

These are risks that have an impact on net interest income that arise from structural interest rate risk caused by the differing repricing characteristics of banking assets and liabilities.

IRRBB is further divided into the following sub risk types:

- **Repricing risk:** timing differences in the maturity (fixed rate) and repricing (floating rate) of assets and liabilities.
- **Yield curve risk:** shifts in the yield curves that have adverse effects on the Group's income or underlying economic value.
- **Basis risk:** hedge price not moving in line with the price of the hedged position. Examples include bonds/swap basis, futures/ underlying basis.
- **Optionality risk:** options embedded in Group asset and liability portfolios, providing the holder with the right, but not the obligation, to buy, sell, or in some manner alter the cash flow of an instrument or financial contract.
- **Endowment risk:** exposure arising from the net differential between interest rate insensitive assets such as non-earning assets, interest rate insensitive liabilities such as non-paying liabilities, and equity.

Approach to managing IRRBB

Banking book-related market risk exposure principally involves managing the potential adverse effect of interest rate movements on banking book earnings (net interest income and Banking book mark-to-market profit or loss) and the economic value of equity.

The group's approach to managing IRRBB is governed by applicable regulations and is influenced by the competitive environment in which the group operates. The group's TCM team monitors Banking book interest rate risk operating under the oversight of group ALCO.

Measurement

The analytical techniques used to quantify IRRBB include both earnings- and valuation-based measures. The analysis takes account of embedded optionality such as loan prepayments and accounts where the account behaviour differs from the contractual position.

The results obtained from forward-looking dynamic scenario analyses, as well as Monte Carlo simulations, assist in developing optimal hedging strategies on a risk-adjusted return basis.

Desired changes to a particular interest rate risk profile are achieved through the restructuring of on-balance sheet repricing or maturity profiles, or through derivative overlays.

Limits

Interest rate risk limits are set in relation to changes in forecast Banking book earnings and the economic value of equity. Economic value of equity sensitivity is calculated as the net present value of aggregate asset cash flows less the net present value of aggregate liability cash flows.

All assets, liabilities and derivative instruments are allocated to gap intervals based on either their repricing or maturity characteristics. Assets and liabilities for which no identifiable contractual repricing or maturity dates exist are allocated to gap intervals based on behavioural profiling.

Notes (continued)

5. Financial risk management (continued)

d) Interest rate risk

Hedging of endowment risk

IRRBB is predominantly the consequence of endowment exposures, being the net effect of non-rate sensitive assets less non-rate sensitive liabilities and equity.

The endowment risk is hedged using liquid instruments as and when it is considered opportune. Where permissible, hedge accounting is adopted using the derivatives. The interest rate view is formulated through ALCO processes, following meetings of the monetary policy committees, or notable market developments.

Non-endowment IRRBB (repricing, yield curve, basis and optionality) is managed within the treasury and the global markets portfolios.

The table below indicates the KShs equivalent sensitivity of the Group's banking book earnings (net interest income and banking book mark-to-market profit or loss) and other comprehensive income (OCI) given a parallel yield curve shock. A floor of 0% is applied to all interest rates under the decreasing interest rate

Currency	**Increase in basis** points 2015 **KShs'000**	Sensitivity of net interest income 2015 **KShs'000**	Sensitivity of other comprehensive income 2015 **KShs'000**	**Decrease in basis** points 2015 **KShs'000**	Sensitivity of net interest income 2015 **KShs'000**	Sensitivity of other comprehensive income 2015 **KShs'000**
KShs	350	844,670	(203,213)	300	(901,025)	174,182
Others*	100	8,087	-	100	(6,626)	-

Currency	**Increase in basis** points 2014 **KShs'000**	Sensitivity of net interest income 2014 **KShs'000**	Sensitivity of other comprehensive income 2014 **KShs'000**	**Decrease in basis** points 2014 **KShs'000**	Sensitivity of net interest income 2014 **KShs'000**	Sensitivity of other comprehensive income 2014 **KShs'000**
KShs	350	614,403	(354,811)	300	(626,615)	304,124
Others*	100	(423)	-	100	(1,586)	-

* This is any other currency held by the Group not denominated in KShs

5. Financial risk management (continued)

e) Liquidity risk

Liquidity risk arises when the Group, despite being solvent, is unable to maintain or generate sufficient cash resources to meet its payment obligations as they fall due, or can only do so on materially disadvantageous terms. This inability to maintain or generate sufficient cash resources may arise where counterparties who provide the Group with short-term funding withdraw or do not rollover that funding, or normally liquid assets become illiquid as a result of a generalised disruption in asset markets.

Liquidity risk – Company

A summary of liquidity risk showing matching of financial assets and liabilities at CfC Stanbic Holdings Limited (Company only) is shown in the following table.

31 December 2015	Up to 1 month KShs'000	1 – 6 months KShs'000	6 – 12 months KShs'000	Total KShs'000
Cash and bank balances	8,840	100,000	-	108,840
Other receivables and prepayments	42	208	1,401	1,651
Total assets	**8,882**	**100,208**	**1,401**	**110,491**
Other liabilities and accrued expenses	-	(40,070)	-	(40.070)
Balances due to group companies	-	-	(3,198)	(3,198)
Total liabilities	**-**	**(40,070)**	**(3,198)**	**(43,268)**
Net liquidity gap	**8,882**	**60,138**	**(1,797)**	**67,223**

Liquidity risk management - Group

The nature of banking and trading activities results in a continuous exposure to liquidity risk. The Group manages liquidity in accordance with applicable regulations and within Group's risk appetite. The Group's liquidity risk management governance framework supports the measurement and management of liquidity at various levels to ensure that all payment obligations can be met by the Group under both normal and stressed conditions. Liquidity risk management ensures that the Group has the appropriate amount, diversification and tenor of funding and liquidity to support its asset base at all times.

The Group's liquidity risk management framework differentiates between:

- **Tactical (shorter-term) risk management:** managing intra-day liquidity positions and daily cash flow requirements, and monitoring adherence to prudential and internal requirements and setting deposit rates as informed by ALCO.

- **Structural (long-term) liquidity risk management**: ensuring a structurally sound balance sheet, a diversified funding base and prudent term funding requirements.

5. Financial risk management (continued)

e) Liquidity risk (continued)

Liquidity risk management – Group (continued)

- **Contingent liquidity risk management:** monitoring and managing early warning liquidity indicators while establishing and maintaining contingency funding plans, undertaking regular liquidity stress testing and scenario analysis, and setting liquidity buffers in accordance with anticipated stress events

Governance committees

The primary governance committee overseeing this risk is the Group Asset Liability Committee (ALCO), which is chaired by the Chief Executive. There is independent risk oversight of all liquidity limits and guidelines by Market Risk, Finance and Central Asset Liability Management units. ALCO reports to the Board Risk Committee.

Approach to managing liquidity risk

There is a sound and robust liquidity management process to measure, monitor and manage liquidity exposures. The following elements are incorporated as part of a cohesive liquidity management process:

a) *Maintaining a structurally sound statement of financial position;*
With actual cash flows typically varying significantly from the contractual position, behavioural profiling is applied to assets, liabilities and off-balance sheet commitments with an indeterminable maturity or drawdown period, as well as to certain liquid assets. Behavioural profiling assigns probable maturities based on historical customer behaviour. This is used to identify significant additional sources of structural liquidity in the form of liquid assets and core deposits, such as current and savings accounts, which exhibit stable behaviour despite being repayable on demand or at short notice.

Structural liquidity mismatch analysis are performed regularly to anticipate the mismatch between payment profiles of balance sheet items, in order to highlight potential risks within the Group's defined liquidity risk thresholds.

b) *Foreign currency liquidity management;*
A specific number of indicators are observed in order to monitor changes in market liquidity as well as the impacts on liquidity as a result of movements in exchange rates. Foreign currency loans and advances are restricted to the availability of foreign currency deposits.

c) *Ensuring the availability of sufficient contingency liquidity;*

Funding markets are evaluated on an on-going basis to ensure appropriate Group funding strategies are executed depending on the market, competitive and regulatory environment. The Group employs a diversified funding strategy.

d) *Preserving a diversified funding base;*

Concentration risk limits are used within the Group to ensure that funding diversification is maintained across products, sectors, and counterparties. Primary funding sources are in the form of deposits across a spectrum of retail and wholesale clients, as well as long-term capital.

5. Financial risk management (continued)

e) Liquidity risk (continued)

Approach to managing liquidity risk (continued)

e) Undertaking regular liquidity stress testing;

Stress testing and scenario analysis are based on hypothetical as well as historical events. These are conducted on the funding profiles and liquidity positions of the Group. The crisis impact is typically measured over a two month period, as this is considered the most crucial time horizon for a liquidity event. Anticipated on- and off-balance sheet cash flows are subjected to a variety of Group-specific and systemic stresses and scenarios to evaluate the impact of unlikely but plausible events on liquidity positions. The results are assessed against the liquidity buffer and contingency funding plans to provide assurance as to the Group's ability to maintain sufficient liquidity under adverse conditions.

f) Maintaining adequate liquidity contingency plans or liquidity buffer;

Portfolios of highly marketable securities over and above regulatory and stress testing requirements are maintained as protection against unforeseen disruptions in cash flows. These portfolios are managed within ALCO defined limits on the basis of diversification and liquidity.

g) Ensuring the availability of sufficient contingency liquidity;

Funding markets are evaluated on an on-going basis to ensure appropriate Group funding strategies are executed depending on the market, competitive and regulatory environment. The Group employs a diversified funding strategy.

h) Preserving a diversified funding base;

Concentration risk limits are used within the Group to ensure that funding diversification is maintained across products, sectors, and counterparties. Primary funding sources are in the form of deposits across a spectrum of retail and wholesale clients, as well as long-term capital.

i) Undertaking regular liquidity stress testing;

Stress testing and scenario analysis are based on hypothetical as well as historical events. These are conducted on the funding profiles and liquidity positions of the Group. The crisis impact is typically measured over a two month period, as this is considered the most crucial time horizon for a liquidity event. Anticipated on- and off-balance sheet cash flows are subjected to a variety of Group-specific and systemic stresses and scenarios to evaluate the impact of unlikely but plausible events on liquidity positions. The results are assessed against the liquidity buffer and contingency funding plans to provide assurance as to the Group's ability to maintain sufficient liquidity under adverse conditions.

j) Maintaining adequate liquidity contingency plans or liquidity buffer;

Portfolios of highly marketable securities over and above regulatory and stress testing requirements are maintained as protection against unforeseen disruptions in cash flows. These portfolios are managed within ALCO defined limits on the basis of diversification and liquidity.

5. Financial risk management (continued)

e) Liquidity risk (continued)

Approach to managing liquidity risk (continued)

The key measure by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose , 'net liquid assets' includes cash and cash equivalents and financial investment debt securities for which there is an active and liquid market less any deposits from Groups. Details of the reported Group ratio of net liquid assets to deposits from customers at the reporting date and during the reporting year were as follows:

	2015 %	2014 %
At 31 December	73.7	41.4
Average for the year	54.4	47.5
Maximum for the year	74.1	60.3
Minimum for the year	36.1	40.7

The tables below present the remaining contractual maturities of the Group's non-derivative financial liabilities, it includes a maturity analysis for financial assets that the Groups holds as part of managing liquidity risk – e.g. financial assets that are expected to generate cash inflows to meet cash outflows on financial liabilities.

The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Group manages the inherent liquidity risk based on expected undiscounted cash inflows.

Notes (continued)

5. Financial risk management (continued)

Liquidity risk management – Group (continued)

Assets available to meet all of the liabilities and to cover outstanding loan commitments include cash, central Bank balances, items in the course of collection; loans and advances to Groups; and loans and advances to customers. In addition, debt securities and treasury and other bills have been pledged to secure liabilities. The Group would also be able to meet unexpected net cash outflows by selling securities and accessing additional funding sources such as asset-backed markets.

Maturity analysis for financial assets and financial liabilities	Carrying value 2015 KShs'000	Gross nominal inflow/(outflow) 2015 KShs'000	Redeemable on demand 2015 KShs'000	Maturing within 1 month 2015 KShs'000	Maturing after 1 month but within 6 months 2015 KShs'000	Maturing after 6 months but within 12 months 2015 KShs'000	Maturing after 12 months but within 5 years 2015 KShs'000	Maturing After 5 years 2015 KShs'000
Non- derivative financial assets								
Cash and balances to banks	**11,350,098**	**11,350,098**	11,350,098	-	-	-	-	-
Financial assets held for trading	**16,251,044**	**16,725,301**	-	-	8,035,571	6,368,002	2,321,587	141
Pledged assets – available –for-sale	**3,439,383**	**3,961,032**	-	-	487,005	1,681,155	1,792,872	-
Financial assets- available-for-sale	**28,947,969**	**31,056,446**	-	3,248,750	16,740,460	7,022,453	1,685,006	2,359,776
Loans and advances to banks	**23,181,591**	**23,181,591**	10,671,838	12,509,753	-	-	-	-
Loans and advances to customers	**104,981,566**	**149,083,609**	22,670,917	4,938,685	20,103,386	12,696,293	52,983,658	35,690,671
Other assets	**2,709,300**	**2,709,300**	2,709,300	-	-	-	-	-
	190,860,951	**238,067,377**	**47,402,153**	**20,697,188**	**45,366,422**	**27,767,903**	**58,783,123**	**38,050,588**
Derivative assets:	**4,377,196**	**-**	-	-	-	-	-	-
- Inflows	**-**	**1,909,870**	-	332,264	1,033,097	503,841	38,004	2,665
- Outflows	**-**	**(235,147)**	-	(989)	(40,299)	(28,180)	(165,599)	(81)
	4,377,196	**1,674,723**	**0**	**331,275**	**992,798**	**475,661**	**-127,595**	**2,584**
Non- derivative financial liabilities								
Deposits from banks	**(47,424,576)**	**(52,280,892)**		(80,750)	(3,646,759)	(22,883,779)	(21,650,824)	(4,018,779)
Deposits from customers	**(107,032,889)**	**(108,444,210)**	(62,349,334)	(26,955,982)	(8,467,818)	(9,397,904)	(1,273,171)	**-**
Trading liabilities	**(521,973)**	**(585,000)**	-	(585,000)	**-**	**-**	-	-
Borrowings	**(6,482,063)**	**(9,783,306)**	**-**	**-**	(413,260)	(2,785,113)	(2,326,438)	(4,258,493)
Other liabilities	**(5,961,263)**	**(5,961,263)**	(5,961,263)	-	-	-	-	-
Contingent liabilities	**(37,362,184)**	**(37,362,184)**	(9,957,460)-	(3,321,072)	(10,943,432)	(6,564,897)	(4,910,399)	(1,664,922)
Capital commitments	**(208,424)**	**(208,424)**	-	(208,424)	-	-	-	-
Operating leases	**(5,118,541)**	**-**	-	-	-	(445,575)	(1,237,280)	(3,435,686)
	-210,111,913	**-214,625,279**	**-68,310,597**	**-31,151,228**	**-23,471,269**	**-42,077,268**	**-31,398,112**	**-13,377,880**
Derivative liabilities:	**(3,361,440)**							
- Inflows		**896,493**	-	107,514	535,408	232,671	18,235	2,665
- Outflows		**(920,251)**	-	(103,692)	(298,232)	(282,614)	(235,632)	(81)
	-3,361,440	**-23,758**	**0**	**3,822**	**237,176**	**-49,943**	**-217,397**	**2,584**

Notes (continued)

5. Financial risk management (continued)

Liquidity risk management – Group (continued)

	Carrying Value 2014 KShs'000	Gross Nominal inflow/(outflow) 2014 KShs'000	Redeemable on demand 2014 KShs'000	Maturing within 1 month 2014 KShs'000	Maturing after 1 month but within 6 months 2014 KShs'000	Maturing after 6 months but within 12 months 2014 KShs'000	Maturing after 12 months but within 5 years 2014 KShs'000	Maturing After 5 years 2014 KShs'000
Non- derivative financial assets								
Cash and balances to Groups	**9,555,580**	**9,596,901**	9,538,477	-	58,424	-	-	-
Trading assets	**23,836,927**	**34,972,293**	-	1,913,270	3,127,712	10,667,817	11,753,508	7,509,987
Pledged assets	**2,884,293**	**3,222,832**	-	-	338,640	2,532,880	351,312	-
Financial investments	**25,446,393**	**28,230,604**	-	1,899,825	2,891,943	17,015,090	3,901,482	2,522,263
Loans and advances to Groups	**12,862,672**	**12,886,812**	11,479,498	1,292,286	-	115,028	-	-
Loans and advances to customers	**88,347,438**	**139,348,607**	24,750,996	6,702,613	13,677,254	9,095,690	49,837,363	35,284,691
Other assets	**2,417,387**	**2,581,855**	2,581,855	-	-	-	-	-
	165,350,690	**230,839,904**	**48,350,826**	**11,807,994**	**20,093,973**	**39,426,505**	**65,843,665**	**45,316,941**
Derivative Assets:	**1,960,415**							
- Inflows	**-**	**529,205**	-	39,408	91,970	220,544	173,087	4,196
- Outflows	**-**	**(283,739)**	-	(12,341)	(33,555)	(147,010)	(90,771)	(62)
	1,960,415	**245,466**	**-**	**27,067**	**58,415**	**73,534**	**82,316**	**4,134**
Non- derivative financial liabilities								
Deposits from Groups	**(33,570,266)**	**(37,634,629)**	(5,161,831)	(271,565)	(1,391,183)	(10,260,942)	(20,549,108)	-
Deposits from customers	**(96,838,876)**	**(97,760,321)**	(75,091,989)	-	(15,798,374)	(3,282,446)	(3,587,512)	-
Trading Liabilities	**-**	**-**	-	-	-	-	-	-
Borrowings	**(6,513,417)**	**(11,783,316)**	-	(174,232)	(259,000)	(433,232)	(5,880,852)	(5,036,000)
Other liabilities	**(5,948,968)**	**(5,948,971)**	(5,948,971)	-	-	-	-	-
Contingent liabilities	**31,065,787**	**(31,065,787)**	(31,065,787)	-	-	-	-	-
Capital commitments	**581,935**	**(581,935)**	(581,935)	-	-	-	-	-
Operating leases	**2,153,187**	**(2,153,187)**	-	-	-	(392,576)	(1,184,025)	(576,586)
	(109,070,618)	**(186,928,146)**	**(117,850,513)**	**(445,797)**	**(17,448,557)**	**(14,369,196)**	**(31,201,497)**	**(5,612,586)**
Derivative Liabilities:	**(2,232,264)**							
- Inflows	**-**	**33,587**	-	10,191	3	23,379	14	-
- Outflows	**-**	**(1,194,504)**		(79,721)	(382,336)	(411,390)	(316,863)	(4,194)
	(2,232,264)	**(1,160,917)**	**-**	**(69,530)**	**(382,333)**	**(388,011)**	**(316,849)**	**(4,194)**

5. Financial risk management (continued)

e) Liquidity risk (continued)

The amounts in the table above have been compiled as follows:

Type of financial instrument	Basis on which amounts are compiled
None-derivative financial liabilities and financial assets	Undiscounted cash flows which include interest payments
Issued financial guarantee contracts, and unrecognised loan commitments	Earliest possible contractual maturity. For issued financial guarantee contracts, maximum amount of the guarantee is allocated to the earliest period in which the guarantee could be called.
Derivative financial liabilities and financial assets held for risk management purpose	Contractual undiscounted cashflows. The amounts shown are the gross nominal inflows and outflows for derivatives that have simultaneous gross settlement (e.g. forward exchange contracts and currency swaps) and the net amounts for derivatives that are net settled.

As part of the management of liquidity risk arising from financial liabilities, the Group holds liquid assets comprises cash and cash equivalents and debt securities issued by sovereigns which can be readily sold to meet liquidity requirements. In addition the Group maintains lines of credit with other Groups and holds unencumbered assets eligible for use as collateral with central banks.

(f) Financial instruments subject to offsetting, enforceable master netting arrangements or similar agreements

The following table sets out the impact of offset, as well as financial assets and financial liabilities that are subject to enforceable master netting arrangement or similar agreement, irrespective of whether they have been offset in accordance with IAS 32, as required by IFRS 7R disclosure requirements. The gross amounts of financial asset and financial liabilities and their net amounts disclosed in the table below have been measured in the statement of financial position on the following bases:

- Derivative asset and liabilities – fair value
- Loans and advances – amortised cost and
- Customer deposits – amortised cost

Notes (continued)

5. Financial risk management (continued)

f) Financial instruments subject to offsetting, enforceable master netting arrangements or similar agreements (continued)

	Gross amount of recognised financial assets 2015 KShs'000	Gross amounts of recognised financial liabilities offset in statement of financial position 2015 KShs'000	Net amounts of financial assets presented in the statement of financial position 2015 KShs'000	Financial instruments, financial collateral and cash collateral received 2015 KShs'000	Net amount 2015 KShs'000
Assets					
Loans and advances	104,981,565	-	104,981,565	5,208,794	99,772,771
Derivative assets	4,377,196	-	4,377,196	-	4,377,196
	109,358,761	**-**	**109,358,761**	**5,208,794**	**104,149,967**

	Gross amount of recognised financial liabilities 2015 KShs'000	Gross amounts of recognised financial assets offset in statement of financial position 2015 KShs'000	Net amounts of financial assets presented in the statement of financial position 2015 KShs'000	Financial instruments, financial collateral and cash collateral pledged 2015 KShs'000	Net amount 2015 KShs'000
Liabilities					
Deposits	107,032,889	-	107,032,889	5,208,794	101,824,095
Derivative liabilities	3,361,440	-	3,361,440	-	3,361,440
	110,394,329	**-**	**110,394,329**	**5,208,794**	**105,185,535**

	Gross amount of recognised financial assets 2014 KShs'000	Gross amounts of recognised financial liabilities offset in statement of financial position 2014 KShs'000	Net amounts of financial assets presented in the statement of financial position 2014 KShs'000	Financial instruments, financial collateral and cash collateral received 2014 KShs'000	Net amount 2014 KShs'000
Assets					
Loans and advances	88,347,438	-	88,347,438	3,502,061	91,849,499
Derivative assets	1,960,415	-	1,960,415	-	1,960,415
	90,307,853	**-**	**90,307,853**	**3,502,061**	**93,809,914**

	Gross amount of recognised financial liabilities 2014 KShs'000	Gross amounts of recognised financial assets offset in statement of financial position 2014 KShs'000	Net amounts of financial assets presented in the statement of financial position 2014 KShs'000	Financial instruments, financial collateral and cash collateral pledged 2014 KShs'000	Net amount 2014 KShs'000
Liabilities					
Deposits	(96,830,280)	-	(96,830,280)	(3,502,061)	(100,332,341)
Derivative liabilities	(2,232,264)	-	(2,232,264)	-	(2,232,264)
	(99,062,544)	**-**	**(99,062,544)**	**(3,502,061)**	**(102,564,605)**

5. Financial risk management (continued)

f) Financial instruments subject to offsetting, enforceable master netting arrangements or similar agreements (continued)

The ISDA* and similar master netting arrangements do not meet the criteria for offsetting in the statement of financial position. This is because they create for the parties to the agreement a right of set-off of recognised amounts that is enforceable only following an event of default, insolvency or Groupruptcy of the Group or the counterparties following other predetermined events. In addition the Group and its counterparties do not intent to settle on a net basis or to realise the assets and the liabilities simultaneously.

The Group receives collateral in the form of cash in respect of lending

The table below sets out the nature of agreement, and the types of rights relating to items which do not qualify for offset but that are subject to a master netting arrangement or similar agreement.

Financial instrument	Nature of agreement	Basis on which amounts are compiled
Derivative assets and liabilities	ISDAs	The agreement allows for offset in the event of default.
Trading assets and trading liabilities	Global master repurchase agreements	The agreement allows for offset in the event of default.
Loans and advances to banks	Banks Act	In the event of liquidation or Groupruptcy, offset shall be enforceable subject to meeting Banking Act requirements.
Deposits and current accounts	Banks Act	In the event of liquidation or bankruptcy, offset shall be enforceable subject to meeting Groups Act requirements.

IAS 32 Financial Instruments: Presentation (IAS 32) requires financial assets and financial liabilities to be offset and the net amount presented in the statement of financial position when, and only when, the Group has a current legally enforceable right to set off recognised amounts, as well as the intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

* An ISDA master agreement is a standard agreement used in over-the-counter derivatives transactions. The ISDA Master Agreement, published by the International Swaps and Derivatives Association (ISDA), is a document that outlines the terms applied to a derivatives transaction between two parties.

6 Interest income

	Group		Company	
	2015	2014	2015	2014
	KShs' 000	KShs' 000	KShs' 000	KShs' 000
Interest on loans, advances and short-term funds	10,423,507	8,521,996	-	-
Interest on government securities available-for-sale	2,842,722	2,845,086	-	-
Placements and other bank balances	1,401,667	273,443	66,378	27,644
Other	-	1,932	-	-
	14,667,896	**11,642,457**	**66,378**	**27,644**

Interest income excludes interest on impaired loans and advances which has been recognised as interest in suspense on the statement of financial position (see Note 22(e)).

7 Interest expense

	Group	Group	Company	Company
	2015	2014	2015	2014
	KShs' 000	KShs' 000	KShs' 000	KShs' 000
Current accounts	5,967	113,684	-	-
Savings and term deposit accounts	3,173,015	2,071,390	-	-
Deposits and placements from other banks	1,347,454	463,682	-	-
Interest on borrowed funds	838,413	531,756	-	-
	5,364,849	**3,180,512**	**-**	**-**

8 Fees and commission revenue

Account transaction fees	1,160,418	1,131,138	-	-
Knowledge based fees and commission	810,405	829,109	-	-
Electronic banking fees	227,231	186,263	-	-
Foreign service fees	244,275	335,806	-	-
Documentation and administration fees	175,346	363,612	-	-
Other	775,050	708,582	-	-
	3,392,725	**3,554,510**	**-**	**-**

Other fee and commission revenue includes brokerage commissions and commission charged on the various products offered by the Group.

9 Fees and commission expense

	Group		Company	
	2015	2014	2015	2014
	KShs' 000	KShs' 000	KShs' 000	KShs' 000
Card based commission	59,232	81,352	-	-
Knowledge based fees and commission	125,125	57,320	-	-
Other bank - related fees and commission	139,366	108,191	-	-
	323,723	**246,863**	**-**	**-**

Other bank related fees and commission includes direct sales agent commissions and card courier fees.

Notes (continued)

10 Trading revenue

	Group		Company	
	2015	2014	2015	2014
	KShs' 000	KShs' 000	KShs' 000	KShs' 000
Foreign exchange	3,098,093	2,811,026	-	-
Net gain on sale of trading investments	140,769	194,557	-	-
Interest income - Debt securities at fair value through profit or loss	1,067,669	1,773,739	-	-
	4,306,531	**4,779,322**	**-**	**-**

11 Other income

Gain on disposal of property and equipment	-	2,278	-	-
Dividend income	3,390	7,881	2,365,600	1,093,765
Other income	262,305	311,425	164	-
	265,695	**321,584**	**2,365,764**	**1,093,765**

12 Employee benefits expense

Salaries and allowances	4,703,835	4,185,321	-	-
Retirement benefit costs	331,307	286,820	-	-
	5,035,142	**4,472,141**	**-**	**-**

Included in retirement benefit costs are;				
Defined contribution scheme	325,668	281,456	-	-
National Social Security Fund	5,639	5,364	-	-
	331,307	**286,820**	**-**	**-**

13 Other expenses

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Audit fees	17,244	16,409	1,924	1,954
Directors' fees	25,083	24,175	6,535	7,630
Premises costs	617,715	603,110	-	-
Information technology and communication	400,110	937,538	-	-
Professional fees	395,153	597,798	767	586
Marketing and advertising costs	232,574	133,699	6,103	4,920
Security expenses	127,706	120,172	-	-
Travel and entertainment costs	207,017	191,408	-	-
Stationery and printing costs	53,225	61,872	-	1,743
Insurance costs	103,829	102,780	-	-
Administration and membership fees	45,307	40,892	4,976	6,346
Group charges	42,388	156,138	493	431
Deposit Protection Scheme contribution	163,724	153,366	-	-
Absorbed VAT	410,034	228,387		
Other operating costs	297,473	70,633	6,518	2,189
		-	-	-
	3,138,582	**3,438,377**	**27,316**	**25,799**

Other operating costs mainly relate to training expenses incurred in the ordinary course of business.

14 Depreciation and amortisation expense

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Amortisation – intangible assets (Note 27)	156,800	276,416	-	-
Depreciation of property and equipment(Note 25)	344,078	277,542	-	-
Amortisation of prepaid operating lease (Note 26)	2,954	2,954	-	-
	503,832	**556,912**	**-**	**-**

Notes (continued)

15 Income tax expense

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Current income tax (Note 34(b))	1,449,945	2,496,850	23,204	45
Deferred income tax charge/(credit) (Note 34(c))	1,003,735	(483,265)	-	-
	2,453,680	**2,013,585**	**23,204**	**45**

The tax on the profit before tax differs from the theoretical amount using the statutory income tax rate as follows:

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Profit before income tax	**7,359,414**	**7,700,246**	**2,404,826**	**1,095,610**
Tax at statutory tax rate of 30% (2014:30%)	2,207,824	2,310,074	721,448	328,683
Tax effect of:				
• Income not subjected to tax	58,015	(303,402)	(709,680)	(328,149)
• Expenses not deductible for tax purposes	96,624	200,165	11,436	7,549
• Utilised tax loss	-	(8,038)	-	(8,038)
• Previous year's current tax under provision	(2,159)	(34,162)	-	-
• Previous year's deferred income tax under provision	(4,483)	(151,052)	-	-
• Effect of tax paid in other jurisdictions	97,859	-	-	
			-	
Income tax expense	**2,453,680**	**2,013,585**	**23,204**	**45**

16 Earnings per share

Earnings per share are calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	Group		Company	
	2015	2014	2015	2014
Earnings for the purposes of basic earnings per share (KShs'000)	4,905,734	5,686,661	2,381,622	1,095,565
Number of shares				
Weighted average number of ordinary shares for the purpose of basic earnings per share (in thousands)	395,322	395,322	395,322	395,322
Earnings per share (KShs) basic and diluted	**12.41**	**14.38**	**6.02**	**2.77**

There were no potentially dilutive shares as at 31 December 2015 or 31 December 2014. Therefore, diluted earnings per share are the same as basic earnings per share.

17 Dividend per share

	Group		Company	
	2015	2014	2015	2014
The calculation of dividends per share is based on:				
Dividends for the year attributable to ordinary shareholders				
Interim dividend paid (KShs'000)	296,491	375,556	296,491	375,556
Final dividend proposed (KShs'000)	2,134,738	2,055,673	1,897,544	2,055,673
	2,431,229	**2,431,229**	**2,194,035**	**2,431,229**
Number of ordinary shares at issue date (thousands)	395,322	395,322	395,322	395,322
Dividends per share – KShs	**6.15**	**6.15**	**5.55**	**6.15**

At the annual general meeting to be held on 13 May 2016, a final dividend in respect of the year ended 31 December 2015 of KShs 5.40 (2014: KShs 5.20) per share amounting to a total of KShs 2,134,738,000 (2014: KShs 2,055,673,000) is to be proposed. These financial statements do not reflect this dividend payable, the proposed dividend has however been transferred to a separate category of equity.

During the year an interim dividend of KShs 0.75 (2014: KShs 0.95) per share, amounting to a total of KShs 296,491,000 (2014: KShs 375,556,000) was paid. The total dividend for the year is therefore KShs 6.15 (2014: KShs 6.15) per share, amounting to a total of KShs 2,431,229,000 (2014: KShs 2,431,229,000).

Payment of dividends is subject to withholding tax at a rate of either 10% or 15% depending on the residence of the respective shareholders.

18 Cash, bank balances and balances with Central Bank of Kenya

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Cash and Group balances	2,696,227	1,987,658	108,840	56,911
Balances with Central Bank	8,653,871	7,567,922	-	-
	11,350,098	**9,555,580**	**108,840**	**56,911**

The Group is required to maintain a prescribed minimum cash reserve including cash in hand and balances with Central Bank of Kenya. The minimum cash reserve is non-interest earning and is based on the value of deposits as adjusted for by Central Bank of Kenya requirements. At 31 December 2015, the cash reserve requirement was 5.25% of the eligible deposits (2014: 5.25%). The cash reserve requirement balance for the year ended 31 December 2015 is KShs 5,603,547,000 (2014: KShs 4,716,147,000).

19 Available-for-sale pledged assets

	Group	
	2015	2014
	KShs'000	KShs'000
Debt securities - pledged as collateral	**3,439,383**	**2,884,293**

Maturity analysis;

Maturing after 1 month but within 6 months	1,638,184	-
Maturing after 6 months but within 12 months	1,801,199	2,609,932
Maturing after 12 months but within 5 years	-	-
Maturing after 5 years	-	274,361
	3,439,383	**2,884,293**

Dated pledged assets had a redemption value at 31 December 2015 of KShs 3,270,000,000 (2014: KShs 2,770,000,000).

The assets pledged by the Group are strictly for the purpose of providing collateral for counter-party. To the extent that the counter-party is permitted to sell and/or re-pledge the assets, they are classified on the statement of financial position as pledged assets. The pledged assets are debt securities issued by the Government of Kenya.

These transactions are conducted under terms that are usual and customary to security lending, security borrowings and lending activities.

20 Financial investments

	Group	
	2015	2014
	KShs'000	KShs'000
Financial assets – fair value through profit or loss (Note 20(a))	16,250,195	24,015,281
Financial assets - available-for-sale (Note 20(b))	28,947,969	25,250,149
Financial assets – at amortised cost (Note 20(c))	64,445	17,890
	45,262,609	**49,283,320**

(a) Financial assets – fair value through profit or loss

Listed securities-trading	**16,250,195**	**24,015,281**
Maturities		
Maturing within 12 months	14,124,797	5,972,156
Maturing after 12 months	2,125,398	17,864,771
Undated securities	-	178,354
	16,250,195	**24,015,281**

The maturities represent periods to contractual redemption of trading assets recorded. Dated trading assets had a redemption value at 31 December 2015 of KShs 16,915,433,000 (2014: KShs 23,605,000,000). The weighted average effective interest yield on debt securities held for trading at 31 December 2015 was 13.47% (2014: 12.37%).

20 Financial assets (continued)

(b) Financial assets - available-for-sale

	Group	
	2015	2014
Classification	**KShs'000**	**KShs'000**
Listed	28,947,969	25,250,149
Unlisted	-	-
	28,947,969	**25,250,149**
Comprising:		
Government bonds	6,434,015	5,517,112
Treasury bills	22,513,954	19,733,037
	28,947,969	**25,250,149**
Maturity analysis		
Maturing within 12 months	27,286,925	21,169,396
Maturing after 12 months	1,661,044	4,080,753
	28,947,969	**25,250,149**

Dated financial investment securities had a redemption value at 31 December 2015 of KShs 29,823,000,000 (2014: KShs 26,380,414,000).

The weighted average effective interest yield on available-for-sale investment securities at 31 December 2015 was 12.31% (2014: 11.37%). A fair value loss of KShs 121,528,000 (2014: Loss of KShs 604,017,000 has been recognised in the statement of other comprehensive income on page 8. A realised loss of KShs 228,971,000 (2014: Gain of KShs 401,109,000) has been transferred to the statement of profit or loss.

(c) Financial assets – at amortised cost

	Group	
	2015	**2014**
	KShs'000	**KShs'000**
Listed		-
Unlisted	64,446	17,890
Comprising:		
Corporate bonds	5,296	8,890
Government securities	59,150	-
Commercial paper		9,000
	64,446	**17,890**
Maturity analysis		
Maturing after 12 months	**64,446**	**17,890**

21 Financial liabilities- trading liabilities

	Group	
	2015 KShs'000	2014 KShs'000
Trading liabilities – designated at fair value through profit or loss	521,973	-
Maturity analysis		
Maturing after 1 month but within 6 months	521,973	-

22 Loans and advances

The Group extends advances to the personal, commercial and corporate sectors as well as to the public sector. Advances made to individuals are mostly in the form of mortgages, instalment credit, overdrafts and credit card borrowings.

(a) Loans and advances to banks

	Group	
	2015 KShs '000	2014 KShs '000
Balances with banks	16,245,564	4,854,451
Balances with Bank of South Sudan	6,936,027	8,008,221
	23,181,591	**12,862,672**

(b) Loans and advances to customers

Net loans and advances	Group	
	2015 KShs '000	2014 KShs '000
Mortgage lending	12,926,721	12,445,155
Instalment sale (Note 22(h))	11,947,118	11,247,487
Overdraft and other demand lending	23,167,699	24,572,345
Term lending	59,084,210	41,783,137
Card lending	286,220	291,292
Gross loans and advances to customers	**107,411,968**	**90,339,416**
Allowances for impairments		
Impairment for non-performing loans	(1,271,153)	(1,103,066)
Impairment for performing loans	(1,159,249)	(888,912)
Credit impairment allowances	**(2,430,402)**	**(1,991,978)**
Net loans and advances	**104,981,566**	**88,347,438**
Maturity analysis:		
Redeemable on demand	21,383,716	23,480,591
Maturing within 1 month	3,343,504	893,743
Maturing after 1 month but within 6 months	13,577,063	9,691,238
Maturing after 6 months but within 12 months	5,460,166	1,857,566
Maturing after 12 months but within 5 years	32,577,385	21,309,288
Maturing after 5 years	28,639,732	31,115,012
Net loans and advances	**104,981,566**	**88,347,438**

22 Loans and advances (continued)

(b) Loans and advances to customers (continued)

The weighted average effective interest rate on loans and advances to customers as at 31 December 2015 was 11.87% (2014: 10.76%). The Bank extends advances to personal, commercial and corporate sectors as well as to the public sector. Advances made to individuals are mostly in the form of mortgages, instalment sales and overdrafts.

(c) Impairment reserve

Year ended 31 December 2015	Non-performing loans	Portfolio impairment	Group Total
	KShs'000	KShs'000	KShs'000
At 1 January 2015	1,103,066	888,912	1,991,978
Amounts written off during the year as uncollectable	(562,319)	-	(562,319)
Amounts recovered during the year	(506,657)	-	(506,657)
Provision for loans impairment	1,237,063	270,337	1,507,400
At 31 December 2015	**1,271,153**	**1,159,249**	**2,430,402**

Year ended 31 December 2014	Non-performing loans	Portfolio impairment	Group Total
	KShs'000	KShs'000	KShs'000
At 1 January 2014	955,995	944,044	1,900,039
Amounts written off during the year as uncollectable	(709,224)	-	(709,224)
Amounts recovered during the year	(441,734)	-	(441,734)
Provision for loans impairment	1,298,029	(55,132)	1,242,897
At 31 December 2014	**1,103,066**	**888,912**	**1,991,978**

(d) Loan impairment charge

	Group	
	2015	2014
	KShs'000	KShs'000
Loans impairment for non-performing loans	1,237,063	1,298,029
Loans impairment for performing loans	270,337	(55,132)
Amounts recovered during the year	(506,657)	(441,734)
Recoveries of amounts previously written off	(93,438)	(98,341)
Net loans impairment charge on loans and advances	**907,305**	**702,822**

(e) Impaired loans and advances

Impaired loans and advances	4,858,394	3,023,730
Provision for impairment losses (Note 22 (c))	(1,271,153)	(1,103,066)
Recoverable amount of impaired loans and advances	**3,587,241**	**1,920,664**
Interest in suspense	**687,954**	**346,342**

The directors are of the opinion that the net amount of impaired loans and advances is recoverable in full.

Notes (continued)

22 Loans and advances (continued)

(f) Industry analysis

	Group			
	2015		2014	
	KShs'000	%	KShs'000	%
Agriculture	15,865,976	15%	12,665,224	14%
Electricity and water	3,068,322	3%	1,339,010	2%
Manufacturing	19,630,417	19%	13,186,069	15%
Building and construction	1,590,273	2%	1,450,950	2%
Wholesale, retail trade and restaurants	23,444,691	22%	23,065,200	26%
Transport and communication	5,686,427	5%	5,031,094	6%
Finance and insurance	3,708,618	4%	2,087,208	2%
Real estate and business service	6,820,535	6%	5,219,801	6%
Other activities and social service	25,166,306	24%	24,302,882	27%
	104,981,565	**100%**	**88,347,438**	**100%**

(g) Segmental analysis of non-performing loans and advances – industry

	2015		2014	
	KShs'000	%	KShs'000	%
Agriculture	1,690,648	35%	1,090,831	36%
Manufacturing	10,579	-	7,203	-
Building and construction	128,527	3%	112,078	4%
Wholesale, retail trade and restaurants	722,510	15%	336,801	11%
Transport and communication	289,031	6%	71,976	2%
Finance and insurance	211,551	4%	30	-
Real estate and business service	308,076.	6%	341,636	11%
Other activities and social service	1,497,472	31%	1,063,175	36%
	4,858,394	**100%**	**3,023,730**	**100%**

22 Loans and advances (continued)

(h) Instalment sales and finance lease

Loans and advances to customers include finance lease receivables, which are analysed below:

	2015 KShs'000	2014 KShs'000
Gross investment in finance leases:		
Not later than 1 year	654,212	1,192,394
Later than 1 year and not later than 5 years	10,854,666	9,839,753
Later than 5 years	438,276	225,284
	11,947,154	**11,257,431**
Unearned finance charge	(36)	(9,943)
Net investment in finance leases	**11,947,118**	**11,247,488**

The amount of finance lease receivable included above is KShs 12,380,000 (2014: KShs 157,046,000).

Impairment provisions of KShs 392,013,000 (2014: KShs 228,056,000) for instalment sale and finance lease receivables are included in the impairment for non-performing loans.

i) Loans to employees

	2015 KShs'000	2014 KShs'000
At start of year	3,674,792	3,218,623
New loans issued	938,332	1,540,874
Interest on loan	185,718	220,419
Loan repayments	(1,088,796)	(1,305,124)
At end of year	**3,710,046**	**3,674,792**

Notes (continued)

23 Other assets and prepayments

	Group		Company	
	2015	**2014**	**2015**	**2014**
	KShs'000	**KShs'000**	**KShs'000**	**KShs'000**
Uncleaned effects	1,600,390	1,773,147	-	-
Trade receivables and prepayments	347,100	439,415	500	500
Others	761,810	204,825	1,151	7,541
	2,709,300	**2,417,387**	**1,651**	**8,041**

24 Investment in subsidiaries

			Company	
Company	**Beneficial ownership**	**Country of Incorporation**	**2015 KShs'000**	**2014 KShs'000**
CfC Stanbic Bank Limited	100%	Kenya	18,009,808	18,009,808
SBG Securities Limited	100%	Kenya	165,530	165,530
			18,175,338	**18,175,338**

25 Property and equipment

(a) Group

	Land and premises	**Equipment furniture & fittings**	**Motor vehicles**	**Work in progress**	**Total**
Cost	**KShs'000**	**KShs'000**	**KShs'000**		**KShs'000**
At 1 January 2015	385,493	3,017,782	162,810	346,869	3,912,954
Additions	-	399,056	33,969	68,856	501,881
Disposals	-	(1,003)	-	-	(1,003)
Work in progress transfers	-	104,733	-	(104,733)	-
WIP transfer to intangible assets		-	-	(78,180)	(78,180)
Foreign exchange difference	-	(106,529)	(11,933)	(123,268)	(241,730)
Impairment in 2015	-	(7,373)	-	(18,211)	(25,584)
At 31 December 2015	**385,493**	**3,406,666**	**184,846**	**91,333**	**4,068,338**
Depreciation					
At 1 January 2015	(67,777)	(1,362,912)	(134,036)	-	(1,564,725)
Charge for the year	(12,713)	(306,881)	(24,484)	-	(344,078)
Disposals	-	328	-	-	328
Foreign exchange difference	-	75,914	9,125	-	85,039
At 31 December 2015	**(80,490)**	**(1,593,551)**	**(149,395)**	**-**	**(1,823,436)**
Net book value at 31 December 2015	**305,003**	**1,813,115**	**35,451**	**91,333**	**2,244,902**

.

25 Property and equipment (continued)

(a) Group (continued)

Cost	Land and premises KShs'000	Equipment furniture & fittings KShs'000	Motor vehicles KShs'000	Work in progress	Total KShs'000
At 1 January 2014	385,493	2,740,356	168,901	178,428	3,473,178
Additions	-	164,915	-	296,507	461,422
Disposals	-	(7,252)	(5,284)	-	(12,536)
Work in progress	-	124,568	-	(124,568)	-
Foreign currency translation difference	-	(4,805)	(807)	(2,950)	(8,562)
Impairment in 2014	-	-		(548)	(548)
At 31 December 2014	**385,493**	**3,017,782**	**162,810**	**346,869**	**3,912,954**
Depreciation					
At 1 January 2014	(63,978)	(1,118,145)	(115,870)	-	(1,297,993)
Charge for the year	(3,799)	(249,899)	(23,844)	-	(277,542)
Disposals	-	2,189	5,284	-	7,473
Foreign currency translation difference	-	2,943	394	-	3,337
At 31 December 2014	**(67,777)**	**(1,362,912)**	**(134,036)**	**-**	**(1,564,725)**
Net book value at 31 December 2014	**317,716**	**1,654,868**	**28,775**	**346,869**	**2,348,229**

(b) Company

	2015 Computer Equipment KShs '000	2014 Computer Equipment KShs '000
Cost		
At 1 January	1,659	1,659
At 31 December	**1,659**	**1,659**
Depreciation		
At 1 January	(1,659)	(1,659)
Charge for the year	-	-
At 31 December	**(1,659)**	**(1,659)**
Net book value at 31 December	**-**	**-**

As at 31 December 2015 and 31 December 2014, there were no items of property and equipment pledged by the Group and Company to secure liabilities.

Work in progress is composed of refurbishments and equipment for branches and projects that had not been completed as at year end.

The total amount disclosed as property and equipment in the Group and the Company is non-current.

Notes (continued)

26 Prepaid operating lease

	Group	
	2015	2014
Cost	KShs'000	KShs'000
At 1 January	85,499	85,499
At 31 December	**85,499**	**85,499**
Amortisation		
At 1 January	(25,692)	(22,738)
Charge for the year	(2,954)	(2,954)
At 31 December	**(28,646)**	**(25,692)**
Net book value at 31 December	**56,854**	**59,807**

This relates to the leasehold land leased by the Group for a lease term period of 99 years. The total amount disclosed as prepaid operating lease in the Group is non-current.

27 Other intangible assets – Group

Year ended 31 December 2015

Cost	Work in progress KShs'000	Software KShs'000	Other intangible assets KShs'000	Total KShs'000
At 1 January 2015	-	1,581,353	1,099,059	**2,680,412**
Additions	9,780	332,647	-	**342,427**
Transfer from property and equipment	78,180	-	-	**78,180**
Work in progress transfers	(38,988)	38,988	-	**-**
Foreign exchange differences	-	-	-	**-**
At 31 December	**48,972**	**1,952,988**	**1,099,059**	**3,101,019**
Amortisation				
At 1 January 2015	-	(1,471,784)	(718,065)	**(2,189,849)**
Charge for the year	-	(111,533)	(45,267)	**(156,800)**
At 31 December 2015	**-**	**(1,583,317)**	**(763,332)**	**(2,346,649)**
Net book value at 31 December 2015	**48,972**	**369,671**	**335,727**	**754,370**

Notes (continued)

27 Other intangible assets – Group (continued)

Year ended 31 December 2014	**Software**	**Other intangible assets**	**Total**
Cost	**KShs'000**	**KShs'000**	**KShs'000**
At 1 January 2014	1,573,662	1,099,059	**2,672,721**
Additions	6,500	-	**6,500**
	1,193	-	**1,193**
At 31 December	**1,581,355**	**1,099,059**	**2,680,414**
Amortisation			
At 1 January 2014	(1,240,634)	(672,798)	**(1,913,432)**
Charge for the year	(231,150)	(45,267)	**(276,417)**
At 31 December 2014	**(1,471,784)**	**(718,065)**	**(2,189,849)**
Net book value at 31 December 2014	**109,571**	**380,994**	**490,565**

The total amount disclosed as intangible assets is non-current and relates to computer software.
Work in progress relates to computer software for upgrades in mobile banking and telephone system which had not been completed as at year end.

As at 31 December 2015, the intangible assets had a remaining useful life of 5 years.

The intangible assets arising from the business combination comprise of the following:

	Cost	**Useful life**
	KShs'000	**Years**
Trade names	260,000	15
Customer relationships	475,000	5 - 15
Others	364,059	2 - 5
	1,099,059	

28 Intangible assets - goodwill

	Group		**Company**	
	2015	**2014**	**2015**	**2014**
Cost	**KShs '000**	**KShs '000**	**KShs '000**	**KShs '000**
At 1 January and 31st December	**9,349,759**	**9,349,759**	**-**	**-**

Goodwill relating to CfC Stanbic Holdings Limited was tested for impairment on 31 December 2015. The recoverable amount was determined to be the value in use. Unless indicated otherwise, the value in use in 2015 was determined in a manner consistent with that used in 2014. Key assumptions relating to this valuation include the discount rate and cash flows used to determine the value in use. An eight-year forecast was used as a basis for future cash flows, extrapolated in perpetuity to reflect the long-term plans for the entity, using a nominal growth rate of 10.4% (2014: 8.8%). The pre-tax discount rate used was based on an assessment of the risks applicable to the specific entity and country in which it operates. The cost of equity discount rate calculated for the forecast years was 17.6% per annum (2014: 17.6%). The cost of equity assigned to the cash-generating unit and used to discount its future cash flows can have a significant effect on its valuation. The cost of equity percentage is derived from an equity pricing model deemed appropriate based on the entity under review. The risk-free rate used to determine the cost of equity has been derived from the 10-year US Dollar government bonds adjusted for inflation differential and country risk yield. These variables are established on the basis of management judgement and current market conditions. Management judgement is also applied in estimating the future cash flows of the cash-generating units. These values are sensitive to the cash flows projected for the periods for which detailed forecasts are not available and to the assumptions regarding the long-term sustainability of the cash flows thereafter. Based on the testing performed, no impairment was identified.

Notes (continued)

29 Intangible assets – goodwill (continued)

Goodwill is allocated to the Group's cash-generating units (CGUs) identified according to operating segment. All the goodwill has been allocated to Corporate Investment Banking (CIB) CGU.

29 Ordinary share capital and share premium

Authorised share capital

	2015 Number of Shares (thousands)	2015 Share Capital KShs '000	2014 Number of Shares (thousands)	2014 Share Capital KShs '000
Balance as at 1 January and 31 December	473,684	2,368,421	473,684	2,368,421

Issued share capital

	2015 Number of Shares (thousands)	2015 Share Capital KShs '000	2014 Number of Shares (thousands)	2014 Share Capital KShs '000
Balance as at 1 January and 31 December	395,322	1,976,608	395,322	1,976,608
Unissued shares	78,362	391,813	78,362	391,813

Ordinary share premium

	2015 KShs'000	2014 KShs'000
At 1 January and 31 December	16,897,389	16,897,389

30 Derivative assets and liabilities

	2015			2014		
		Fair values			Fair values	
	Notional contract amount	Assets	Liabilities	Notional contract amount	Assets	Liabilities
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Foreign exchange derivatives						
Currency forwards	27,166,604	806,252	344,391	19,528,134	157,321	495,278
Currency swaps	29,290,760	474,439	169,212	17,184,268	92,088	25,980
Currency options	15,591,707	489,350	240,593	6,468,325	301,544	301,544
Total over-the-counter derivatives	**72,049,071**	**1,770,041**	**754,196**	**43,180,727**	**550,953**	**822,802**
Interest rate derivatives						
Cross currency interest rate swaps	38,796,546	2,188,147	2,188,236	-	462,596	462,596
Interest rate swaps	-	419,008	419,008	36,138,477	946,866	946,866
Total over-the-counter derivatives	38,796,546	2,607,155	2,607,244	36,138,477	1,409,462	1,409,462
Total derivative assets held for trading	**110,845,617**	**4,377,196**	**3,361,440**	**79,319,204**	**1,960,415**	**2,232,264**
Current	64,485,198	1,571,689	670,595	38,319,237	300,217	579,637
Non-current	46,360,419	2,805,507	2,690,845	40,999,967	1,660,199	1,652,627

All derivatives are classified as derivatives held for trading.

Fair values

The fair value of a derivative financial instrument represents, for quoted instruments, the quoted market price and for unquoted instruments, the present value of the positive or negative cash flows, which would have occurred if the rights and obligations arising from that instrument were closed out in an orderly market place transaction at year end.

Notional amount

The gross notional amount is the sum of the absolute value of all bought and sold contracts. The amount cannot be used to assess the market risk associated with the position and should be used only as a means of assessing the Group’s participation in derivative contracts.

Use and measurement of derivative instruments

In the normal course of business, the Group enters into a variety of derivative transactions for both trading and hedging purposes. Derivative financial instruments are entered into for trading purposes and for hedging foreign exchange exposures. Derivative instruments used by the Group in both trading and hedging activities include forwards and other similar types of instruments based on foreign exchange rates and interest rates.

Notes (continued)

31 Deposits and current accounts from banks and customers

Deposit products include cheque accounts, savings accounts, call and notice deposits, fixed deposits and negotiable certificates of deposit.

	Group	
	2015	2014
	KShs'000	KShs'000
Deposits from Banks	**47,424,577**	**33,570,267**
Deposits from customers	**106,246,235**	**95,838,876**
Current accounts	61,561,945	60,671,939
Call deposits	6,108,105	6,406,739
Savings accounts	11,165,430	7,271,383
Term deposits	27,410,755	21,488,815
Total deposits	**153,670,812**	**129,409,143**

Maturity analysis of deposits from customers

The maturity analysis is based on the remaining periods to contractual maturity from year end.

	Group	
	2015	2014
	KShs'000	KShs'000
Repayable on demand	79,044,162	74,100,584
Maturing within 1 month	9,565,257	-
Maturing after 1 month but within 6 months	5,770,504	15,430,440
Maturing after 6 months but within 12 months	1,559,251	3,069,262
Maturing after 12 months	10,307,061	3,238,590
	106,246,235	**95,838,876**

Deposit products include cheque accounts, savings accounts, call deposits, and fixed deposits. The weighted average effective interest rate on customer deposits as at 31 December 2015 was 4.03% (2014: 2.74%)

	2015		2014	
	KShs'000	%	KShs'000	%
Central government	10,103,071	10%	8,380,513	8.7%
Non-financial public enterprises	1,561,691	1%	3,140,036	3.3%
Non-bank financial institutions	382,622	-%	230,554	0.2%
Insurance companies	933,221	1%	582,091	0.6%
Hire purchase companies	93	-	43	-
Private enterprises	84,704,136	80%	82,104,764	85.7%
Non-profit institutions and individuals	8,561,401	8%	1,400,875	1.5%
	106,246,235	**100%**	**95,838,876**	**100%**

32 Borrowings

At 31 December 2015

	Notional value Kshs'000	Carrying value Kshs'000	Interest Rate	Date of Issue	Maturity date
CfC Stanbic Bond	2,402,093	2,401,094	12.50%	7-Jul-09	7-Jul-16
CfC Stanbic Bond	97,907	97,944	182 day T-bill +175 bps	7-Jul-09	7-Jul-16
CfC Stanbic Bond	4,000,000	3,983,025	12.95%	15-Dec-14	15-Dec-21
Total	**6,500,000**	**6,482,063**			

At 31 December 2014

	Notional value Kshs'000	Carrying value Kshs'000	Interest Rate	Date of Issue	Maturity date
CfC Stanbic Bond	2,402,093	2,402,916	12.50%	07 July 2009	07 July 2016
CfC Stanbic Bond	97,907	97,938	182 day T-bill+175 bps	07 July 2009	07 July 2016
CfC Stanbic Bond	4,000,000	4,012,563	12.95%	15 December 2014	8 December 2021
Total	**6,500,000**	**6,513,417**			

There were no charges placed on any of the Group's assets in relation to these borrowings.

Interest expense incurred in the above borrowings was KShs 838,412,000 (2014: KShs 531,753,000). The weighted average effective interest rate on borrowings as at 31 December 2015 was 12.51% (2014: 9.33%).

The difference between the carrying and notional value represents, accrued interest and the unamortised issue costs.

The borrowings are unsecured subordinated debt instruments.

33 Other liabilities and accrued expenses

(a) Other liabilities and accrued expenses

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
Accruals	2,343,910	3,010,104	20,157	17,109
Deferred bonus scheme (Note 33(b))	183,564	196,304	-	-
Un-presented bank drafts	93,367	156,410	-	-
Margin on guarantees and letters of credit	1,036,146	469,742	-	-
Items in transit	79,813	269,645	-	-
Sundry creditors	2,224,463	1,846,763	19,914	14,111
	5,961,263	**5,948,968**	**40,071**	**31,220**

(b) Deferred bonus scheme (DBS)

It is essential for the Group to retain key skills over the longer term. This is done particularly through share-based incentive plans. The purpose of these plans is to align the interests of the Group and employees, as well as to attract and retain skilled, competent people.

The Group has implemented a scheme to defer a portion of incentive bonuses over a minimum threshold for key management and executives. This improves the alignment of shareholder and management interests by creating a closer linkage between risk and reward, and also facilitates retention of key employees.

All employees granted an annual performance award over a threshold have part of their award deferred. The award is indexed to Standard Bank Group's (SBG) share price and accrues notional dividends during the vesting period, which are payable on vesting. The awards vest in three equal amounts at 18 months, 30 months and 42 months from the date of award. The final pay-out is determined with reference to SBG's share price on vesting date.

The provision in respect of liabilities under the scheme amounts to KShs 183,564,000 at 31 December 2015 (2014: KShs 196,304,000) and the amount charged for the year was KShs 95,468,000 (2014: KShs 127,707,000).

	Units	
Reconciliation	**2015**	**2014**
Units outstanding at beginning of the year	255,987	201,528
Granted	128,753	156,629
Exercised	(121,730)	(80,323)
Lapsed	(16,056)	(17,445)
Transfers	-	(4,402)
Units outstanding at end of the year	**246,954**	**255,987**

Notes (continued)

33 Other liabilities and accrued expenses (continued)

(b) Deferred bonus scheme (DBS) (continued)

Weighted average fair value at grant date (ZAR)	156.96	126.87
Expected life (years)	2.51	2.51
Risk-free interest rate (%)	5.54	5.54

34 (a) Current income tax asset/(liability)

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
At January	(33,615)	(117,085)	-	-
Exchange difference on translation	10	(264)	-	-
Current income tax charge (Note 15)	(1,333,050)	(2,428,407)	-	-
Income tax paid	1,749,620	2,512,141	-	-
Current income tax payable/(recoverable)	**382,965**	**(33,615)**	**-**	**-**

The amount above relates to current income tax recoverable from the tax authorities and is current.

(b) Current income tax asset/ (liability)

	Group		Company	
	2015	2014	2015	2014
	KShs'000	KShs'000	KShs'000	KShs'000
As at 1 January	37,909	(114,604)	(45)	-
Exchange difference on translation	(27,888)	8,347	-	-
Current tax charge (Note 15)	(116,895)	(68,443)	(23,204)	(45)
Income tax paid	17,339	212,609	17,339	-
As at 31 December	**(89,535)**	**37,909**	**(5,910)**	**(45)**

The amount above relates to current income tax liability payable to the tax authorities as at year end. The Group and Company tax positions are current. The group has operations in South Sudan which is in a net tax payable position. The tax is payable to the Government of South Sudan.

(c) Deferred income tax asset

	Group		Company	
	2015	2014	2015	2014
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At start of year	1,435,226	949,013	-	-
Credit to statement of profit or loss (Note 15)	(1,003,735)	483,265	-	-
Credit/(charge) to other comprehensive income	(70,719)	2,948	-	-
Exchange difference on translation	550	-		
At end of year	**361,322**	**1,435,226**	**-**	**-**

34 (c) Deferred income tax asset (continued)

Deferred income tax assets and liabilities and deferred income tax (credit)/charge in the statement of profit or loss and other comprehensive income (OCI) are attributable to the following items:

Year ended 31 December 2015	1.1.2015 KShs'000	(Charge)/ Credited to statement of profit or loss KShs'000	Charge to statement of other comprehensive income KShs'000	31.12.2015 KShs'000
Arising from:				
Property and equipment	(36,392)	(17,055)	-	(53 447)
Fair value gains on AFS instruments	107,719	(383,052)	(70,719)	(346,051)
Portfolio impairment	345,565	120,325	-	465 890
Leasing	319,763	(298,276)	-	21 487
Other provisions	814,440	(254,326)	-	560 114
Group intangible assets	(115,988)	13,582	-	(102,406)
Unrealised gain on South Sudan retained earnings conversion	-	(181,054)	-	(181,054)
Foreign currency exchange differences	119	(3,329)	-	(3,210)
Net deferred asset	**1,435,226**	**(1,003,735)**	**(70,719)**	**361,322**

Year ended 31 December 2014	1.1.2014 KShs'000	Credited to statement of profit or loss KShs'000	Credited to statement of other comprehensive income KShs'000	31.12.2014 KShs'000
Arising from:				
Property and equipment	(78,145)	41,753	-	(36,392)
Fair value gains on AFS instruments	(47,218)	151,989	2,948	107,719
Portfolio impairment	300,665	44,900	-	345,565
Leasing	145,461	174,302	-	319,763
Other provisions	757,818	56,622	-	814,440
Group intangible assets	(129,568)	13,580	-	(115,988)
Foreign currency exchange differences	-	119	-	119
Net deferred asset	**949,013**	**483,265**	**2,948**	**1,435,226**

The total amount disclosed as deferred income tax asset is non-current.

35 Notes to the cash flow statement

(a) Reconciliation of profit before income tax to net cash generated from operating activities

	Group		Company	
	2015	2014	2015	2014
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Net income before income tax	7,359,41	7,700,246	2,404,826	1,095,610
Adjusted for:				
- Depreciation - property and equipment (Note 25)	344,078	277,541	-	-
- Amortisation of intangible assets (Note 27)	156,800	276,416	-	-
- Amortisation of prepaid operating lease (Note 26)	2,954	2,954	-	-
- Impairment - property and equipment (Note 25)	25,584	548	-	-
- Change in fair value of derivatives	(1,287,605)	498,188	-	-
- Share based payment reserve	14,004	20,685	-	-
- Loss/(Gain) on disposal of property and equipment	157	(2,262)	-	-
Cash flow from operating activities	**6,615,386**	**8,774,316**	2,404,826	**1,095,610**

(b) Analysis of balances of cash and cash equivalents as shown in the statement of cash flows.

	Group		Company	
	2015	2014	2015	2014
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Unrestricted cash and balances with CBK	5,746,551	4,839,433		-
Treasury bills	12,777,274	10,602,683		-
Loans and advances to Groups	23,181,591	12,746,987	108,840	56,911
Amounts due to other Groups	(2,116,494)	(5,578,951)		-
Cash and cash equivalent at the end of the year	**39,588,922**	**22,610,152**	**108,840**	**56,911**

For the purposes of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the date of the advances.

36 Fair value of financial instruments

Valuation process

All financial instruments carried at fair value, regardless of classification, are marked to market using models that have been validated independently by the Group's model validation unit and approved by the market risk methodologies committee. This control applies to both off-the-shelf models as well as those developed internally by the Group. Further, all inputs into the valuation models are subject to independent price validation procedures carried out by the market risk unit. Such price validation is performed on at least a monthly basis, and daily where possible given the liquidity of the underlying price inputs. Less liquid risk drivers, which are typically used to mark level 3 assets and liabilities to market, are carefully validated and tabled at the monthly price validation forum to ensure these are reasonable and used consistently. Sensitivities arising from exposures to such drivers are similarly scrutinised, together with movements in level 3 fair values. They are also disclosed on a monthly basis to the market risk committee and ALCO.

Level hierarchy

The table that follows analyses financial instruments carried at fair value, by level of fair value hierarchy. The different levels are based on the extent that available market data is used in the calculation of the fair value of the financial instruments. The levels have been defined as follows:

Level 1 – fair value is based on quoted market prices (unadjusted) in active markets for identical instruments.

Level 2 – fair value is determined through valuation techniques based on observable inputs, either directly, such as quoted prices, or indirectly, such as derived from quoted prices. This category includes instruments valued using quoted market prices in active markets for similar instruments, quoted prices for identical or similar instruments in markets that are considered less than active or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3 – fair value is determined through valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the assets and liabilities.

Significant unobservable inputs

The fair value of level 3 assets and liabilities is determined using valuation techniques that include reference to recent arm's length transactions, discounted cash flow analyses, pricing models and other valuation techniques commonly used by market participants. However, such techniques typically have unobservable inputs that are subject to management judgement. These inputs include credit spreads on illiquid issuers, implied volatilities on thinly traded stocks, correlation between risk factors, prepayment rates and other illiquid risk drivers. Exposure to such illiquid risk drivers is typically managed by:

- using bid-offer spreads that are reflective of the relatively low liquidity of the underlying risk driver
- raising day one profit provisions in accordance with IFRS
- quantifying and reporting the sensitivity to each risk driver
- limiting exposure to such risk drivers and analysing this exposure on a regular basis.

36 Fair value of financial instruments (continued)

(a) Financial instruments measured at fair value

The table below analyses financial instruments carried at fair value, by level of fair value hierarchy:

	Note	Level 1 KShs'000	Level 2 KShs'000	Total KShs'000
At 31 December 2015				
Assets				
Financial assets – held for trading	20	-	16,250,195	16,250,195
Financial assets – available-for-sale	20	-	28,947,969	28,947,969
Pledged assets - available-for-sale	19	-	3,439,383	3,439,383
Derivative assets	30	-	4,377,196	4,377,196
		-	53,014,743	53,014,743
Comprising:				
Held-for-trading		-	20,627,391	20,627,391
Available-for-sale		-	32,387,352	32,387,352
		-	53,014,743	53,014,743
Liabilities				
Trading liabilities		-	521,973	521,973
Derivative liabilities	30	-	3,361,440	3,361,440
		-	**3,883,413**	**3,883,413**
Comprising:				
Held-for-trading		**-**	**3,883,413**	**3,883,413**

36 Fair value of financial instruments (continued)

(a) Financial instruments measured at fair value (continued)

	Note	Level 1 Kshs'000	Level 2 Kshs'000	Total Kshs'000
At 31 December 2014				
Assets				
Trading assets	20	178,354	23,836,927	24,015,281
Other-financial investments	20	-	25,268,039	25,268,039
Available-for-sale pledged assets	19	-	2,884,293	2,884,293
		178,354	**51,989,259**	**52,167,613**
Comprising:				
Held-for-trading		178,354	23,836,927	24,015,281
Available-for-sale		-	28,152,332	28,152,332
		178,354	**51,989,259**	**52,167,613**
Derivative assets	30	-	1,960,415	1,960,415
		-	**1,960,415**	**1,960,415**
Comprising:				
Held-for-trading		-	1,960,415	1,960,415
		-	**1,960,415**	**1,960,415**
Liabilities				
Derivative liabilities	30	-	2,232,264	2,232,264
		-	**2,232,264**	**2,232,264**
Comprising:				
Designated at fair value through profit or loss		**-**	**2,232,264**	**2,232,264**

There were no financial assets measured at fair value in level 3 as at 31 December 2015 and 31 December 2014.

Financial instruments in level 1

The fair value of financial instruments traded in active markets is based on quoted market prices at the balance sheet date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1. Instruments included in level 1 comprise primarily of cash and subordinated debt listed on the Nairobi Securities Exchange

36 Fair value of financial instruments (continued)

(a) Financial instruments measured at fair value (continued)

Sensitivity of fair value of level 2 financial instruments

The fair value of level 2 financial instruments is determined using valuation techniques which incorporate assumptions that are not supported by prices from observable current market transactions in the same instruments and are not based on available observable market data. Such assumptions include risk premiums, liquidity discount rates, credit risk, volatilities and correlations. Changes in these assumptions could affect the reported fair values of these financial instruments.

Level 2 financial assets and financial liabilities

	Valuation basis/technique	Main assumptions[1]
Derivative instruments	Discounted cash flow model	Discount rate
	Black-Scholes model	Risk-free rate, volatility rate
	Multiple valuation technique	Valuation multiples
Trading assets	Discounted cash flow model	Discount rate, liquidity discount rate
	Black-Scholes model	Risk-free rate, volatility rate
Pledged assets	Discounted cash flow model	Discount rate, liquidity discount rate
Financial investments	Discounted cash flow model	Discount rate, liquidity discount rate
	Multiple valuation technique	Valuation multiples
	Quoted exit price adjusted for notice period	Discount rate
Loans and advances to customers	Discounted cash flow model	Discount rate, liquidity discount rate
Trading liabilities	Discounted cash flow model	Discount rate, liquidity discount rate
Deposits from Banks	Discounted cash flow model	Discount rate, liquidity discount rate
Deposits from customers	Discounted cash flow model	Discount rate, liquidity discount rate
Other financial liabilities	Discounted cash flow model	Discount rate, liquidity discount rate

(b) Financial instruments not measured at fair value

Cash and balances with Central Bank of Kenya (CBK)

The carrying amount of cash and balances with CBK is a reasonable approximation of fair value

Loans and advances to Banks

Loans and advances to bank’s include inter-bank placements and items in the course of collection.

The carrying amount of floating rate placements and overnight loans is a reasonable approximation of fair value. The estimated fair value of fixed interest bearing loans is based on discounted cash flows using prevailing money-market interest rates for debts (ranging from 9% to 11.75%) with similar credit risk and remaining maturity.

1 The main assumptions for all instruments include applicable credit spreads.

36 Fair value of financial instruments (continued)

(b) Financial instruments not measured at fair value (continued)

Loans and advances to customers

Loans and advances are net of charges for impairment. The estimated fair value of loans and advances represents the discounted amount of estimated future cash flows expected to be received. Expected cash flows are discounted at current market rates (ranging from 9% to 11.75%) to determine fair value.

Deposits from Banks and customers

The estimated fair value of deposits with no stated maturity, which includes non-interest bearing deposits, is the amount repayable on demand.

The estimated fair value of fixed interest-bearing deposits not quoted in an active market is based on discounted cash flows using interest rates for new debts (ranging from 9% to 11.75%) with similar remaining maturity.

Subordinated debt

The fair value of listed subordinated debt was estimated as the market value listed on the Nairobi Securities Exchange as at 31 December 2015.

The fair value hierarchy for financial assets not measured at fair value is as shown in the table below:

	Level 1	Level 2	Level 3	Fair value	Carrying value
	KShs'000	KShs'000	KShs'000	KShs '000	KShs'000
At 31 December 2015					
Assets					
Cash and balances with CBK	11,350,098	-	-	11,350,098	11,350,098
Loans and advances to banks	10,671,838	-	15,600,084	26,271,922	23,181,591
Loans and advances to customers	-	-	113,740,365	113,740,365	104,981,565
	22,021,936	**-**	**129,340,449**	**151,362,385**	**139,513,254**
Liabilities					
Deposits from banks	-	-	(44,113,497)	(44,113,497)	(47,424,577)
Deposits from customers	(62,349,335)	-	(35,285,467)	(97,634,802)	(106,246,235)
Subordinated debt	-	(8,657,793)	-	(8,657,793)	(6,482,063)
	(62,349,335)	**(8,657,793)**	**(79,398,964)**	**(150,406,092)**	**(112,728,298)**

36 Fair value of financial instruments (continued)

(b) Financial instruments not measured at fair value

	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Fair value KShs'000	Carrying value KShs'000
At 31 December 2014					
Assets					
Cash and balances with CBK	9,555,580	-	-	9,555,580	9,555,580
Loans and advances to banks	11,479,499	-	1,272,676	12,752,174	12,862,672
Loans and advances to customers	24,572,641	-	63,774,797	88,347,438	88,347,438
	45,607,720	**-**	**65,047,473**	**110,655,192**	**110,765,690**
Liabilities					
Deposits from banks	(5,161,831)	-	(27,290,066)	(32,451,897)	(33,570,267)
Deposits from customers	(75,091,989)	-	(19,800,729)	(94,892,718)	(95,838,876)
Subordinated debt		(7,309,874)	-	(7,309,874)	(6,513,417)
	(80,253,820)	**(7,309,874)**	**(47,090,795)**	**(134,654,489)**	**(135,922,560)**

The valuation techniques used in determining the fair value of financial assets and liabilities classified within level 2 and level 3.

The table below indicates the valuation techniques and main assumptions used in the determination of the fair value of the level 2 and level 3 assets and liabilities not measured at fair value but for which fair value is disclosed:

	Valuation basis/technique	Main assumptions
Loans and advances to banks	Discounted cash flow model	Discount rate, liquidity discount rate
Loans and advances to customers	Discounted cash flow model	Discount rate, liquidity discount rate
Deposits from banks	Discounted cash flow model	Discount rate, liquidity discount rate
Deposits from customers	Discounted cash flow model	Discount rate, liquidity discount rate
Subordinated debt	Discounted cash flow model	Discount rate, liquidity discount rate

Notes (continued)

37 Related party transactions

CfC Stanbic Holdings Limited is a subsidiary of Stanbic Africa Holdings Limited (SAHL), incorporated in the United Kingdom. The ultimate parent of SAHL is Standard Bank Group Limited, which is incorporated in South Africa. There are other companies which are related to CfC Stanbic Holdings Limited through common shareholdings or common directorships. In the normal course of business, nostro and vostro accounts are operated and placing of both foreign and local currencies are made with the parent company and other Group companies at interest rated in line with the market. The relevant balances are as shown below:

a) Loans due from group banks

	2015 KShs'000	2014 KShs'000
Stanbic Bank Uganda Limited	99,260	50,828
Stanbic Bank Tanzania Limited	27,145	28,365
Standard Bank (Mauritius) Limited	2	-
Standard Bank of South Africa Limited	6,723,822	2,146,508
Standard Bank Isle of Man	-	452,626
	6,850,229	**2,678,327**
Interest income earned on the above is:	**5,141**	**3,008**

b) Deposits due to group banks

	2015 KShs'000	2014 KShs'000
Standard Bank of South Africa Limited	143,793	67,690
Standard Bank London Holdings Plc	-	389,338
Standard Bank Namibia Limited	460	1,314
Stanbic Bank Uganda Limited	463,722	575,393
Stanbic Bank Zambia Limited	22	14
Stanbic Bank Zimbabwe Limited	139	136
Stanbic Bank Botswana Limited	844	568
Standard Bank (Mauritius) Limited	1,674,994	64,890
Stanbic Bank Malawi Limited	759	22
Standard Bank Isle of Man	12,118,331	13,591,222
Stanbic Bank Tanzania Limited	5,290	239,842
Standard Bank PLC	404,912	54,732
Standard Bank Swaziland	25	21
Stanbic Bank Ghana	158	-
	14,813,449	**14,985,182**
Interest expense incurred on the above is:	**509,999**	**306,431**

The weighted average effective interest rate on amounts due from group companies as at 31 December 2015 is 0.28% (2014 – 0.17%) and on amounts due to group companies was 1.70% (2014 0.50%).

c) Company	**2015**	**2014**
Amounts due to group companies	**KShs'000**	**KShs'000**
CfC Stanbic Bank Ltd	3,198	1,833

Notes (continued)

37 Related party transactions (continued)

d) Deposits due to group companies non-bank

	2015 KShs'000	2014 KShs'000
Heritage	195,073	134,957
STANLIB Kenya Limited	88,236	63,595
Liberty Life	123,636	53,611
	406,945	**252,163**

(e) Key management compensation

Key management personnel include: the members of the CfC Stanbic Holdings Limited board of directors and prescribed officers effective for 2015 and 2014. Non-executive directors are included in the definition of key management personnel as required by IAS 24 Related Party Disclosures. The definition of key management includes the close family members of key management personnel and any entity over which key management exercise control or joint control. Close members of family are those family members who may be expected to influence, or be influenced by that person in their dealings with the Group. They include the person's domestic partner and children, the children of the person's domestic partner, and dependants of the person or the person's domestic partner.

Key management have transacted with the Bank as indicated in note 37 (f) and 37 (g);

f) Loans and advances

Included in loans and advances are amounts advanced to certain companies in which directors are involved either as shareholders or directors (associated companies). In addition, there are contingent liabilities including guarantees and letters of credit, which have been issued to associated companies. The balances as at 31 December 2015 and 31 December 2014 are as shown below:

Loans and advances to key management

The aggregate amount of loans to directors, affiliates and their families on the statement of financial position is:

	2015 KShs '000	2014 KShs '000
At start of year	39,107	53,647
New loans issued	31,685	37,711
Accrued interest	2,800	596
Loan repayments	(39,776)	(52,847)
At end of year	**33,816**	**39,107**

Loans include mortgage loans, instalment sale and finance leases and credit cards. No specific credit impairments have been recognised in respect of loans granted to key management (2013: KShs nil). The mortgage loans and instalment sale and finance leases are secured by the underlying assets. All other loans are unsecured.

Notes (continued)

37 Related party transactions (continued)

g) Key management compensation

	2015 KShs '000	2014 KShs '000
Salaries and other short-term employment benefits	**453,354**	**392,693**
Directors' remuneration		
Fees for services as directors	6,535	7,630
Other emoluments (included in key management compensation above);	105,617	80,571
Post-employment pension	2,292	-
Share-based payments	18,956	7,637

h) Other receivable due from related companies

CfC Life Assurance Limited	1,515	962
The Heritage Insurance Company Limited	1,281	798
CfC Stanbic Holdings Limited	3,401	1,670
Stanbic Bank Uganda Limited	7,581	2,919
Stanbic Bank Tanzania Limited	301,336	300,830
Standard Bank Mauritius Limited	-	22
Standard Bank of South Africa Limited	535,154	364,452
Stanbic Bank Zambia Limited	704	109
Stanbic Bank Malawi Limited	139	-
Standard Bank s.a.r.l. (Mozambique)	10	10
Stanbic Bank Lesotho	-	(183)
Standard Bank London Holdings Plc	-	754
STANLIB Kenya Limited	22,286	91,077
Standard Bank Swaziland Limited	425	-
Standard Bank RDC s.a.r.l	26	-
Standard Bank de Angola S.A.	513	-
Stanbic Insurance Agency Limited	11,345	-
Standard Advisory London Limited	241	-
	885,958	**763,420**
Provisions on regional costs balances	(281,379)	(280,502)
	604,578	**482,918**

37 Related party transactions (continued)

i) Other payables due to related companies

	2015 KShs'000	2014 KShs'000
Standard Bank Malawi Limited	1,079	
Standard Bank of South Africa Limited	949,220	888,297
Stanbic Bank Uganda Limited	50	
SBG Securities Limited	2,609	
Stanbic Insurance Agency Limited	34,151	
	987,109	**888,297**

There is no interest accruing for these outstanding liabilities

j) The Group incurred the following related party expenses payable to Standard Bank of South Africa:

	2015 Kshs'000	2014 Kshs'000
Standard Bank South Africa		
Franchise fees	458,200	426,384
Information technology	86,869	200,608
Other operating costs	508	33,806
	545,577	**660,798**

38 Contingent liabilities - Group

Commitments were with respect to:	2015 KShs'000	2014 KShs'000
Irrevocable letters of credit and acceptances	5,439,722	9,340,525
Revocable unutilised facilities	9,957,460	7,806,485
Guarantees	21,965,002	13,918,776
	37,362,184	**31,065,786**

a) Nature of contingent liabilities

Letters of credit commit the Group to make payments to third parties, on production of documents, which are subsequently reimbursed by the customers.

Guarantees are generally written by a Group to support performance by a customer to third parties. The Group will only be required to meet these obligations in the event of customers' default.

An acceptance is an undertaking by the Group to pay a bill of exchange drawn on a customer. The Group expects most of the acceptances to be presented, and to be reimbursed by the customer almost immediately.

b) Segmental analysis of off-balance sheet liabilities

	2015 KShs'000	%	2014 KShs'000	%
Agriculture	1,468,841	4%	2,021,583	7%
Manufacturing	5,585,725	15%	10,099,055	33%
Construction	2,854,395	8%	323,410	1%
Energy	1,168,491	3%	1,032,960	3%
Transport and communication	1,891,545	5%	1,178,322	4%
Distribution/wholesale	10,889,978	29%	11,665,236	38%
Financial Services	11,899,498	32%	3,499,572	11%
Tourism	8,753	0%	11,306	-
Other activities and social service	1,594,958	4%	1,234,342	4%
	37,362,184	**100%**	**31,065,786**	**100%**

c) Legal proceedings

In the conduct of its ordinary course of business, the Group is exposed to various actual and potential claims, lawsuits and other proceedings relating to alleged errors and omissions, or non-compliance with laws and regulations. The directors are satisfied, based on present information and the assessed probability of claims eventuating, that the bank has adequate insurance programmes and provisions in place to meet such claims.

40 Other reserves

	Note	Group 2015 KShs '000	Group 2014 KShs '000
Statutory reserve		(6,381)	(72,429)
Fair value reserve		150,161	218,793
Foreign currency translation reserve		(1,099,023)	(69,715)
Share based payment reserve	41	42,393	131,001
Revaluation reserve		122,598	122,598
At end of year		**(790,252)**	**330,248**

The revaluation reserve represents solely the surplus on the revaluation of buildings and freehold land net of deferred income tax and is non-distributable.

Fair value reserve represents the surplus or losses arising on fair valuation of available-for-sale financial instruments and is non-distributable.

Currency translation reserve represents exchange differences arising on the translation of the net investment in foreign entities and is non-distributable.

The statutory reserve represents an appropriation from retained earnings to comply with the Central Bank of Kenya's Prudential Regulations. The balance in the reserve represents the excess of impairment provisions determined in accordance with the Prudential Regulations over the impairment provisions recognised in accordance with the Company's accounting policy. The reserve is not distributable.

41. Share-based payment reserve

	2015 KShs'000	2014 KShs'000
At the start of the year	131,001	110,316
Options exercised during the year	(102,614)	-
Equity growth scheme for the year	14,006	20,685
As at 31 December	**42,393**	**131,001**

The Group's share incentive scheme enables key management personnel and senior employees of the Group to benefit from the performance of SBG shares.

The Group has two equity-settled schemes, namely the Group Share Incentive Scheme and the Equity Growth Scheme. The Group Share Incentive Scheme confers rights to employees to acquire ordinary shares at the value of the SBG share price at the date the option is granted. The Equity Growth Scheme represents appreciation rights allocated to employees. The eventual value of the right is effectively settled by the issue of shares equivalent in value to the value of the rights.

As at 31 December 2015, the total amount included in staff costs for Group Share Incentive Scheme was KShs.13,947,000 (2014: KShs 20,228,000) and for Equity Growth Scheme was KShs 57,000 (2014: KShs 449,000).

The two schemes have five different sub-types of vesting categories as illustrated by the table below:

41. Share-based payment reserve (continued)

The two schemes have five different sub-types of vesting categories as illustrated by the table below:

	Year	% vesting	Expiry
Type A	3, 4, 5	50, 75, 100	10 Years
Type B	5, 6, 7	50, 75, 100	10 Years
Type C	2, 3, 4	50, 75, 100	10 Years
Type D	2, 3, 4	33, 67, 100	10 Years
Type E	3, 4, 5	33, 67, 100	10 Years

A reconciliation of the movement of share options and appreciation rights is detailed below:

	Option price range (ZAR)	Number of options	
Group Share Incentive Scheme	**2015**	**2015**	**2014**
Options outstanding at beginning of the year		476,538	503,400
Transfers	62,39 - 111,94	6,000	67,050
Exercised	62,39 - 111,94	(113,505)	(93,912)
Lapsed		(21,250)	-
Options outstanding at end of the year		**347,783**	**476,538**

The weighted average SBG share price for the year to 31 December 2015 year end was ZAR 147.88 (2014: ZAR 134.83).

The following options granted to employees had not been exercised at 31 December 2015:

Number of ordinary shares	Option price range (ZAR)	Weighted average price (ZAR)	Option expiry period
5,000,	98,00	98,00	Year to 31 December 2017
17,875,	92,00	92,00	Year to 31 December 2018
26,875,	62,39	62,39	Year to 31 December 2019
128,063,	104,53 - 111,94	109,41	Year to 31 December 2020
169,970,	97,80 - 107,55	99,70	Year to 31 December 2021
347 783			

41. Share-based payment reserve (continued)

The following options granted to employees had not been exercised at 31 December 2014:

Number of ordinary shares	Option price range (ZAR)	Weighted average price (ZAR)	Option expiry period
7,000	65,60	65,60	Year to 31 December 2015
1,300	79,50	79,50	Year to 31 December 2016
7,000	98,00	98,00	Year to 31 December 2017
38,550	92,00	92,00	Year to 31 December 2018
52,500	62,39	62,39	Year to 31 December 2019
183,125	104,53 - 111,94	109,41	Year to 31 December 2020
187,063	97,80 - 107,55	99,70	Year to 31 December 2021
476,538			

Equity Growth Scheme	Appreciation right price range (ZAR) 2015	Number of rights 2015	Number of rights 2014
Rights outstanding at beginning of the year		37,200	158,604
Transfers			(114,904)
Exercised[1]	62.39-79.50	(11,000)	(6,500)
Lapsed			-
Rights outstanding at end of the year[2]		**26,200**	**37,200**

[1]During the year 5,255 (2014: 3,529) SBG shares were issued to settle the appreciated rights value.

[2.] At 31 December 2014 the Group would need to issue 3,578 (2014: 16,392) SBG shares to settle the outstanding appreciated rights value.

The following rights granted to employees had not been exercised at 31 December 2015:

Number of rights	Option price range (ZAR)	Weighted average price (ZAR)	Option expiry period
8,500	98,00	98,00	Year to 31 December 2017
5,500	92,00	92,00	Year to 31 December 2018
12,200	62,39	62,39	Year to 31 December 2019
26,200			

The following rights granted to employees had not been exercised at 31 December 2014:

Number of rights	Option price range (ZAR)	Weighted average price (ZAR)	Option expiry period
3,500	79,50	79,50	Year to 31 December 2016
8,500	98,00	98,00	Year to 31 December 2017
5,500	92,00	92,00	Year to 31 December 2018
19,700	62,39	62,39	Year to 31 December 2019
37,200			

Notes (continued)

42. Capital commitments

Capital commitments for the acquisition of property and equipment are summarised below:

	2015 KShs'000	2014 KShs'000
Authorised and contracted for	208,424	581,935
Authorised but not contracted for	27,970	181,984

43. Operating leases

The Group leases a number of its branch operations and office premises under operating leases.

At 31 December, the future minimum lease payments under non-cancellable operating leases were payable as follows;

	2015 KShs'000	2014 KShs'000
Less than one year	445,575	392,568
Between one and five years	1,237,280	1,184,020
More than five years	3,435,686	576,601
	5,118,541	**2,153,189**

44. Fiduciary activities

The assets held on behalf of individuals, trusts, retirement benefit plans and other institutions:

	2015 KShs'000	2014 KShs'000
Assets held on behalf of individual's trusts and other institutions	**177,185,777**	**198,768,544**